

MADHYA PRADESH ELECTRICITY REGULATORY COMMISSION
5th Floor, "Metro Plaza", Bittan Market, Bhopal – 462016



Petition No. 71 of 2023

PRESENT:

S.P.S. Parihar, Chairman

Gopal Srivastava, Member (Law)

Prashant Chaturvedi, Member

IN THE MATTER OF:

True-up of Generation Tariff of MPPGCL's Thermal and Hydro Power Stations for FY 2022-23 determined by MP Electricity Regulatory Commission vide Multi-Year Tariff Order dated 19th May, 2021 in Petition No. 53 of 2020 read with Corrigendum dated 9th September, 2021.

M.P. Power Generating Company Ltd, Jabalpur:

PETITIONER

Vs.

- 1. M.P. Power Management Company Ltd., Jabalpur**
- 2. M.P. Power Transmission Co. Ltd., Jabalpur**
- 3. Rajasthan Rajya Vidyut Prasaran Nigam Ltd., Jaipur**
- 4. Uttar Pradesh Power Corporation Ltd. (UPPCL), Lucknow**
- 5. MSEB (Holding Co) & Maharashtra State Transmission Co. Ltd., Mumbai**

RESPONDENTS

ORDER**(Passed on this day of 7th March, 2024)**

1. Madhya Pradesh Power Generation Company Ltd. (hereinafter called “the petitioner” or “MPPGCL”) has filed the subject petition for true-up of generation tariff for FY 2022-23 determined by the Madhya Pradesh Electricity Regulatory Commission (hereinafter called “the Commission or MPERC”) vide Multi-Year Tariff order dated 19th May, 2021 in petition No 53 of 2020 read with corrigendum dated 9th September, 2021.
2. The subject true-up petition has been filed by MPPGCL under Section 62 and Section 64 of the Electricity Act, 2003, read with proviso 9.4 of MPERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2020, (hereinafter referred to as “Regulations, 2020”). The subject petition is based on the Annual Audited Accounts of MPPGCL for FY 2022-23.
3. The details of the power stations/houses covered in subject true-up petition are as given below:

Table 1: Installed Capacity and Date/Year of Commissioning:

Sr. No.	Power Stations / House	Installed Capacity in (MW)	Year/Date of Commissioning
THERMAL POWER STATIONS			
1	ATPS PH-3	1X210 MW = 210 MW	FY 2009-10
2	STPS PH-2 & 3	3X210+1X200 = 830 MW	FY 1980-84
3	STPS PH- 4	2x250 MW = 500 MW	FY 2013-14
4	SGTPS PH- 1 SGTPS PH- 2	2X210 = 420 MW } 2X210 = 420 MW } 840 MW	FY 1993-94 FY 1998-99
5	SGTPS PH- 3	1X500 MW = 500 MW	FY 2008-09
6	SSTPP PH-1	2X600 MW = 1200 MW	FY 2014-15
7	SSTPP PH-2	2 X 660 MW = 1320 MW	FY 2018-19
HYDRO POWER STATIONS			
8	Gandhi Sagar HPS	5X23 MW = 115 MW	1960 to 1966
9	Pench HPS	2X80 MW = 160 MW	1986-87
10	Rajghat HPS	3X15 MW = 45 MW	1998-99
11	Bargi HPS	2X45 MW = 90 MW	1988 & 1992
12	Bansagar HPS PH- 1 Bansagar HPS PH- 2 Bansagar HPS PH- 3	3X105 = 315 MW } 2X15 = 30 MW } 405MW 3X20 = 60 MW }	1991 to 1992 1997-98 2001-02
13	Bansagar HPS (PH- 4) Jhinna	2x10 MW = 20 MW	30.08.2006
14	Birsingpur HPS	1X20 MW = 20 MW	1991-92
15	Madhikheda HPS	3X20 MW = 60 MW	2006-07

4. Earlier, the petitioner filed petition No. 53 of 2020 for determination of Multi-year Tariff (MYT) for the control period FY 2019-20 to FY 2023-24 based on the Regulations, 2020. Vide Order dated 19th May, 2021, the Commission determined the Multi-Year Tariff for the Control period of FY 2019-20 to FY 2023-24 subject to True-Up based on Annual Audited Accounts for the respective year. Subsequently, a corrigendum to the aforesaid MYT Order was issued on 9th September, 2021.
5. The details of the Power Station/House wise and component-wise Annual Capacity (fixed) Charges determined by the Commission for FY 2022-23 in its MYT Order dated 19th May, 2021 read with corrigendum dated 9th September, 2021 are as given below:

Table 2: Component Wise Annual Capacity (Fixed) Charges for FY 2022-23 determined in MYT Order (Rs. in Crore)

Sr. No.	Particulars	Amount
1	Return on Equity	816.42
2	Interest on loan	931.39
3	Depreciation	1040.98
4	O & M Expenses	1580.28
5	Special Allowance	78.85
6	Interest on Working capital	413.75
7	Less: Non-Tariff Income	0.00
8	Total Capacity (Fixed) Charges	4861.68

Table 3: Power Station/House wise Annual Capacity (Fixed) Charges for FY 2022-23 determined in MYT Order: (Rs. in Crore)

Sr. No.	Power Station	Amount
1	ATPS Chachai PH-3	164.21
2	STPS Sarni PH- 2 & 3	424.78
3	STPS Sarni PH-4	615.41
4	SGTPS Birsinghpur PH-1&2	463.81
5	SGTPS Birsinghpur PH-3	311.19
6	SSTPP Khandwa PH-1	1277.13
7	SSTPP Khandwa PH-2	1340.21
	Total Thermal	4596.75
8	Gandhi Sagar HPS	15.71
9	Pench HPS	27.76
10	Rajghat HPS	15.08
11	Bargi HPS	17.99
12	Bansagar HPS (PH-1,2&3)	153.65
13	Bansagar HPS (PH-4)	9.54
14	Birsinghpur HPS	6.15
15	Madhikheda HPS	19.05
	Total Hydel	264.93
	Total (Thermal + Hydel)	4861.68

6. In the subject true-up petition, the petitioner broadly submitted the following:

- a) *MPPGCL entered into Power Purchase Agreement (PPA) with MP Tradeco (now MPPMCL) on 29.11.2006 for existing power stations and on 04.01.2011 for new Thermal Power Stations. Further, the first amendment to the Power Purchase Agreement (PPA) dated 29.11.2006 towards Purchase of Power from then existing and ongoing Thermal and Hydel Units of M. P. Power Generating Company Limited, has been signed on 18.07.2017 at Jabalpur. This First Amendment in Agreement provides term period till retirement/decommissioning of all Thermal and Hydel Power Stations of MPPGCL listed in the agreement. The PPAs for new power stations have also been amended from time to time. These PPAs provides that the tariff payable by Tradeco to Genco and terms & conditions related thereto shall be as determined by the State Commission. MPPGCL has accordingly been raising the bills of energy sold to Tradeco since 1.6.2005 as per the tariff determined by the Commission from time to time.*
- b) *The Commission notified, MPERC (Terms & Conditions for determination of Generation Tariff) Regulations, 2020{RG-26 (IV) of 2020} on 28.02.2020. This regulation was based on multiyear tariff principles and incorporated norms of operation for control period FY 2019-20 to FY 2023-24.*
- c) *In the instant True up petition, MPPGCL has proposed true up for FY 2022-23 in respect of existing/new stations whose tariff was determined by Commission vide Multi Year Tariff order dated 19.05.2021 for the control period FY 2019-20 to FY 2023-24 read with corrigendum to aforesaid MYT order vide order dated 09.09.2021.*
- d) *MPPGCL has prepared the Books of Accounts for FY 2022-23 and got the same audited by the Statutory Auditor M/s J.S. Oberoi & Co., Chhindwara, Chartered Accountants. The Audit Officers from O/o Dy. Accountant General (ES-III), Bhopal, has conducted Supplementary Audit of Annual Statement of Accounts of MPPGCL for FY 2022-23. The Final Comments Certificate from AG Audit to MPPGCL is awaited.*
- e) *MPPGCL is submitting the True up petition for FY 2022-23 based on the Audited Annual Statements of Accounts for FY 2022-23 under section 62 & 64 of the Electricity Act 2003 read with proviso-9 of the Regulation, 2020.*
- f) *The Annual Statement of Accounts for FY 2022-23 has been prepared on the basis of Indian Accounting Standards (IndAS) prescribed under Section 133 of the Companies Act read with the rule 3 of Companies (Indian Accounting Standard) Rules, 2015 and Companies (Indian Accounting Standard) amendment Rules, 2016.*

- g) The Petitioner has adopted following approach for True-up of Generation Tariff for FY 2022-23: -
- The Energy Charges (Variable Charges) has been billed in accordance with proviso 18, 19 & 43 of the Regulation, 2020. Therefore, no trueing up of Energy Charges has been considered in this petition.
 - Other Charges comprising of MPERC Fees, Water Charges, Rent, Rates & taxes, Cost of Chemical & Consumable and Publication Expenses have been claimed on actuals based on Audited Accounts for FY 2022-23.
 - The expense shown in Audited Annual Statements of Accounts for FY 2022-23 pertains to MPPGCL's share. The expenses, as extracted from Audited Annual Statements of Accounts for FY 2022-23 for the shared portion have been factored to represent 100% capacity operated by MPPGCL to match with MPERC's Multi Year Tariff Order dated 19.05.2021.
 - The expenses of Rana Pratap Sagar and Jawahar Sagar indicated in the Annual Statements of Accounts for FY 2022-23 of MPPGCL have not been considered in this True up Petition since Commission has not considered these projects in Tariff order, being operated by Rajasthan authorities.
 - At present, expenditure towards Pension & Terminal benefits of all the Companies i.e. unbundled entities of MPSEB are being allowed in the MYT/ True up of Transmission Licensee i.e. MPPTCL on 'pay as you go' principle, subject to true-up in each year on availability of actual figures. Accordingly, MPPGCL has not claimed these expenses in this True-up tariff petition.
7. Based on above, the petitioner has claimed the following component-wise and Power Station-wise true-up amount for FY 2022-23:

i. **Component-wise true-up amount claimed at Normative Availability as follows:**

Table 4: True-Up amount claimed at Normative Availability for FY 2022-23:

(Rs. in Crore)

Particulars	Elements	Annual Fixed Cost FY 2022-23		
		As per MYT Order	MPPGCL claimed as per Norms	Diff.
Fixed Cost Elements	O & M Expenses	1580.28	1580.28	0.00
	Special Allowance	78.85	78.85	0.00
	Interest on Loan	931.39	953.87	22.48
	Interest on Working Capital	413.75	386.17	-27.58
	Depreciation	1040.98	1017.36	-23.62
	Return on Equity	816.42	831.91	15.49
Less Non-Tariff Income		0.00	34.07	-34.07
Total		4861.68	4814.38	-47.30

ii. Component-wise true-up amount claimed at Actual Availability as follows:

Table 5: True up Amount claimed at Actual Availability for FY 2022-23 (Rs in Cr)

Particulars	Elements	Annual Fixed Cost FY 2022-23		
		As per MYT order	As claimed on actual availability	Diff.
Fixed Cost Elements	O & M Expenses	1580.28	1135.14	-445.14
	Special Allowance	78.85	0.00	-78.85
	Interest on Loan	931.39	749.89	-181.50
	Interest on Working Capital	413.75	275.73	-138.02
	Depreciation	1040.98	833.35	-207.63
	Return on Equity	816.42	692.35	-124.07
Less: Non-Tariff Income		0.00	34.07	-34.07
Total		4861.68	3652.39	-1209.29

iii. Power Station/House wise true-up amount claimed at Normative Availability as follows:

Table 6: True-up amount claimed at Normative Availability for FY 2022-23
(Rs. In Crore)

Sr. No.	Station	As per MYT Order	MPPGCL claimed as per Norms	Diff.
1	ATPS Chachai PH-3	164.21	171.45	7.24
2	STPS Sarni PH-2&3	424.78	411.43	-13.35
3	STPS Sarni PH-4	615.42	610.07	-5.35
4	SGTPS Birsinghpur PH-1&2	463.82	442.08	-21.73
5	SGTPS Birsinghpur PH-3	311.19	306.28	-4.91
6	SSTPP Khandwa PH-1	1277.12	1261.23	-15.89
7	SSTPP Khandwa PH-2	1340.21	1374.57	34.36
	Thermal	4596.75	4577.11	-19.64
8	Gandhi Sagar HPS	15.71	15.55	-0.16
9	Pench HPS	27.75	29.25	1.50
10	Rajghat HPS	15.09	12.01	-3.08
11	Bargi HPS	17.99	18.17	0.18
12	Bansagar HPS (PH-1,2&3)	153.65	126.52	-27.13
13	Bansagar HPS (PH-4)	9.55	9.86	0.31
14	Birsinghpur HPS	6.15	5.70	-0.44
15	Madhikheda HPS	19.05	20.20	1.16
	Hydro	264.93	237.27	-27.66
Total		4861.68	4814.38	-47.30

iv. Power Station/House wise true-up amount claimed at Actual Availability as follows:

Table 7: True-up amount claimed at Actual Availability for FY 2022-23 (Rs in Crore)

S. No.	Station	As per MYT Order	As claimed on actual Availability	Diff.
1	ATPS Chachai PH-3	164.21	158.02	-6.19
2	STPS Sarni PH-2&3	424.78	-7.60	-432.38

3	STPS Sarni PH-4	615.42	610.07	-5.35
4	SGTPS Birsinghpur PH-1&2	463.82	401.79	-62.02
5	SGTPS Birsinghpur PH-3	311.19	306.28	-4.91
6	SSTPP Khandwa PH-1	1277.12	1032.32	-244.80
7	SSTPP Khandwa PH-2	1340.21	942.67	-397.53
	Thermal	4596.75	3443.56	-1153.19
8	Gandhi Sagar HPS	15.71	12.01	-3.70
9	Pench HPS	27.75	27.11	-0.64
10	Rajghat HPS	15.09	12.60	-2.49
11	Bargi HPS	17.99	18.58	0.59
12	Bansagar HPS (PH-1,2&3)	153.65	101.22	-52.43
13	Bansagar HPS (PH-4)	9.55	10.94	1.40
14	Birsinghpur HPS	6.15	4.47	-1.68
15	Madhikheda HPS	19.05	21.90	2.86
	Hydro	264.93	208.82	-56.10
	Total (Thermal + Hydro)	4861.68	3652.39	-1209.29

8. In addition to above, the petitioner has also claimed other charges of Rs. 208.84 Crore in this petition on actual basis. The head-wise and Power Station/House wise break-up of other charges claimed in the subject petition are as given below:

Table 8: Head-wise Other Charges Claimed for FY 2022-23 (Rs. in Crore)

Sr. No.	Particulars	Total
1	Rent, Rates & Taxes	1.16
2	Water Charges	164.85
3	Cost of Chemicals & Consumables	18.08
4	MPERC Fee + Publication Exp.	1.49
5	EL Encashment	23.25
	Total	208.84

Table 9: Power Station/House wise Other Charges Claimed for FY 2022-23 (Rs. in Crore)

Sr. No.	Power Station	Total
1	ATPS PH-3	9.23
2	STPS PH-2&3	3.77
3	STPS PH-4	16.23
4	SGTPS PH-1&2	19.54
5	SGTPS PH-3	11.63
6	SSTPP PH-1	39.26
7	SSTPP PH-2	35.82
8	Total Thermal	135.47
9	Gandhi Sagar HPS	18.82
10	Pench HPS	0.70
11	Rajghat HPS	0.57
12	Bargi HPS	19.72
13	Bansagar HPS (PH-1,2&3)	20.82
14	Bansagar HPS (PH-4)	1.03
15	Birsinghpur HPS	1.06

16	Madhikheda HPS	10.65
17	Total Hydro	73.37
Total		208.84

9. In the subject petition, the petitioner has filed additional capitalization of Rs. 153.88 Crore in thermal and hydel power stations (including HQ) during FY 2022-23 as per Annual Audited Accounts and Asset-cum-Depreciation registers of respective power stations. The petitioner also filed the write-off/ deductions of assets of Rs. 14.83 Crore in some of the power stations (including HQ) during FY 2022-23 as per Annual Audited Accounts and Asset-cum Depreciation Registers of respective power stations.
10. With the above submissions, the petitioner prayed the following:
- Approve Annual Capacity (Fixed) Charges and Other charges for FY 2022-23 and permit recovery of True up amount as per Para 17 & 18 in six equal monthly instalments.*
 - Allow additional capitalization as per audited Annual Statements of Accounts for 2022-23 and accordingly permit additional Depreciation, RoE and Interest on Normative Loan/excess equity.*
 - Allow Other Charges comprising of MPERC Fees, Water Charges, Rent, Rates & taxes, Cost of Chemical & Consumable, Publication Expenses and EL encashment on actuals based on Audited Books of Accounts for FY 2022-23*
 - Allow additional expenses incurred towards Transportation of Ash amounting to Rs. 11.56 Crores.*
 - In accordance with proviso 9.11 of Regulations, 2020, allow interest on differential true-up amount, if any.*

Procedural History:

11. Motion hearing in the subject true up petition was held on 13th December, 2023, wherein the petition was admitted and petitioner was directed to serve copies of petition to all Respondents in the matter. The Respondents were also asked to file their responses on the petition within 15 days. The petitioner was asked to file rejoinder within a week, thereafter.
12. Vide Commission's letter dated 28th December, 2023, the information gaps and requirements of additional details/documents in the subject petition were communicated to the petitioner seeking its comprehensive reply along with all relevant supporting documents by 15th January, 2024.
13. The public notices inviting comments/suggestions from stakeholders were published on 4th January, 2024 in the following newspapers:
- Dainik Bhaskar, Bhopal (Hindi)

- (ii) Patrika, Gwalior (Hindi)
- (iii) Nai Duniya, Indore (Hindi)
- (iv) Raj Express, Jabalpur (Hindi)
- (v) Free Express, Bhopal (English)

Last date of filing comment/objections/suggestions was 25th January, 2024.

14. By affidavit dated 15th January, 2024, the petitioner filed its response on some of the queries raised by the Commission and requested to grant additional time extension of 10 days for submission of balance information. By affidavit dated 25th January, 2024, the petitioner filed its response to the balance information issues/queries raised by the Commission.
15. By affidavit dated 2nd February, 2024, Respondent No. 1 (M.P. Power Management Co. Ltd) filed its comments/ response on the subject petition.
16. By affidavit dated 9th February, 2024, the petitioner filed rejoinder on the response/ comments filed by the Respondent No. 1. The petitioner's response on each comment offered by the Respondent No.1 along with the observations is annexed as Annexure- I of this order.
17. Vide letter dated 19th January, 2024, comments from only one stakeholder, Shri Rajendra Agarwal were received in this matter. By affidavit dated 9th February, 2024, the petitioner filed its reply to the aforesaid comments filed by the stakeholder. The petitioner's reply on each comment/suggestion offered by the stakeholder along with the observations is annexed as Annexure-II with this Order.
18. The public hearing in the subject true-up petition was held on 13th February, 2024 through video conferencing, wherein the representatives of the petitioner, Respondent No 1 and stakeholder appeared.

Disclaimer for Rounding

19. In this Order, certain numbers as a whole, upto several decimal places have been rounded up or down. Therefore, there may be discrepancies between the totals of the individual numbers shown in the tables upto two decimal places and numbers given in the corresponding analysis in the text of this order

Capital Cost

Petitioner's submission:

20. The petitioner submitted that the Opening Gross Fixed Assets (GFA) as on 1st April, 2022 considered in the petition is the Closing Gross Block as on 31st March, 2022 as admitted by the Commission in its last true up Order for FY 2021-22. The petitioner further submitted that additional capitalization was carried out during FY 2022-23 in existing power stations. These asset additions were made on account of new assets capitalized

under the head of Fixed Assets. The petitioner also mentioned that write-off / adjustments of assets have also made in the Gross Fixed Assets of the various power stations.

21. The details of opening GFA along with asset additions and deductions during FY 2022-23 as filed by the petitioner are given below:

Table 10: Power Station/House wise break-up of fixed assets as filed in the petition

(Rs. in Crore)

	Station	Opening Gross Block as on 01.04.2022	Asset Additions during FY 2022-23	Deductions during FY 2022-23	Closing Gross Block as on 31.03.2023
1	ATPS PH-3	1133.19	28.84	-1.76	1160.27
2	STPS PH-2&3	564.55	0.00	-2.12	562.43
3	STPS PH-4	3242.10	38.19	-0.22	3280.07
4	STPS Total	3806.65	38.19	-2.34	3842.50
5	SGTPS PH-1&2	2212.21	3.09	-4.60	2210.70
6	SGTPS PH-3	2047.74	8.24	-2.31	2053.67
7	SGTPS Total	4259.95	11.33	-6.91	4264.37
8	SSTPP PH-1	7323.01	7.54	-0.37	7330.17
9	SSTPP PH-2	6755.72	28.30	0.00	6784.02
10	SSTPP Total	14078.73	35.83	-0.37	14114.19
11	Total Thermal	23278.52	114.20	-11.38	23381.33
12	Gandhi Sagar HPS	11.14	0.05	0.00	11.19
13	Pench HPS	119.43	3.26	-0.23	122.45
14	Rajghat HPS	107.43	0.09	-0.01	107.51
15	Bargi HPS	92.47	0.56	0.00	93.03
16	Bansagar HPS (PH-1,2&3)	1177.56	33.73	-2.99	1208.30
17	Bansagar HPS (PH-4)	116.85	0.59	0.00	117.44
18	Birsinghpur HPS	52.41	0.74	0.00	53.15
19	Madhikheda HPS	218.16	0.03	0.00	218.19
20	Total Hydro	1895.45	39.05	-3.24	1931.27
21	HQ	5.86	0.63	-0.21	6.28
	Total	25179.83	153.88	-14.83	25318.88

Provisions in Regulation:

22. Regarding capital cost of the existing generating stations, Regulation 21.3 and 21.4 of the Regulations, 2020 provides as under:

21.3 "The Capital cost of an existing project shall include the following:

- the capital cost admitted by the Commission prior to 1.4.2019 duly trued up by excluding liability, if any, up to last true-up order issued by the Commission;
- additional capitalization and de-capitalization for the respective year of tariff as determined in accordance with these Regulations;
- capital expenditure on account of renovation and modernization as admitted by

the Commission in accordance with these Regulations;

- (iv) capital expenditure on account of ash disposal including handling and transportation facility;*
- (v) capital expenditure incurred towards railway infrastructure and its augmentation for transportation of coal upto the receiving end of generating station but does not include the transportation cost and any other appurtenant cost paid to the railway; and*
- (vi) capital cost incurred or projected to be incurred by a thermal generating station, on account of implementation of the norms under Perform, Achieve and Trade (PAT) scheme of Government of India shall be considered by the Commission subject to sharing of benefits accrued under the PAT scheme with the beneficiaries*

21.4 The capital cost in case of existing/new hydro generating station shall also include:

- (i) cost of approved rehabilitation and resettlement (R&R) plan of the project in conformity with National R&R Policy and R&R package as approved; and*
- (ii) cost of the developer's 10% contribution towards Rajiv Gandhi Grameen Vidyutikaran Yojana (RGGVY) and Deen Dayal Upadhyaya Gram Jyoti Yojana (DDUGJY) project in the affected area."*

Commission's Analysis:

23. The petitioner has filed the Opening Gross Fixed Assets (GFA) of Rs. 25,179.83 Crore as on 01st April, 2022 for its thermal and hydel power stations covered in the subject true-up petition same as admitted by the Commission in last true up order dated 31st March, 2023 for FY 2021-22. As such, the figures of Gross Block, Normative Loan and Normative Equity considered in subject petition by the petitioner for FY 2022-23 are as per the figures admitted by the Commission in the last True up Order for FY 2021-22 in P. No. 85/2022.
24. On scrutiny of the capital cost and additional capitalization filed in the petition, mismatch in the figures of assets additions as per Annual Audited Accounts and figures filed in the petition was observed. It was also observed that the petitioner has not filed Power Station/House wise Assets-cum-Depreciation Registers for FY 2022-23. Therefore, vide Commission's letter dated 28th December, 2023, the petitioner was asked to file power station-wise Assets-cum-Depreciation registers for FY 2022-23. The petitioner was also asked to reconcile the figures of addition of assets recorded in the Assets-cum-Depreciation registers with the figures in Annual Audited Accounts for FY 2022-23 as well as with the figures filed in the subject true-up petition.
25. Vide letter dated 25th January, 2024 petitioner submitted the Power Station wise Assets-cum-Depreciation Registers for FY 2022-23. The petitioner also filed the Power Station wise comparative statements elaborating the difference between the figures as per

Annual Audited Accounts of FY 2022-23 & recorded in Asset-Cum-Depreciation Registers vis-à-vis as claimed in subject petition with respect to Opening Gross fixed Assets, Assets Addition, Write-off/Adjustment of Assets-not-in-use etc. along with reasons/explanations.

26. The Power Station wise break up of GFA as per Annual Audited Accounts of FY 2022-23 along with asset additions and adjustment/deductions during FY 2022-23 as filed by the petitioner are as given below:

Table 11: GFA and Asset Additions/write-off as per Balance Sheet (Rs. in Crore)

Stations	GFA as on 01.04.22	Asset Additions	Asset Deductions	GFA as on 31.03.23
ATPS Chachai	1259.97	28.84	-1.76	1287.06
STPS Sarni	4363.03	47.33	-2.36	4408.00
SGTPS Birsinghpur	4499.61	11.33	-6.91	4504.03
SSTPP Khandwa	14846.78	35.83	-0.37	14882.24
Bansagar HPS	1306.65	34.32	-2.99	1337.98
Bargi HPS	97.66	0.56	0.00	98.22
GandhiSagar HPS	11.62	0.05	0.00	11.67
Jawahar Sagar HPS	16.56	0.00	0.00	16.56
Madhikheda HPS	218.93	0.03	0.00	218.96
Pench HPS	119.78	3.26	-0.23	122.81
R.P.Sagar HPS	18.86	0.00	0.00	18.86
Birsinghpur HPS	53.10	0.74	0.00	53.84
Rajghat HPS	112.78	0.09	-0.01	112.85
HQ and S&I	5.86	0.63	-0.21	6.28
Total	26,931.19	163.01	-14.85	27,079.36
Add: Assets Not in use	56.09	0.73	-33.34	23.48
Add: Contra Entries/ INDAS adjustments	4.04	-4.10	0.06	0.00
Total	26,991.32	159.64	-48.12	27,102.84
Total as per Audited Accounts FY-23 Note-2	26991.32	159.64	-48.12	27102.84

27. The petitioner submitted the power station-wise justification for the difference in opening GFA as on 01.4.2022 as filed in the petition vis-a-vis recorded in Annual Audited Accounts for FY 2022-23. From the above, it is observed that the difference in GFA of Rs. 25,173.97 Crore (after not-considering HQs) as on 31st March, 2022 filed by the petitioner as per last true-up order dated 31st March, 2023 and the opening GFA as per Annual Audited Accounts for FY 2022-23 is on account of those assets which were not considered by the Commission in the previous tariff / true up orders due to various reasons such as not allowing asset additions over and above the cut-off date or capitalization not falling under the respective Regulations, etc., however, the petitioner has recorded all such asset additions in the Annual Audited Accounts.

28. It was further observed that the total asset addition claimed in the subject petition is Rs. 153.88 Crore, whereas, the total asset addition of Rs. 163.01 Crore is indicated in the Annual Audited Accounts. It is noted that the difference in additional capitalization of Rs. 9.14 Crore is due to asset addition towards need based R&M works carried out in STPS PH-2&3. Since, the petitioner has availed special allowance in this Power Station, therefore the additional capitalization of Rs. 9.14 Crore in STPS PH-2&3 is not claimed by the petitioner.
29. It was also observed that the total deduction/write-off of assets filed in the petition is of Rs. 14.83 Crore whereas, the total deduction/write-off of Rs. 14.85 Crore is recorded in the Annual Audited Accounts. This mismatch of figures was observed in PH-2 & 3 of STPS Sarni. As per Annual Audited Accounts, write-off amount was Rs. 2.14 Crore in STPS PH-2 & 3 whereas, the write-off amount filed in the petition in this power station was Rs. 2.12 Crore. The petitioner has submitted that the deduction of assets of Rs. 0.02 Crore pertains to assets capitalized in STPS PH-2&3 during FY 2013-14 as MPPGCL has not claimed the asset additions for said year due to availing of special allowance. As MPPGCL has opted for special allowance at STPS PH-2&3, no additional capitalization was considered by the Commission from FY 2012-13 onwards. Accordingly, adjustment of Rs. 0.02 Crore with respect to assets added during FY 2013-14 is not considered by the petitioner, while filing the write-off amount in the subject petition.
30. The Commission has considered the opening Gross Fixed Assets, equity, loan and accumulated depreciation as on 1st April, 2022 for thermal and hydro power stations in this Order same as considered as on 31.03.2022 in the last true-up order for FY 2021-22 (issued on 31st March, 2023). The power stations-wise details of opening GFA, funding and cumulative depreciation as admitted by the Commission in the last true-up order for FY 2021-22 and considered as on 1st April, 2022 in this Order are as given below:

**Table 12: Opening GFA, loan/equity and Cumulative Dep. admitted as on 01st April, 2022
(Rs. in Crore)**

Sr. No	Power Station	Opening GFA as on 1.4.2022	Opening Equity as on 1.4.2022	Opening Loan as on 01.04.2022	Opening Acc. Dep. as on 01.04.2022
1	ATPS PH-3	1133.19	259.28	200.41	663.83
2	STPS PH-2 & 3	564.55	167.29	0.00	513.56
3	STPS PH-4	3242.10	655.21	1280.83	1,340.37
4	SGTPS PH 1 & 2	2212.21	657.17	0.00	1,875.49
5	SGTPS PH-3	2047.74	578.65	165.53	1,297.46
6	SSTPP PH-1	7323.01	1414.76	3109.88	2,796.16
7	SSTPP PH-2	6755.72	1032.32	4647.79	1,075.46
8	Gandhi Sagar HPS	11.14	3.37	0.27	9.61
9	Pench HPS	119.43	35.84	8.74	86.93
10	Rajghat HPS	107.43	27.03	0.00	66.78
11	Bargi HPS	92.47	27.77	0.00	73.04

12	Bansagar HPS (PH-1,2&3)	1177.56	353.28	0.00	882.00
13	Bansagar HPS (PH-4)	116.85	35.05	0.00	85.25
14	Birsinghpur HPS	52.41	15.65	0.00	42.36
15	Madhikheda HPS	218.16	46.30	15.58	130.84
	Total	25173.97	5308.98	9429.03	10939.14

Additional Capitalization:**Petitioner's submission:**

31. The petitioner submitted that the total assets capitalization of Rs. 153.88 Crore has been carried out in the existing power stations. These assets additions were made on account of new assets capitalized in thermal and hydel Power Stations. In Para 4.3.1 of the subject petition, the petitioner has filed the power station wise details of additional capitalization during FY 2022-23 as given below:-

Table 13: Additional Capitalization Claimed during FY 2022-23 (Rs. in Crore)

Stations		Amount
1	ATPS PH-3	28.84
2	STPS PH-2&3*	0.00
3	STPS PH-4	38.19
4	STPS Total	38.19
5	SGTPS PH-1&2	3.09
6	SGTPS-PH 3	8.24
7	SGTPS Total	11.33
8	SSTPP PH-1	7.54
9	SSTPP PH-2	28.30
10	SSTPP Total	35.83
11	Total Thermal	114.20
12	Gandhi Sagar HPS	0.05
13	Pench HPS	3.26
14	Rajghat HPS	0.09
15	Bargi HPS	0.56
16	Bansagar HPS (PH-1,2&3)	33.73
17	Bansagar HPS (PH-4)	0.59
18	Birsinghpur HPS	0.74
19	Madhikheda HPS	0.03
20	Total Hydro	39.05
21	HQ	0.63
Total		153.88

*** Asset additions at STPS PH-2&3 during FY 2022-23 are not considered as MPPGCL has availed Special Allowance for these units.**

Provision in Regulation

32. Regarding additional capitalization of the generating stations, Regulations 27.1, 27.2 and 28.1 of the Regulations, 2020 provide that:

27. Additional Capitalization within the original scope and after the cut-off date:

27.1 The additional capital expenditure incurred or projected to be incurred in respect of an existing project or a new project on the following counts within the original scope of work and after the cut-off date may be admitted by the Commission, subject to prudence check:

- (i) Liabilities to meet award of arbitration or for compliance of the directions or order of any statutory authority, or order or decree of any court of law;*
- (ii) Change in law or compliance of any existing law;*
- (iii) Deferred works relating to ash pond or ash handling system including ash transportation facility in the original scope of work;*
- (iv) Liability for works executed prior to the cut-off date;*
- (v) Force majeure events;*
- (vi) Liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payment; and*
- (vii) Additional capitalization on account of raising of ash dyke as a part of ash disposal system.*

27.2 In case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission, after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check on the following grounds:

- (a) The useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations;*
- (b) The replacement of the asset or equipment if necessary, on account of change in law or Force Majeure conditions;*
- (c) The replacement of such asset or equipment is necessary on account of obsolescence of technology; and*
- (d) The replacement of such asset or equipment has otherwise been allowed by the Commission.*

28. Additional Capitalization beyond the original scope:

28.1 The capital expenditure in respect of existing generating station incurred or projected to be incurred on the following counts beyond the original scope, may be admitted by the Commission, subject to prudence check:

- (a) Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law;*

- (b) *Change in law or compliance of any existing law;*
- (c) *Force Majeure Events;*
- (d) *Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security;*
- (e) *Deferred works relating to ash pond or ash handling system in addition to the original scope of work, on case to case basis:*
Provided that if any expenditure has been claimed under Renovation and Modernisation (R&M) or repairs and maintenance under O&M expenses, the same expenditure cannot be claimed under this Regulation; and
- (f) *Usage of water from sewage treatment plant in thermal generating station*

33. With regard to additional capitalization, by affidavit dated 2nd February, 2024, the Respondent No. 1 (MPPMCL) in its response on the subject petition has submitted the following:

- *That, the Petitioner has claimed Additional Capitalization to the tune of Rs. 153.88 crore. For the reasons that the Petitioner has not only given the figures in rupee terms in respect of additional capitalization relating to each of its projects but has failed to provide detailed justification of the same relating to the nature of capital asset, its necessity, etc., the claim in this respect needs to be rejected.*

Additional capitalization under Thermal Power Stations:

Commission's Analysis:

34. In the subject true-up petition, petitioner has filed additional capitalization of Rs.153.88 Crore during FY 2022-23 in its thermal and hydel power stations. The Commission has examined Power Station/House-wise additional capitalization claimed by the petitioner in light of the Annual Audited Accounts, Asset-cum-Depreciation Registers, provisions under the Regulations, details and documents filed by the petitioner and the comments/suggestions filed by the Respondent No 1 and other stakeholders in this regard.
35. Vide Commission's letter dated 28th December, 2023, the petitioner was asked to submit various details/documents regarding additional capitalization in its thermal and hydel power stations in terms of the Regulations, 2020. By affidavit dated 25th January, 2024 the petitioner filed its response on the issues raised by the Commission. Power Station/House wise analysis of the additional capitalization done by the Commission is as given below:

a) Amarkantak Thermal Power Station (ATPS) PH-3:

36. The ATPS PH-3 Extension Unit No. 5 (210 MW) was commissioned on 10th September,

2009. Vide order dated 1st May, 2012, the Commission determined the final generation tariff of this thermal power station. In the subject true-up petition, the petitioner claimed the additional capitalization of Rs. 28.84 Crore in ATPS PH-3 during FY 2022-23 based on the Annual Audited Accounts.

37. The petitioner submitted that the works under additional capitalization were carried out during FY 2022-23 and capitalized in Annual Audited Accounts for FY 2022-23. The project cost of Rs.1242.14 Crore was approved by GoMP dated 12.01.2011. The list of the assets capitalized during FY 2022-23 in ATPS-PH-3 under the additional capitalization along with relevant Regulation under which each asset additions are claimed by the petitioner are given below:

Table 14: Additional Capitalization claimed in ATPS PH-3 (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Clause of Regulation 2020
i	10.322	Drainage And Sewerage Residential Colony	0.27	Clause No. 28.1 (f)
ii	10.412	Railway Sidings	0.09	Clause No. 27.1(vi)
iii	10.501	Boiler Plant & Equipments	1.00	Clause No. 27.2 (c)
iv	10.509	Auxiliaries In Steam Power Plant	0.08	Clause No. 27.2 (c)
v	10.520	Instrumentation And Controls	0.13	Clause No. 28.1(a)
vi	10.541	Transmission Plant-Transformers 100 KVA & Above	1.85	Clause No. 28.1(b)
vii	10.542	Other Transformers of Power House	0.41	Clause No. 28.1(b)
viii	10.561	Switchgears Including Cable Connections	0.10	Clause No. 28.1(a)
ix	10.563	Batteries Including Charging Equipment	0.33	Clause No. 27.2 (c)
x	10.577	Air-Conditioning Plant-Portable	0.97	Clause No. 27.2(c)
xi	10.583	Tools And Tackles	0.01	Clause No. 27.2 (c)
xii	10.588	Petrol Pump Refilling Service Tools & Tackles	0.05	Clause No. 27.2 (c)
xiii	10.599	Other Misc. Equip. Including Fire Protection System	0.44	Clause No. 28.1(d)
xiv	10.800	Furniture And Fixtures	0.02	Clause No. 27.2 (c)
xv	10.904	Others office Equipments	0.04	Clause No. 27.2 (c)
xvi	10.905	Computers	0.01	Clause No. 27.2 (c)
xvii	11.300	Capital Spares	0.08	Clause No. 26.1(iii)
xviii	11.602	Boiler/ Turbine Capital Overhaul Expenditure	7.38	Clause No. 28.1(b)
xix	11.603	Boiler/ Turbine Capital Overhaul Expenditure	15.59	Clause No. 28.1(b)
		Total	28.84	

38. On scrutiny of the aforesaid details filed by the petitioner, it is observed that the generating unit of ATPS PH-3 achieved CoD on 10th September, 2009, therefore this power station is considered as existing project in terms of Regulation 3 (20) of the Regulations, 2020. The additional capital expenditure claimed in ATPS PH-3 are capitalized after the cut-off date of the unit. Therefore, the said additional capitalization has been analyzed in terms of Regulation 27 of the Regulations, 2020, which provides that “the additional capitalization within the original scope of work and after the cut-off date of the project may be admitted by the Commission, subject to prudence check”. It is

also observed that the petitioner has claimed some of the assets under additional capitalization beyond the original scope of work, hence the aforesaid additional capitalization filed by the petitioner has also been analysed in terms of Regulation 28.1 of the Regulations, 2020.

39. Vide Commission's letter dated 28th December, 2023, the petitioner was asked to file certain details/ documents regarding additional capitalization with respect to ATPS PH-3. In response, by affidavit dated 25th January, 2024, the petitioner submitted the details regarding additional capitalization claimed in ATPS PH-3.
40. The additional capitalization claimed by the petitioner in ATPS PH-3 has been analysed under different heads of assets as given below:

i. Drainage and Sewerage Residential Colony:-

Petitioner's Submission

The Capitalization under Account Code 10.322 of Rs 0.27 Crores is towards Drainage And Sewerage Residential Colony vide Voucher No. 680294 dated 31.03.2023 under the work order for the work of providing and laying of water pipeline for optimum utilization of treated effluent water from Sewage Treatment Plant (STP) to Various Gardens and Plantation area situated in colony area.

The aforesaid capitalization is claimed as per Proviso 28.1(f) of MPERC Regulations, 2020 which provides for "Usage of water from sewage treatment plant in thermal generating station.

Commission's Analysis

The petitioner has claimed additional capitalization of Rs. 0.27 Crore towards drainage and sewerage residential colony which has been capitalized in the Annual Audited Accounts for FY 2022-23. The aforesaid additional capitalization is claimed under Regulation 28.1 (f) of the Regulations, 2020 which provides for "Usage of water from sewage treatment plant in thermal generating station". On perusal of the details filed by the petitioner, it is observed that the aforesaid expenditure under additional capitalization is made after the cut-off date of the project and beyond the original scope of works. Such assets have been duly recorded in Asset-cum-Depreciation Register and Annual Audited Accounts, therefore, same is covered under Regulation 28.1 (f) of Regulations, 2020. Hence, the said expenditure is allowed in this Order.

ii. Railway Sidings:-

Petitioner's Submission

The Capitalization claimed under Account Code 10.412 of Rs 0.09 Crores is towards Railway Sidings works of construction of 02 Nos. Gate gummy and manual operated railway vertical gate at level crossing on private Railway siding vide

Document no. 680266 dated 31.03.2023 read with M/s AKS. Construction works order No.70 dated 03.05.2022.

Aforesaid capitalization is claimed under proviso 27.1(vi) of MPERC Regulations 2020, which provides for “Liability of works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payment.

Commission’s Analysis:

The petitioner has claimed Rs 0.09 Crore towards Railway Siding under Regulation 27.1 (vi) of the Regulations, 2020 which provides “any liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payments”. The petitioner has not demonstrated whether this work was taken into consideration by the Commission after the cut-off date or that it falls under the category of actual payment for the discharge of any such liabilities. However, the assets have been put to use and capitalized in FY 2022-23. It is observed that the capitalization made on account of railway sidings of Rs 0.09 Crore is not covered under Regulation 27.1 (vi) of the Regulations, 2020, since the Commission has not admitted any such works after the cut-off date, hence, this amount is not allowed in this Order.

iii. Boiler Plant & Equipments:-

*The capitalization claimed under Account Code 10.501 is procurement of Voith make hydraulic coupling for Induced Draft (ID) Fan at 210 MW vide order No. 404 dated 25.05.2021 amounting to Rs. 0.705 Crores and M/s BHEL make hydraulic adjustment device (Servo Motor) for Forced Draft (FD) fan Type-FAF 17/9.5-1 vide order No. 1035 dated 28.07.2021 amounting to Rs. 0.292 Crores. The above total capitalization works is amounting to **Rs. 0.997 Crore** approx.*

The aforesaid capitalization is claimed as per proviso 27.2(c) of MPERC Regulations, 2020 which provides for “The replacement of such asset or equipment is necessary on account of obsolescence of technology”.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.997 Crore towards Boiler, plant & Equipments under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of

the Regulations, 2020 as the petitioner has not justified the replacement of existing assets towards obsolescence of technology. The petitioner has also not demonstrated any adjustments in the gross fixed assets and the cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards Boiler, Plant & Equipments is not allowed in this Order.

iv. Auxilliaries in Steam Power Plant:-

Petitioner's Submission

The capitalization claimed under Account Code 10.509 of Rs. 0.08 Crores is towards procurement of LT 3-Phase Squirrel cage Induction motors of different ratings vide order No. 1964 dated 14.08.2020 and spare motor of CW make-up pump ABB make motor vide order No. 684 dated 08.05.2014 and 220 V Dc motor vide order No. 3575 dated 17.12.2020.

The aforesaid capitalization is claimed as per Proviso 27.2(c) of the Regulations, 2020 which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology."

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.08 Crore towards auxiliaries in steam power plant under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not justified the replacement of existing assets towards obsolescence of technology. The petitioner has also not demonstrated any adjustments in the gross fixed assets and the cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards auxiliaries in steam power plant is not allowed in this Order.

v. Instrumentation & Control:-

Petitioner's Submission

The Capitalization under Account Code 10.520 amounting to Rs 0.13 Crores is supply of calibration kit for sensor CV-861 vide order No. 815 dated 25.05.2022 and supply of Battery Cell Booster for I&C Division vide order No. 527 dated 12.05.2020.

The said capitalization is claimed under Proviso 28.1(a) of the Regulations, 2020 which provides for compliance of “directions given by Statutory authorities”.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.13 Crore towards Instrumentation and Controls and has claimed under Regulation 28.1 (a) which provides for “Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law”. On perusal of the details and documents filed by the petitioner, it is observed that the petitioner has not demonstrated that whether the aforesaid expenditure is made on advise or direction by the Govt. agency or any statutory body in accordance to the Regulations. Hence, this expenditure of Rs 0.13 Crore towards Instrumentation & Control is not allowed in this Order.

vi. Transmission Plant- Transformers 100 kVA & Above: -

Petitioner’s Submission

The Capitalization under Account Code 10.541 amounting to Rs 1.85 Crores is supply, Erection, Testing & Commissioning of 20 MVA, 220 kV/ 33 kV Transformer vide order No. 314 dated 22.02.2021.

The above-mentioned capitalization is made towards compliance of directives of CEA (Measures Relating to Safety and Electric Supply) Regulations, 2010 in page No. 16 is as reproduced below:

“(a) every motor, generator, transformer and other electrical plant and equipment together with apparatus used for controlling or regulating the same.”

Aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law.

Commission’s Analysis:

The petitioner has claimed Rs 1.85 Crore under additional capitalization towards transformers of power house under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The said expenditure of Rs 1.85 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to aforesaid CEA Regulations. Hence, the additional capitalization of Rs 1.85 Crore towards works related to transmission plant-transformers is not allowed under Regulation 28.1 (b) in this Order.

vii. Other Transformers of Power House: -

Petitioner’s Submission

The Capitalization booked under Account Code 10.542 amounting to Rs. 0.41 Crores is towards Supply of spare HV rectifier transformer set for ESP vide order no. 1126 dated 10.08.2021 and work contract for loading, unloading, transportation, erection and commissioning of 01 No. 16 MVA 15.75/6.9 KV UAT Transformers vide order No. 4211 dated 24.03.2022.

The above-mentioned capitalization is made towards compliance of directives of CEA (Measures Relating to Safety and Electric Supply) Regulations, 2010 in page No. 16 is as reproduced below:

“(a) every motor, generator, transformer and other electrical plant and equipment together with apparatus used for controlling or regulating the same.”

Aforesaid capitalization is claimed under proviso 28.1(b) of the Regulations 2020, which provides for “change in law or compliance of any existing law”

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs. 0.41 Crore towards 220 kV/400 kV Switch Yard under Regulation 28.1 (b), which provides for “change in law or compliance of any existing law”. The said expenditure of Rs. 0.41 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to aforesaid CEA Regulations. Hence, this expenditure of Rs 0.41 Crore is not allowed in this Order at this stage.

viii. Switchgears including Cable Connections:-

Petitioner’s Submission

The capitalization claimed under Account Code 10.561 is order for Supply of M/s BHEL make 6.6kV Vacuum circuit breaker (Type-VM12), 2750AMP and 1600AMP vide order No. 2643 dated 12.10.2020 amounting to Rs 0.10 Crores.

Being statutory requirement, the said additional capitalization is claimed under proviso 28.1(a) of the Regulations, 2020, which provides for “compliance of orders or directions of any statutory authority.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.10 Crore towards switchgears including cable connections claimed under Regulation 28.1 (a) which provides for “Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law”. On perusal of the details and documents filed by the petitioner, it is observed that the petitioner has not demonstrated that whether the aforesaid expenditure is made on advise or direction by the Govt. agency or any statutory body in accordance to the Regulations. Hence, this expenditure of Rs 0.10 Crore towards switchgears including cable connections is not allowed in this Order at this stage.

ix. **Batteries Including Charging Equipments:-****Petitioner's Submission**

The capitalization claimed under Account Code 10.563 is towards supply of (90 Battery Cell) installing and Commissioning of Model No. YKP 25, 300 AH capacity of Exide make battery bank (110 batteries) Model No. YKP, 300 AH battery bank of CHP Area amounting to Rs 0.33 Crores vide orders No. 205 dated 13.04.2022 is submitted.

The said capitalization is claimed as per Proviso 27.2(c) of the Regulations, 2020 which provides for "replacement of such asset or equipment is necessary on account of obsolescence of technology".

The Batteries decapitalized/ written off against aforesaid capitalization is considered under asset deduction at Table 4.3.32.1 at Page 60 of the instant petition. The details of asset deductions at ATPS PH-3 are detailed in table below:

A/c Code	Description	Amount in Rs. Crore
10.101	Land Owned Under Full Title	0.0004
10.551	Material Handling Equipment-Earth-Movers, Bulldozer	0.09
10.563	Batteries Including Charging Equipment	0.59
10.588	Petrol Pump Refilling Service Tools & Tackles	0.057
10.740	Other Vehicles	0.008
10.800	Furniture And Fixtures	0.0004
10.905	Computers	0.038
Total		1.76

In accordance of proviso 27.2 of the Regulations, the assets decapitalized/ written off has been reduced from the Gross block along with corresponding accumulated depreciation as reflected in Table 4.4.6.1 at Page 67 & Table 4.4.9.1 at page 70 of the instant petition. The same is detailed in the Asset cum depreciation Register being annexed with this submission.

Further as per proviso 28.2, the corresponding Normative Loan and Equity w.r.t. assets de-capitalized has been deducted/ adjusted as submitted in the instant petition".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.33 Crore towards batteries including charging equipments under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the

additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under Regulations, the petitioner has informed that the Batteries are decapitalized/written off against aforesaid capitalization which is duly recorded in Asset-cum-Depreciation register and considered under asset deduction in subject petition. Hence, the said expenditure of Rs 0.33 Crore claimed by the petitioner falls under the aforesaid provision mentioned in the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has done necessary adjustments in the gross fixed assets and the cumulative depreciation in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, this expenditure towards batteries including charging equipments is allowed in this Order.

x. Air Conditioning Plant-Portable :-

Petitioner’s Submission

The capitalization claimed under Account Code 10.577 is:-

- i. Towards supply, installation & Commissioning of 4x100 TR capacity energy efficient eco-friendly screw chillers including replacement of existing reciprocating water cooled chiller (Model LCWRI-090 & LCWRI-050, Blue Star make) of HVAC system vide order No. 1627 dated 19.07.2022.*
- ii. Supply, Installation & Commissioning of industrial Grade Split AC in CAAQMS, UPS room & pollution control monitoring room vide order no. 4236 dated 25.03.2022 amounting to Rs 0.97 Crores.*

The aforesaid capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides for “replacement of such asset or equipment is necessary on account of obsolescence of technology.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.97 Crore towards Air Conditioning Plant-Portable under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of

the Regulations, 2020 as the petitioner has not justified the replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards Air Conditioning Plant-Portable is not allowed in this Order at this stage.

xi. Tools and Tackles:-

Petitioner's Submission

The capitalization claimed under Account Code 10.583 amounting to Rs. 0.01 Crores is towards procurement of H2 & SF-6 gas leak detector vide order No. 1217 dated 23.06.2022.

The aforesaid capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment is necessary on account of obsolescence of technology.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.01 Crore towards procurement of tools and tackles under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the aforesaid Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards procurement of tools and tackles is not allowed in this Order at this stage.

xii. Petrol Pump Refilling Service Tools & Tackles:-

Petitioner's Submission

The capitalization claimed under Account Code 10.588 is towards procurement of One Nos. turbidity meter for chemical lab vide order No. 1197 dated 23.06.2022 amounting to Rs 0.05 Crore.

The said capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides for “replacement of such asset or equipment is necessary on account of obsolescence of technology”.

The Tools & Tackles decapitalized/ written off against aforesaid capitalization is considered under asset deduction at Table 4.3.32.1 at Page 60 of the instant petition. The details of asset deductions at ATPS PH-3 are detailed in table below:-

A/c Code	Description	Amount in Rs. Crore
10.101	Land Owned Under Full Title	0.0004
10.551	Material Handling Equipment-Earth-Movers, Bulldozer	0.09
10.563	Batteries Including Charging Equipment	0.59
10.588	Tools & Tackles	0.057
10.740	Other Vehicles	0.008
10.800	Furniture And Fixtures	0.0004
10.905	Computers	0.038
Total		1.76

In accordance of proviso 27.2 of the Regulations, the assets de-capitalized/ written off has been reduced from the Gross block along with corresponding accumulated depreciation as reflected in Table 4.4.6.1 at Page 67 & Table 4.4.9.1 at page 70 of the instant petition. The same is detailed in the Asset cum depreciation Register being annexed with this submission.

Further as per proviso 28.2, the corresponding Normative Loan and Equity w.r.t. assets de-capitalized has been deducted/ adjusted as submitted in the instant petition.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 0.05 Crore towards procurements of tools and tackles under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under Regulations, the petitioner has informed that tools and tackels are decapitalized/written off against aforesaid capitalization which is considered under asset deduction in subject petition. Hence, the said expenditure of Rs 0.05 Crore claimed by the petitioner falls under the aforesaid provision mentioned in the Regulation 27.2 (c) of the Regulations, 2020 as the

petitioner has done necessary adjustments in the gross fixed assets and the cumulative depreciation in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, this expenditure towards tools and tackles is allowed in this Order.

xiii. Other Misc Equipments Including Fire Fighting System:-

Petitioner's Submission

The capitalization booked under Account Code 10.599 amounting to Rs. 0.44 Crores is towards procurement of one number multipurpose Fire Tender vide order No. 203 dated 13.04.2022.

The said capitalization is claimed as per Proviso 28.1(d) of MPERC Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security.

Further, CEA has released the Safety Advisory to all Thermal Power Generating Utilities on dated 23.05.2022”.

Commission's Analysis:

The petitioner has claimed Rs 0.44 Crore under additional capitalization towards procurement of one no. fire tender. The said expenditure of Rs. 0.44 Crore claimed by the petitioner falls under Regulation 28.1 (d) of the Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant. Since, the aforesaid capitalization is done in compliance to CEA Advisory dated 23.5.2022 regarding safety advisory to all thermal power generating utilities, hence, the aforesaid additional capitalization of Rs 0.44 Crore is allowed in this Order.

xiv. Furniture & Fixtures, Office Equipments and Computers:

The capitalization claimed under Account Code 10.800 is towards procurement of office furniture vide order No. 1032 dated 10.06.2022 amounting to Rs 0.02 Crores. Aforesaid capitalization is claimed under proviso 27.2(c) of MPERC Regulations 2020, which provides for “The replacement of such asset or equipment is necessary on account of obsolescence of technology”.

The Furniture and Fixtures decapitalized/ written off against aforesaid capitalization is considered under asset deduction at Table 4.3.32.1 at Page 60 of the instant petition. The details of asset deductions at ATPS PH-3 are detailed in table below:

A/c Code	Description	Amount in Rs. Crore
10.101	Land Owned Under Full Title	0.0004
10.551	Material Handling Equipment-Earth-Movers, Bulldozer	0.09

A/c Code	Description	Amount in Rs. Crore
10.563	Batteries Including Charging Equipment	0.59
10.588	Petrol Pump Refilling Service Tools & Tackles	0.057
10.740	Other Vehicles	0.008
10.800	Furniture And Fixtures	0.0004
10.905	Computers	0.038
	Total	1.76

In accordance of proviso 27.2 MPERC Regulations, the assets decapitalized/ written off has been reduced from the Gross block along with corresponding accumulated depreciation as reflected in Table 4.4.6.1 at Page 67 & Table 4.4.9.1 at page 70 of the instant petition. The same is detailed in the Asset cum depreciation Register being annexed with this submission.

Further as per proviso 28.2, the corresponding Normative Loan and Equity w.r.t. assets decapitalized has been deducted/ adjusted as submitted in the instant petition.

Office Equipments :-

The capitalization claimed under Account Code 10.904 is towards:

- i. Procurement of Photocopy Machine vide order No. 2508 dated 13.12.2021,*
- ii. Supply of LED for training hall vide order No. 1711 dated 11.10.2021*
- iii. Video Conference system for training hall vide order No. 1708 dated 11.10.2021 amounting to Rs 0.04 Crores.*

The said capitalization is claimed under proviso 27.2(c) of MPERC Regulations 2020, which provides for “The replacement of such asset or equipment is necessary on account of obsolescence of technology”.

Computers :-

The capitalization claimed under Account Code 10.905 total amounting to Rs. 0.01 Crores is:

- (i) Supply of 01 no. Desktop Computer & 01 no. Laser jet scanner cum Printer amounting to Rs 0.002 Crores vide order No. 3569 dated 05.01.2023.*
- (ii) Supply of 2 No. personal computer along with 2 No. UPS amounting to Rs 0.0128 Crores vide order No. 3022 dated 12.01.2022.*

Aforesaid order copies are submitted.

The aforesaid capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides for “replacement of such asset or equipment is necessary on account of obsolescence of technology”.

The Computers de-capitalized/ written off against aforesaid capitalization is considered under asset deduction at Table 4.3.32.1 at Page 60 of the instant petition. The details of asset deductions at ATPS PH-3 are detailed in table below:

A/c Code	Description	Amount in Rs. Crore
10.101	Land Owned Under Full Title	0.0004
10.551	Material Handling Equipment-Earth-Movers, Bulldozer	0.09
10.563	Batteries Including Charging Equipment	0.59
10.588	Petrol Pump Refilling Service Tools & Tackles	0.057
10.740	Other Vehicles	0.008
10.800	Furniture And Fixtures	0.0004
10.905	Computers	0.038
Total		1.76

In accordance of proviso 27.2 of the Regulations, 2020, the assets decapitalized/ written off has been reduced from the Gross block along with corresponding accumulated depreciation as reflected in Table 4.4.6.1 at Page 67 & Table 4.4.9.1 at page 70 of the instant petition. The same is detailed in the Asset cum depreciation Register being annexed with this submission.

Further as per proviso 28.2, the corresponding Normative Loan and Equity w.r.t. assets de-capitalized has been deducted/ adjusted as submitted in the instant petition”.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.02 Crore towards Furniture & Fixtures, Rs 0.04 Crore towards office equipments & Rs 0.01 Crore towards Computers under Regulation 27.2 (c) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards furniture & fixtures, office equipments and computers is

in the nature of Operation & Maintenance Expenses. Hence, expenditure towards Furniture & Fixtures, Office equipments & computers is not allowed in this Order.

xv. Capital Spares: -

Petitioner's Submission

MPPGCL has conducted physical verification of Inventory and Valuation of Material at Site of its power stations. Based on said verification, MPPGCL has identified the minor amount of Capital Spares at ATPS PH-3 and the same have been capitalized in the Books of Accounts of FY 2022-23 amounting to Rs.0.08 Crores. . The same is claimed in the instant petition. The supporting documents in this regard, are submitted.

Aforesaid capitalization is claimed under proviso 26.1 (iii) of MPERC Regulations, 2020 which provides for Procurement of initial capital spares within the original scope of work, in accordance with the provisions of Regulation 25 of MPERC Regulations.

Commission's Analysis:

The petitioner has claimed capital spares of Rs 0.08 Crore under Regulation 26.1 (iii) of the Regulations, 2020 which provides that "procurement of initial capital spares within the original scope of work upto cut-off date in accordance with the provisions of Regulation 25". Since, the capital spares of Rs. 0.08 Crore are capitalized and claimed by the petitioner during FY 2022-23 after the cut-off date of the project, hence, this amount is not allowed under Regulation 26.1 (iii) in this Order at this stage.

xvi. Boiler/Turbine Capital Overhaul Expenditure:

The Statutory compliance of Indian Accounting Standards (INDAS) is mandatory on MPPGCL. Based on said standards, the Expenditure on Major inspection/capital Overhaul- Boiler/ Turbine was capitalized in the Audited books of Accounts of MPPGCL in FY 2022-23 at ATPS, Chachai under Account Code 11.602 amounting to Rs 7.38 Crores Chachai & under Account Code 11.603 amounting to Rs 15.59 Crores, totaling to Rs.22.97 Crores. The same is claimed in the instant petition. The supporting documents in this regard, are submitted.

Aforesaid Capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 20 which provides for "Additional capitalization on account of Change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 22.97 Crore towards Boiler/Turbine Capital Overhaul Expenditure under Regulation 28.1 (b) which provides for "change in law or compliance of any existing law". It is observed that

the aforesaid additional capitalization is only book entry, due to change in accounting practices under Indian Accounting Standards, whereas, the Commission is determining tariff under GAAP. The said expenditure of Rs. 22.97 Crore claimed by the petitioner does not fall under Regulation 28.1 (b) of the Regulations, 2020. It is also observed that petitioner is unable to justify its claim of additional expenditure under the Regulations, 2020. Hence, this expenditure of Rs 22.97 Crore is not allowed in this Order.

41. In view of the above, total additional capital expenditure of Rs. 1.09 Crore are allowed in ATPS PH-3 during FY 2022-23 in accordance to the provisions under the Regulations, 2020. The break-up of assets addition considered in this Order which are within original scope of work and beyond original scope of work are as follows:

A/c Code	Description	Amount	Assets within original scope of work	Assets beyond original scope of work
10.322	Drainage And Sewerage Residential Colony	0.27	-	0.27
10.563	Batteries Including Charging Equipment	0.33	0.33	-
10.588	Petrol Pump Refilling Service Tools & Tackles	0.05	0.05	-
10.599	Other Misc. Equip. Including Fire Protection System	0.44	-	0.44
Total		1.09	0.38	0.71

42. The petitioner submitted that the entire additional capitalization in ATPS PH-3 has been funded through equity/internal resources. As per the Regulations, 2020, if the equity actually deployed is more than 30% of the additional capitalization claimed by the petitioner, equity in excess of 30% shall be treated as normative loan. Accordingly, the Commission has considered normative debt equity ratio as per the Regulations, 2020 in this Order.
43. The details of additional capitalization and corresponding funding considered in this Order in ATPS PH-3 are as given below:

Table 15: Additional capitalization and funding allowed in ATPS PH-3

(Rs. in Crore)

Particulars	Additions During FY 2022-23
Assets	1.09
Loan	0.76
Equity considered for assets within Original Scope of Work	0.11
Equity considered for assets beyond Original Scope of Work	0.21

b) STPS Sarni PH-2&3

44. The petitioner submitted that MPPGCL has opted Special Allowance for STPS PH-2&3. Accordingly, MPPGCL is not claiming any additional capitalization on these Units of STPS, Sarni from FY 2011-12 onwards.
45. The Commission has observed that units of STPS PH 2&3 completed its useful life and the petitioner has already opted the special allowance for STPS PH- 2&3 in accordance with the provisions under the applicable MPERC Regulations. Therefore, it is not entitled to claim any additional capitalization in term of the Regulation 30 of the Regulations, 2020.

c) STPS Sarni PH-4:

46. Satpura Thermal Power Station Extension Unit No. 10 & 11 (250 MW each) achieved CoD on 18.08.2013 and 16.03.2014, respectively and the cut-off date of the project was 31.03.2017. The Commission vide order dated 07th January, 2016 determined the final tariff of STPS, Sarni PH-4 on the basis of Annual Audited Accounts.
47. In the subject true-up petition, the petitioner claimed additional capitalization of Rs. 38.19 Crore in STPS PH-4 during FY 2022-23. The petitioner submitted that the additional capitalization of Rs 38.19 Crore has been capitalized in Annual Audited Accounts for FY 2022-23 and recorded in Asset-cum-Depreciation Register. The details of asset under the additional capitalization in STPS PH-4 and relevant Regulations as filed by the petitioner are as given below:

Table 16: Additional Capitalization claimed in STPS PH-4 (Rs. in Crore)

Sr No.	A/c Code	Description	Amount	Clause of Regulation 2020
i	10.412	Railway Sidings	25.62	Clause 27.1 (vi)
ii	10.501	Boiler Plant & Equipments	0.80	Clause 27.2 (c)
iii	10.503	Turbine-Generator-Steam Power Generation	9.03	Clause 28.1 (a)
iv	10.515	Coal Handling Plant & Handling Equipments	0.95	Clause 28.1 (b)
v	10.520	Instrumentation And Controls	0.15	Clause 28.1 (a)
vi	10.588	Chemical Lab Equipments	0.05	Clause 28.1 (b)
vii	10.904	Other Office Equipments	0.06	Clause 27.2 (c) & Clause 28.1 (d)
viii	11.300	Capital Spares	0.04	Clause 27.1(iv)
ix	11.603	Boiler/ Turbine Capital Overhaul Expenditure	1.49	Clause 28.1 (b)
		Total	38.19	

48. On perusal of the aforesaid details and documents filed by the petitioner, it is observed that the generating units of STPS PH-4 achieved CoD on 16.03.2014 and the Cut-off date of the project in terms of proviso 4.1 (I) of MPERC (Terms and Conditions for

Determination of Generation Tariff) Regulations, 2015 was 31.03.2017. Therefore, this power station is considered as existing project in terms of Regulation 3.1(20) of the Regulations, 2020. The additional capitalization claimed in STPS PH-4 is after the cut-off date of the project. Therefore, aforesaid additional capitalization needs to be examined in light of the Regulation 27 of the Regulations, 2020. It is also observed that the petitioner has claimed some of the additional capitalization components beyond the original scope of work, hence, the said additional capitalization needs to be examined in light of the Regulation 28.1 of the Regulations, 2020.

49. Vide Commission's letter dated 28th December, 2023 the petitioner was asked to file certain details/ documents regarding the aforesaid additional capitalization claimed in STPS PH-4. By affidavit dated 25th January, 2024, the petitioner submitted such details.
50. The additional capitalization claimed by the petitioner in STPS PH-4 has been analysed under different heads of assets separately as given below:

i. Railway Sidings

Petitioner's Submission

The Capitalization claimed under Account Code 10.412 amounting to Rs 25.62 Crores is towards Rail transportation system at Ghora Dongri yard & Sarni yard vide letter no. 945 dated 28.08.2023 by Central Railway. The aforesaid capitalization is covered under the Original Scope of Work.

The Capital Expenditure was incurred towards Deposit Works for installation of Rail Transportation system at Ghoradongri Yard for STPS PH-4 Sarni & balance work including Signaling gears & Equipments replacement, loop line & Engine siding Line renovation. The works were awarded to M/s RITES Ltd (Undertaking of Govt. of India). M/s RITES has got this work done from sub vendors/suppliers. These works have already been completed by M/s RITES Ltd.

These are statutory works necessary for smooth and regular transportation of coal.

The capital expenses towards the above work were lying in books of accounts as CWIP. After intimation from M/s RITES Ltd. they have been put to use and partially capitalized in FY 2018-19. The same was allowed by Commission in the True-up Order for FY 2018-19 at para 92, page No. 44 of Petition No. 02 of 2020. The said Deposit work of Railways was completed well within the cut-off date. The balance capitalization amounting to Rs. 25.62 Crores has been capitalized in FY 2022-23 and has been claimed in the instant petition.

The above mention Capitalization is claimed under following clauses of MPERC Regulations, 2020:-

“ 27.1 The capital expenditure, in respect of existing generating station incurred or projected to be incurred on the

following counts after the cut-off date, may be admitted by the Commission, subject to prudence check:

(vi) Any liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payments.

Commission's Analysis:

The petitioner has claimed Rs. 25.62 Crore towards Railway Siding under Regulation 27.1 (vi) of the Regulations, 2020 which provides "any liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payments". The petitioner mentioned that these expenses towards the rail transportation system works were lying in books of accounts as CWIP. After intimation from the railways, they have been put to use and was partially capitalized in FY 2018-19 which was admitted by the Commission in FY 2018-19 in tariff order dated 29th April, 2021 in P. No 02 of 2020. Since the capitalization towards partial works was admitted in FY 2018-19, but balance capitalization amount was lying under CWIP in Annual Audited Accounts and after the assets have been put to use and got capitalized in FY 2022-23 after confirmation by Railways, hence, the capitalization made on account of railway sidings of Rs 25.62 Crore is covered under Regulation 27.1 (vi) of the Regulations, 2020 after discharging of such liabilities by actual payment made by the petitioner. Therefore, the Commission has allowed the additional capitalization of Rs. 25.62 Crore towards railway sidings during FY 2022-23 under Regulation 27.1 (vi) in this Order.

ii. Boiler Plant & Equipments:-

Petitioner's Submission

The capitalization claimed under Account Code 10.501 is procurement of Fluidomate make hydraulic coupling SC-16 of Induced Draft (ID) Fan vide order No. 1863 dated 26.03.2019 amounting to Rs. 0.80 Crore.

The aforesaid capitalization is claimed as per Proviso 27.2(c) of the Regulations, 2020 which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.80 Crore towards Boiler, Plant & Equipments under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not justified the replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards Boiler, Plant & Equipments is not allowed in this Order at this stage.

iii. Turbine-Generator-Steam Power Generation:-

Petitioner's Submission

The Capitalization booked under Account Code 10.503 amounting to Rs 9.03 Crores is towards procurement of LP Turbine Free Standing Blades of "BHEL" make KWU Turbine set of vide order No. 1315 dated 07.01.2020. The order copies are annexed.

*The **Central Electricity Authority (CEA)** has issued advisory dated 07.02.2020 on Spares Part Management for all Thermal Power Utilities. The advisory provides list of critical Spares/ restoration Equipments to be maintained by Thermal Power Plants for counter any eventuality or stoppages. The copy of said Advisory is attached which includes above mentioned HPCV/ IPCV at page-8 of said document. Being statutory requirement, the said additional capitalization is claimed under proviso 28.1(a) of the Regulations, 2020, which provides for compliance of directions of statutory authority.*

MPPGCL humbly request Commission to kindly permit the same.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 9.03 Crore towards procurement of turbine spares claimed under Regulation 28.1 (a) which provides for "Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law". The petitioner submitted that the Central Electricity Authority (CEA) had issued advisory dated 7.2.2020 on Spares Part Management for all Thermal Power Utilities. The advisory provided list of all critical spares/restoration equipments to be maintained by Thermal Power Plants for countering any eventuality or stoppages. Hence, procurement of these assets falls under statutory requirement. Therefore, the said expenditure of Rs 9.03 Crore claimed by the petitioner towards procurement of turbine spares is allowed in this Order under Regulation 28.1 of the Regulations, 2020.

iv. Coal Handling Plant & Handling Equipments: -

Petitioner's Submission

The additional capitalization booked under Account Code 10.515 amounting to Rs.0.95 Crores is towards procurement of Hydraulic Motor of Wagon Trippers & Side Arm Chargers of CHP-IV at STPS, Sarni vide order No. 1316 dated 17.12.2018.

Aforesaid capitalization is claimed under proviso 28.1 (b) of MPERC Regulations, 2020 provides for Change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed Rs 0.95 Crore under additional capitalization towards Coal Handling Plant & Handling Equipments under Regulation 28.1 (b) of Regulations, 2020 which provides for change in law or compliance of any existing law. The said expenditure of Rs 0.95 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in this regard. It was also observed that petitioner was unable to justify its claim of additional expenditure under the Regulations, 2020. Hence, the aforesaid additional capitalization is not allowed in this Order at this stage.

v. Instrumentation and Controls: -

Petitioner's Submission

The Capitalization under Account Code 10.520 amounting to Rs 0.15 Crores is Procurement of Digital Contract Resistance Meter Test Kit for T&C-IV vide order No. 1359 dated 30.03.2022 and procurement of Silica Analyzer for IMD-4 vide order No. 732 dated 02.09.2022.

The said capitalization is claimed under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of "directions given by Statutory authorities".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.15 Crore towards Instrumentation & Controls claimed under Regulation 28.1 (a) which provides for "Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law". On perusal of the details and documents filed by the petitioner, it is observed that the petitioner has not demonstrated that whether the aforesaid expenditure is made on advise or direction by the Govt. agency or any statutory body in accordance to the Regulations. Hence, this expenditure of Rs 0.15 Crore towards Instrumentation & Controls is not allowed in this Order at this stage.

vi. Chemical Lab Equipments:-

Petitioner's Submission

The Capitalization booked under Account Code 10.588 amounting to Rs 0.05 Crores comprises of following is towards:-

- (i) Purchase of Chlorine Leakage Emergency Kit suitable for leakage arresting from liquid chlorine tonner (900 Kg) at chlorination plant amounting to Rs 0.008 Crores vide order No. 1142 dated 02.12.2022.
- (ii) Purchase of stability chamber/ Humidifier/Humidity Control Oven at Coal Sampling Lab vide order No. 1679 dated 24.11.2022 amounting to Rs 0.031 Crores.
- (iii) Purchase of 01 No. Muffle Furnace and 01 No. of Hot Air Oven along with Installation & Commissioning of the equipment at Coal Sampling Lab vide order No. 1115 dated 20.06.2022 amounting to Rs 0.011 Crores.

Aforesaid order copies are submitted.

The above-mentioned capitalization is carried out in compliance of Central Electricity Authority (Technical Standards for Construction of Electrical Plants and Electric Lines) Regulations, 2010 mentioned in page No. 35 which is as under:

**(10) “Laboratories- The Station shall be provided with following laboratories:
(c) Chemical laboratories with necessary equipment, instruments and reagents for chemical analysis in water treatment plant, steam & water analysis and analysis of coal, ash & flue gas.”**

The above-mentioned capitalization claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for change in law or compliance of any existing law”.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.05 Crore towards Chemical Lab Equipments under Regulation 28.1 (b), which provides for “change in law or compliance of any existing law”. The petitioner stated that aforesaid expenditure was made towards compliance of Central Electricity Authority (Technical Standards for Construction of Electrical Plants and Electric Lines) Regulations, 2010, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.05 Crore is allowed in this Order.

vii. Other Office Equipments:

The Capitalization booked under Account Code 10.904 amounting to Rs 0.06 Crores is towards:-

- (i) Supply of Portable Ultrasonic Flow Meter vide order No. 426 dated 26.07.2021 amounting to Rs 0.01 Crores.
- (ii) Supply, Installation & Commissioning of CCTV Camera (Surveillance System) at various location vide order No. 1391 dated 30.03.2022 amounting to Rs 0.0196 Crores.
- (iii) Supply of CCTV Camera & Surveillance System with Installation & Commissioning at various location vide order No. 1249 dated 14.09.2022

amounting to Rs 0.0151 Crores.

- (iv) Purchase of 01 No. Water Cooler Cum UV purifier vide order No. 264 dated 07.07.2022 amounting to Rs 0.008 Crores.
- (v) Procurement of Water Purifier Aqua guard make eureka forbs/kent/Dr. Aqua guard for Erector Hostel vide order No. 2197 dated 21.12.2022 amounting to Rs 0.002 Crores.

Aforesaid order copies are submitted for kind reference.

The additional capitalization of CCTV is claimed under proviso 28.1 (d) of MPERC Regulations 2020, which provides for "Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security".

Further, the capitalization of other office Equipments is claimed under proviso 27.2(c) of the Regulations 2020, which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.03 Crore towards office equipments under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

It is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards office equipments is in the nature of Operation & Maintenance Expenses. Hence, expenditure towards Office equipments is not allowed in this Order.

Further, the petitioner also claimed additional capitalization towards purchase of CCTV Cameras of Rs 0.03 Crore under Regulation 28.1 (d) of the Regulations, 2020. Regulation 28.1 (d) provides that "for any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security". However, the petitioner has not submitted any advisory/directive by appropriate Government Agencies or Statutory Authorities responsible for national security/ internal security, therefore, these expenses are

not allowed in this Order.

viii. Capital Spares:-

The capital spares booked under Account Code 11.300 amounting to Rs.0.04 Crores are capitalized in FY 2022-23 in the Audited Books of Accounts of FY 2022-23 and same is considered in the instant True up petition.

The above mentioned Capitalization is claimed under proviso 27.1(vi) following clauses of MPERC Regulations, 2020 which provides for “Any liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payments;” read with proviso 25 of the Regulations, 2020 towards ceiling limit of capital spares. The copy of store indent is submitted.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.04 Crore towards capital spares under Regulation 27.1 (vi) which provides for “liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payments”. It is observed that such spares have been capitalized after the cut-off date, therefore, the capital spares of Rs. 0.04 Crore claimed by the petitioner during FY 2022-23 is not covered under Regulation 27 (vi) of the Regulations, 2020. Hence, this amount is not allowed in this Order.

ix. Boiler Turbine Capital Overhaul Expenditure:-

Petitioner’s Submission

The Statutory compliance of Indian Accounting Standards (INDAS) is mandatory on MPPGCL. Based on said standards, the Expenditure on Major inspection/capital Overhaul- Boiler/ Turbine was capitalized in the Audited books of Accounts of MPPGCL in FY 2022-23 at STPS, Sarni under Account Code 11.603 amounting to Rs 1.49 Crores. The copies of orders placed on M/s E.M. Services (I) Pvt. Ltd. vide order No. 1081 dated 26.08.2022 are submitted. The same is claimed in the instant petition.

Aforesaid Capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 20 which provides for “Additional capitalization on account of Change in law or compliance of any existing law”.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs. 1.49 Crore towards Boiler/Turbine Capital Overhaul Expenditure under Regulation 28.1 (b), which provides for “change in law or compliance of any existing law”. It is observed that the aforesaid additional capitalization is only book entry due to change in accounting practices under Indian Accounting Standards, whereas the Commission is determining tariff under GAAP. The said expenditure of Rs 1.49 Crore claimed by the petitioner does not fall under Regulation 28.1 (b) of the Regulations, 2020. It is

also observed that petitioner is unable to justify its claim of additional expenditure under the Regulations, 2020. Hence, this expenditure of Rs 1.49 Crore is not allowed in this Order.

51. In view of the above, the total additional capital expenditure of Rs. 34.70 Crore is allowed in STPS PH-4 during FY 2022-23 in accordance to the Regulation 27. 1 and 28.1 of the Regulations, 2020. The breakup of assets addition allowed in this Order which are within original scope of work and beyond original scope of work are as follows:

A/c Code	Description	Amount	Additions within original scope of work	Additions beyond original scope of work
10.412	Railway Sidings	25.62	25.62	-
10.503	Turbine-Generator-Steam Power Generation	9.03	-	9.03
10.588	Chemical Lab Equipments	0.05	-	0.05
Total		34.70	25.62	9.08

52. In subject petition, the petitioner has submitted that the additional capitalization claimed in STPS PH-4 has been funded through loan component of Rs. 0.68 Crore and equity/internal resources of Rs. 37.52 Crore.
53. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, the Commission has considered normative debt equity ratio of 70:30 as per Regulations, 2020 in this Order. The details of additional capitalization and corresponding funding considered in this Order in STPS PH-4 are as given below:

Table 17: Additional capitalization and funding allowed in STPS PH-4 (Rs. in Crore)

Particulars	Additions During FY 2022-23
Assets	34.70
Loan	24.29
Equity considered for assets within Original Scope of Work	7.69
Equity considered for assets beyond Original Scope of Work	2.72

d) SGTPS Birsinghpur PH-1&2

54. The petitioner has filed additional capitalization of Rs. 3.09 Crore during FY 2022-23 in SGTPS PH-1&2 as per Audited Books of Accounts. The details of assets capitalized during FY 2022-23 and claimed by the petitioner are as given below:

Table 18: Additional Capitalization claimed in SGTPS PH 1&2 (Rs. in Crore)

Sr No.	A/c Code	Description	Amount	Clause of Regulation 2020
i	10.507	Ash Handling Plant	0.29	Transferred from ATPS
ii	10.520	Instrumentation And Controls	0.09	Clause 28.1 (a)
iii	10.583	Tools And Tackles	0.25	Clause No. 28.1(b) & 27.2 (c)
iv	10.588	Chemical Lab Equipment	0.08	Clause No. 28.1(b)
v	10.800	Furniture And Fixtures	0.0018	Clause No. 27.2 (c)
vi	10.904	Other Office Equipments	0.07	Clause No. 28.1(b), 28.1(d) & 27.2 (c)
vii	10.905	Computers	0.02	Clause No. 27.2 (c)
viii	11.602	Boiler/Turbine Capital Overhaul Expenditure	2.28	Clause No. 28.1(b)
		Total	3.09	

55. On perusal of the details and documents filed by the petitioner, the Commission has observed that above assets have been capitalized in the Annual Audited Accounts of MPPGCL for FY 2022-23 and these assets are also recorded in Assets-cum-depreciation Register. SGTPS PH-1&2 were declared under commercial operation prior to 01.04.2020, therefore this power station is considered as existing project in terms of Regulation 3.1 (20) of the Regulations, 2020. The additional capitalization filed by the petitioner is after cut-off date of the project, therefore, same has been analysed in terms of Regulation 27 of the Regulations, 2020, which provides that “the capital expenditure, in respect of existing generating station incurred or projected to be incurred on the several counts after the cut-off date, may be admitted by the Commission, subject to prudence check”.
56. It is also observed that the petitioner has also claimed some of the additional capitalization components beyond the original scope of work, hence, the said additional capitalization also needs to be examined in light of the Regulation 28.1 of the Regulations, 2020.
57. Vide Commission’s letter dated 28th December, 2023 the petitioner was asked to file several details/ documents regarding the aforesaid additional capitalization. By affidavit dated 25th January, 2024 the petitioner submitted such details.
58. The additional capitalization claimed by the petitioner in SGTPS PH-1&2 has been analysed under different heads of assets separately as given below :

i. Ash Handling Plant:-

Petitioner’s Submission

The additional capitalization booked under Account Code 10.507 is towards

Coupling for ash slurry pump amounting to Rs 0.29 Crores vide voucher dated 29.10.2020.

Aforesaid asset was transferred from ATPS PH-3 in FY 2017-18. In the True-Up order issued by Commission for FY 2017-18 dated 19.07.2019 in table 8, at page No. 10, it can be seen that Rs 6.25 Crores have been transferred from ATPS PH-3, Chachai to SGTPS Birsinghpur. However, all the transferred assets were not put to use in said Financial year. From the aforesaid table it is evident that out of Rs assets transferred 6.25 Crores. only assets Rs 2.75 Crores have been put to use in FY 2017-18 at SGTPS Birsinghpur. Out of above transfer, in FY 2022-23, Motor for Ash Slurry Pump amounting to Rs 0.29 Crores has been put to use in SGTPS, PH-1&2 and accordingly the same is considered in the instant petition.

MPPGCL humbly request Commission to kindly permit the same.

Commission's Analysis:

The petitioner claimed the additional capitalization amounting to Rs. 0.29 Crore towards transfer of asset related to Ash Handling Plant from ATPS Chachai to SGTPS PH-1&2. As consequent impact, the amount of Rs. 0.29 Crore has already been considered under total asset deduction of Rs. 1.76 Crores at ATPS Chachai as reflected in corresponding table of subject True up petition. Correspondingly Normative Loan/Equity has also been reduced for ATPS Chachai, which is also reflected in subject true up petition. It is observed that the aforesaid additional capitalisation is towards book adjustment. Earlier the assets of Ash Handling Plant were under ATPS Chachai and now it has been transferred to SGTPS PH-1&2. Hence, the asset of Rs 0.29 Crore transfer from ATPS PH-3 to SGTPS PH-1&2 is allowed in this Order, accordingly.

ii. Instrumentation & Controls:-

Petitioner's Submission

The Capitalization under Account Code 10.520 amounting to Rs 0.09 Crores is Procurement of GPS based auto time synchronization system and synchronizations of time with different relay other equipments viz. DCS ATRS GRP DAVR etc. and event recorder and bus bar for PH-I and II vide order No. 3141 dated 13.01.2022.

The above-mentioned capitalization is made towards compliance of IEGC and MPEGC (Clause 6.1.9) , towards safety/Protection of Generator and Electrical Grid System. The Central Electricity Authority regularly monitors the same.

The said capitalization is claimed under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of "directions given by Statutory authorities.

Commission's Analysis:

The petitioner has claimed capitalization of Rs 0.09 Crore towards procurement of GPS based auto time synchronization system and synchronizations of time with

different relay other equipments viz. DCS ATRS GRP DAVR etc. and event recorder and bus bar for PH-I and II. The petitioner informed that this capitalization is made towards compliance of IEGC and MPEGC (Clause 6.1.9), towards safety/Protection of Generator and Electrical Grid System. The Central Electricity Authority regularly monitors the same. Being statutory requirement, the said additional capitalization of Rs 0.09 Crore is allowed in this Order under proviso 28.1(a) of the Regulations, 2020, which provides for compliance of directive of statutory authority.

iii. Tools & Tackles:-

Petitioner's Submission

The capitalization claimed under Account Code 10.583 amounting to Rs. 0.25 Crores is towards:-

- i. Procurements of Latest Technology Portable vibration meter for industrial use vide order No. 99 dated 20.04.2022 amounting to Rs. 0.014 Crores.*
- ii. Supply, Installation & Commissioning of 02 sets of Thermal Conductivity Analyzer for Hydrogen Plant vide order no. 2572 dated 18.11.2021 amounting to Rs. 0.233 Crores.*

The order copies of above are submitted.

The aforesaid capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for change in law or compliance of any existing law and Proviso 27.2(c) of the Regulations, 2020 which provides for replacement of such asset or equipment is necessary on account of obsolescence of technology.

Commission's Analysis:

The petitioner has claimed Rs 0.25 Crore under additional capitalization towards other miscellaneous equipments under Regulation 28.1 (b) of the Regulations, 2020 which provides for change in law or compliance of any existing law. The said expenditure of Rs 0.25 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020. It was also observed that petitioner was unable to justify its claim of additional expenditure after the cut-off date under the Regulations, 2020. Hence, the aforesaid additional capitalization is not allowed in this Order.

The petitioner has also claimed aforesaid additional capitalization towards tools and tackles under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the

Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not justified the replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards tools and tackles is not allowed in this Order.

iv. Chemical Lab Equipments: -

Petitioner's Submission

The Capitalization claimed under Account Code 10.588 amounting to Rs 0.08 Crores is towards procurement of portable flue gas analyzer for division of energy efficiency cells vide order No. 817 dated 27.05.2022.

This capitalization is made towards compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010 mentioned in page No. 35 which is as under:-

“(10) Laboratories-The Station shall be provided with following laboratories:

(c) Chemical laboratories with necessary equipment, instruments and reagents for chemical analysis in water treatment plant, steam & water analysis and. analysis of coal, ash & flue gas.”

Aforesaid Capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.08 Crore towards Chemical lab equipments under Regulation 28.1 (b), which provides for “change in law or compliance of any existing law”. The petitioner stated that aforesaid expenditure was made towards compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.08 Crore is allowed in this Order.

v. Furniture And Fixtures : -

Petitioner's Submission

The Capitalization claimed under Account Code 10.800 amounting to Rs 0.0018 Crores is towards procurement of Air Coolers vide order No. 427 dated 01.06.2018.

The said capitalization is claimed Proviso 27.2(c) of MPERC Regulations, 2020

which provides for replacement of such asset or equipment is necessary on account of obsolescence of technology.

Commission's Analysis

The petitioner has claimed additional capitalization of Rs 0.0018 Crore towards Furniture and Fixtures under Regulation 27.2 (c) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check".

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020, as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards furniture & fixtures is in the nature of Operation & Maintenance Expenses. Hence, expenditure towards Furnitures & Fixtures is not allowed in this Order at this stage.

vi. Office Equipment's :-

Petitioner's Submission

The Capitalization claimed under Account Code 10.904 amounting to Rs 0.07 Crores is towards:-

- i. Procurement of 02 Ton split Air Conditioner 5-star energy efficiency for power house vide order No. 59 dated 07.04.2022 amounting to Rs 0.014 Crores.*
- ii. Procurement of 02 nos. CCTV IP camera with PAN TILT Zoom, above focal length with night vision capability at ETP & ash dyke area order No. 687 dated 04.03.2022 amounting to Rs 0.011 Crores (for higher security).*
- iii. Procurement of 03 no. LED Display Board for showing parameters of Hazardous waste and CAAQMS 7x24 hrs. and vide order no. 2310 dated 26.09.2022 and vide order no. 3997 dated 28.03.2022 respectively amounting to Rs 0.046 Crores.*

The order copies of above are submitted.

The capitalization towards procurements of Air Conditioner is made in compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010 mentioned in page No. 34 which is as under:-

(7) "Ventilation and air-conditioning system:

(a) Suitable ventilation and air-conditioning system shall be provided to

achieve proper working environment in the Station.”

The said capitalization is claimed Proviso 28.1(b) of the Regulations, 2020 which provides for Change in law or compliance of any existing law;

The capitalization towards procurements of CCTV Camera at Power House is made for ensuring higher security at Power House. The said capitalization is claimed Proviso 28.1(d) of MPERC Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant.

The capitalization towards procurements of LED Display Board is claimed Proviso 27.2(c) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment is necessary on account of obsolescence of technology.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.014 Crore towards Air Conditioner under Regulation 28.1 (b), which provides for “change in law or compliance of any existing law”. The petitioner stated that aforesaid expenditure was made towards compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010, however, Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards Air Conditioners is in the nature of Operation & Maintenance Expenses. therefore, the same is not covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.014 Crore towards Air Conditioners is not allowed in this Order.

Further, the amount of additional capitalization towards purchase of CCTV Cameras is not allowed under Regulation 28.1 (d) of the Regulations, 2020 in this Order because the petitioner has not submitted any advisory/directive by appropriate Government Agencies or Statutory Authorities responsible for national security/internal security.

The petitioner has also claimed additional capitalization towards LED Display Boards under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of above provision under the Regulation, it is observed that the said expenditure claimed by the petitioner does not fall under Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown justification of replacement of

existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards LED Boards is in the nature of Operation & Maintenance Expenses. Hence, expenditure towards LED Display Boards is not allowed in this Order.

vii. Computers :-

Petitioner's Submission

The Capitalization claimed under Account Code 10.905 amounting to Rs 0.02 Crores is towards supply of 02 nos. of Desktop Computer, 02 nos. B/W LaserJet printer & 02 nos. UPS, for "Chemical Laboratory" its installation and commissioning at site of D.M. Plant vide order No. 170 dated 31.05.2022.

The said capitalization is claimed Proviso 27.2(c) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment is necessary on account of obsolescence of technology.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.02 Crore towards computers under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards computers is in the nature of Operation & Maintenance Expenses. Hence, expenditure towards Computers is not allowed in this Order.

viii. Boiler/Turbine Capital Overhaul Expenditure:-

Petitioner's Submission

The Statutory compliance of Indian Accounting Standards (INDAS) is mandatory on MPPGCL. Based on said standards, the Expenditure on Major inspection/capital Overhaul-Turbine/generator was capitalized in the Audited books of Accounts of MPPGCL in FY 2022-23 at SGTPS, Birsinghpur under Account Code 11.602 amounting to Rs. 2.28 Crores. The same is claimed in the instant petition. The work order copy by M/s EM Services(I) Pvt. Ltd. vide order No. 696 dated 04.06.2021 is submitted.

Aforesaid Capitalization is claimed as per Proviso 28.1(b) of the Regulations, 2020 which provides for change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 2.28 Crore towards Capital Overhaul under Regulation 28.1 (b) of the Regulations, 2020 which provides that the additional capitalization towards "change in law or compliance of any existing law". Regarding capital expenditure of Rs. 2.28 Crore towards capital overhauling of Turbine & Generators under INDAS-16, the petitioner informed that the aforesaid expenditure has been capitalized due to change in Indian Accounting Standards. The Commission is determining tariff/true up based on the GAAP Accounting standards, therefore, additional capitalization claimed by the petitioner on account of change in accounting standards is not considered in this order for the purpose of true-up of tariff. Further, the Commission has already considered O&M expenses based on norms in the Regulation, 2020 hence, the aforesaid claim of Rs. 2.28 Crore is not allowed in this Order.

59. It is observed that the additional capitalization of Rs. 0.46 Crore is allowed under Regulation 28.1 of the Regulations, 2020 in this Order. The break-up of assets addition considered in this Order which are within original scope of work and beyond original scope of work are as follows:

A/c Code	Description	Amount	Additions within original scope of work	Additions beyond original scope of work
10.507	Ash Handling Plant	0.29	0.29	-
10.520	Instrumentation And Controls	0.09	-	0.09
10.588	Chemical Lab Equipment	0.08	-	0.08
Total		0.46	0.29	0.17

60. In subject petition, the petitioner has submitted that the additional capitalization claimed in SGTPS PH 1 & 2 has been funded through equity/internal resources of Rs. 3.09 Crore.
61. It is observed that equity is deployed more than 30% of the additional capitalization claimed by the petitioner, hence, as per Regulations, 2020, equity in excess of 30% shall be treated as normative loan. Therefore, the Commission has considered normative debt equity ratio of 70:30 as per Regulations, 2020 in this Order.
62. Considering the above, the following additional capitalization and its corresponding funding for SGTPS PH 1 & 2 for FY 2022-23 is considered by the Commission:

Table 19: Additional Capitalization and Funding allowed in SGTPS PH-1&2

(Rs. in Crore)

Particulars	Additions During FY 2022-23
Assets	0.46
Loan	0.32
Equity considered for assets within original scope of work	0.09
Equity considered for assets beyond original scope of work	0.05

e) SGTPS PH-3 (1x500 MW)

63. In the subject petition, the petitioner filed the additional capitalization of Rs. 8.24 Crore in SGTPS Ext. Unit No. 5 for FY 2022-23 as per the Annual Audited Accounts. The details of the assets capitalized during FY 2022-23 in SGTPS 500 MW as filed by the petitioner are as given below:

Table 20: Additional capitalization claimed in SGTPS PH-3

(Rs in Crore)

Sr No	A/c Code	Description	Amount	Clause of Regulation 2020
i	10.401	Pucca Roads	4.21	Clause No. 28.1 (b)
ii	10.507	Ash Handling Plant	0.20	Asset transferred from ATPS
iii	10.563	Batteries Including Charging Equipment	3.42	Clause No. 28.1 (a)
iv	10.582	Equipments In Hospitals/Clinics	0.02	Clause No. 28.1 (b)
v	10.588	Chemical Lab Equipments	0.11	Clause No. 28.1 (a)
vi	10.800	Furniture And Fixtures	0.03	Clause No. 27.2 (c)
vii	10.905	Computers	0.04	Clause No. 27.2 (c)
viii	11.300	Capital Spares at Generating Stations	0.20	Clause No. 26.1 (iii)
		Total	8.24	

64. SGTPS PH-3 was declared under commercial operation on 28.8.2008 prior to 01.04.2019, therefore this power station is considered as existing project in terms of Regulation 3.1 (20) of the Regulations, 2020. The additional capitalization filed by the petitioner has been analysed in terms of Regulation 27 of the Regulations, 2020, which provides that "The capital expenditure, in respect of existing generating station incurred or projected to be incurred on the several counts after the cut-off date, may be admitted by the Commission, subject to prudence check"
65. It is observed that the petitioner has also claimed some of the additional capitalization components beyond the original scope of work, hence, the said additional capitalization needs examination in light of the Regulation 28.1 of the Regulations, 2020.
66. Vide Commission's letter dated 28th December, 2023, the petitioner was asked to file

certain details/ documents regarding aforesaid additional capitalization. By affidavit dated 25th January, 2024, the petitioner submitted the required details. The additional capitalization claimed by the petitioner in SGTPS PH-3 has been analysed under different heads of assets separately as given below:-

i. Pucca Roads: -

Petitioner's Submission

The Ministry of Environment, Forest and Climate Change on 31.12.2021 has issued Notification for on Ash Utilization from Coal or Lignite Thermal Power Stations (Change in Law). Wherein every Coal or lignite based thermal Power plants is primarily responsible to ensure 100% utilization of Ash generated by it in an eco-friendly manner. The earlier notification dated 25.01.2016 at Para 2(b) (9) had categorically mentioned that every coal or lignite based thermal power plants shall install dedicated dry ash silos having separate access road so as to ease delivery of fly ash. In compliance to the above RCC road was got constructed from ash silo I to IV to west gate of NTH and road from Gate No. 2 to MCR 500 MW in CHP area vide order No. 2665 dated 31.03.2021.

The additional Capitalization has been booked under Account Code 10.401 amounting to Rs 4.21 Crores.

The said capitalization is being claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for "Change in law or compliance of any existing law". MPPGCL requests Commission to kindly permit the same.

Commission's Analysis:

The petitioner has claimed capitalization of Rs 4.21 Crore towards RCC road which was constructed from ash silo I to IV to west gate of NTH and road from Gate No. 2 to MCR 500 MW in CHP area so as to ease delivery of fly ash. Aforesaid additional capitalization is claimed under Regulation 27.1 (iii) and Regulation 28.1 (b) of the Regulations, 2020. Regulation 27.1 (iii) provides for deferred works relating to ash pond or ash handling system including ash transportation facility in the original scope of work after cut-off date and Regulation 28.1(b) provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. Since, the aforesaid capitalization is related to ash ponds works and has been done towards compliance of MoEF&CC notification towards Ash Utilization, hence, additional capitalization of Rs 4.21 Crore towards Pucca Roads is allowed in this Order under Regulation 28.1 (b) of the Regulations, 2020.

ii. Ash Handling Plant:-

Petitioner's Submission

The additional Capitalization claimed under Account Code 10.507 amounting to Rs 0.20 Crore is towards Ash slurry pump motor transferred from ATPS, Chachai.

Aforesaid asset was transferred from ATPS PH-3 in FY 2017-18. In the True-Up order issued by Commission for FY 2017-18 dated 19.07.2019 in table 8, at page No. 10, it can be seen that Rs 6.25 Crore have been transferred from ATPS PH-3, Chachai to SGTPS Birsinghpur. However, all the transferred assets were not put to use in said financial year. From the aforesaid table it is evident that out of assets transferred of Rs 6.25 Crore, only assets of Rs 2.75 Crores have been put to use in FY 2017-18 at SGTPS Birsinghpur. Out of above transfer, in FY 2022-23, Motor for Ash Slurry Pump amounting to Rs 0.20 Crore has been put to use in SGTPS, PH-3 and accordingly the same is considered in the instant petition.

MPPGCL humbly requests Commission to kindly permit the same”.

Commission's Analysis:

The petitioner claimed the additional capitalization amounting to Rs. 0.20 Crore towards transfer of asset related to Ash slurry pump motor transferred from ATPS, Chachai to SGTPS PH-3. As consequent impact, the amount of Rs. 0.20 Crore has already been considered under total asset deduction of Rs. 6.25 Crores at ATPS Chachai PH-3 which was considered by the Commission for FY 2017-18 vide Order dated 19th July, 2019 in Table 8. However, all the transferred assets were not put to use in the said FY 2017-18, only Rs 2.75 Crore were been put to use in FY 2017-18 at SGTPS, Birsinghpur. Out of above transfer, in FY 2022-23, Motor for Ash Slurry Pump amounting to Rs 0.20 Crore have been put to use in SGTPS PH-3. It is observed that the aforesaid additional capitalisation is towards book adjustment. Earlier the Motor for Ash Slurry Pump was under ATPS and now it has been transferred to SGTPS, Birsinghpur. Hence, the asset transfer of Rs. 0.20 Crore from ATPS PH-3 to SGTPS, Birsinghpur is allowed in this Order, accordingly.

iii. Batteries Including Charging Equipment-

Petitioner's Submission

The Capitalization claimed under Account Code 10.563 is towards supply, installation and commissioning of spares for up-gradation of battery charger vide order No. 1538 dated 13.08.2021 amounting to Rs 0.47 Crore and towards supply, installation and commissioning of 220V 2250AH battery set vide order No.2059 dated 20.09.2021 amounting to Rs 2.95 Crore, total amounting to Rs 3.42 Crores.

This capitalization is made towards compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010 mentioned in page No. 59 which is reproduced as under:-

“(6) DC supply system-

(b) The battery shall have sufficient capacity to meet unit and station loads in addition to 3 hours of uninterrupted emergency illumination requirement.

(c) DC system shall comprise of two DC battery sets (both battery sets of full capacity) each with one float cum boost charger.

(d) The float cum boost battery charger as well as its automatic regulator shall be of static type. It shall have a facility of both auto as well as manual control in both the float and boost modes.”

Aforesaid capitalization is claimed as per Proviso 28.1(a) of MPERC Regulations, 2020 which provides for “... directions of the statutory authority.

Commission’s Analysis:

The petitioner has claimed capitalization of Rs 3.42 Crore towards batteries Including Charging Equipments. The petitioner informed that the aforesaid capitalization is done towards compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010. On perusal of the details and documents submitted by the petitioner, it is observed that such assets additions is not covered under aforesaid CEA Regulations, therefore, the same does not fall under Regulation 28.1 (a) of the Regulations, 2020. Hence, the said additional capitalization of Rs. 3.42 Crore is not allowed in this Order at this stage.

iv. Equipments in Hospitals/Clinics:-

Petitioner’s Submission

The Capitalization claimed under Account Code 10.582 amounting to Rs 0.02 Crores is towards supply of 2 nos. Cardiac Multipara Monitor for MPPGCL Hospital vide order No. 244 dated 22.07.2022.

The said capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for which provides for “Change in law or compliance of any existing law.

Commission’s Analysis:

The petitioner has claimed Rs. 0.02 Crore under additional capitalization towards Equipments in Hospitals/Clinics under Regulation 28.1 (b) of Regulations, 2020 which provides for change in law or compliance of any existing law. The said expenditure of Rs 0.02 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in this regard. It was also observed that petitioner was unable to justify its claim of additional capital expenditure under the Regulations, 2020. Hence, the aforesaid additional capitalization is not allowed in this Order at this stage.

v. Chemical Lab Equipments : -

Petitioner’s Submission

The Capitalization claimed under Account Code 10.588 amounting to Rs 0.11 Crores is:-

- a) Supply of Turbidity Meter and its installation and calibration at chemical laboratory amounting to Rs 0.04 Crores vide order No. 2033 dated 06.09.2022.
- b) Supply of Portable Hydrogen Purity Analyzer for hydrogen/ carbon dioxide/air purging with separate oxygen display-along with accessories and its installation, calibration at chemical laboratory amounting to Rs 0.07 Crore vide order No. 3936 dated 16.01.2023.

The above-mentioned capitalization is made towards compliance of Central Electricity Authority (Technical Standards for Construction of Electrical Plants and Electric Lines) Regulations, 2010 mentioned in page No. 35 which is as under:

“(10) Laboratories- The Station shall be provided with following laboratories:

(c) Chemical laboratories with necessary equipment, instruments and reagents for chemical analysis in water treatment plant, steam & water analysis and. analysis of coal, ash & flue gas.”

The MP Pollution Control Board also insists for the same. The above mentioned capitalizations are therefore claimed under proviso 28.1(a) of MPERC Regulations 2020, which provides for “... directions of the statutory authority ...”.

Commission’s Analysis:

The petitioner has claimed capitalization of Rs. 0.11 Crore towards Chemical lab Equipments. The petitioner informed that the aforesaid capitalization is done towards compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010. Aforesaid expenditure is capitalized in Annual Audited Accounts after cut-off date and is covered beyond the original scope of work of the project. Being statutory requirement, the said additional capitalization of Rs 0.11 Crore is allowed in this Order under proviso 28.1(a) of the Regulations, 2020, which provides for compliance of directive of statutory authority.

vi. Furniture and Fixtures, Computers: -

Petitioner’s Submission

The Capitalization booked under Account Code 10.800 amounting to Rs 0.03 Crores is towards:-

- a) Procurement of 17 No. Air coolers vide order No. 1254 dated 08.05.2021 amounting to Rs 0.01 Crores.

- b) *Supply of 1 No. Room air cooler with stand for 100KT road weigh bridge room amounting to Rs 0.0001 Crores vide order No.2637 dated 30.03.2022.*
- c) *Procurement of 3 Seat Steel/ Metal bench (Aluminum) Colour vide order No. 399 dated 11.05.2022 amounting to Rs 0.02 Crores.*

Aforesaid Capitalization is claimed under proviso 27.2 (c) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment is necessary on account of obsolescence of technology.

Computers

Petitioner's Submission:

The Capitalization booked under Account Code 10.905 amounting to Rs 0.04 Crores is towards:

- a) *Supply of line matrix Printer vide order No.1137 dated 23.06.2022 amounting to Rs 0.02 Crores.*
- b) *Supply of 1 No. Desktop PC for M-clubbed and Smart 2000 meter reading software for energy meter reading vide order No. 587 dated 04.10.2021 amounting to Rs 0.007 Crores.*
- c) *Supply of 2 Nos. Laptops and 1 No. Auto Dulex Printer vide order No. 91 dated 02.03.2022 amounting to Rs 0.01 Crores.*

Aforesaid capitalization is claimed under proviso 27.2(c) of MPERC Regulations 2020, which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology".

MPPGCL wishes to submit that any write-off towards replacement etc. carried out in future years shall be dealt in accordance with the Regulations and due care shall be taken to record the same in respective True up petitions.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.03 Crore towards Furniture & Fixtures, Rs 0.04 Crore towards Computers under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c)

of the Regulations, 2020 as the petitioner has not shown justification of the replacement of the existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards Furniture & Fixtures & computers is in the nature of Operation & Maintenance Expenses. Hence, expenditure towards Furniture & Fixtures & computers is not allowed in this Order.

vii. Capital Spares:-

Petitioner's Submission

The capital spares booked under Account Code 11.300 amounting to Rs.0.20 Crores towards procurement of Capital Spares.

Aforesaid capitalization is claimed as per proviso 26.1(iii) which provides for Procurement of initial capital spares within the original scope of work, read with proviso 25 of MPERC Regulations 2020 towards ceiling limit of Capital spares.

Commission's Analysis:

The petitioner has claimed capital spares of Rs 0.20 Crore under Regulation 26.1 (iii), which provides that "procurement of initial capital spares within the original scope of work upto cut-off date in accordance with the provisions of Regulation 25". Since, the capital spares of Rs. 0.20 Crore are capitalized in Annual Audited Accounts and claimed by the petitioner during FY 2022-23 are after the cut-off date of the project. This amount is not covered under the scope of Regulation 26.1 (iii), hence, not allowed in this Order.

67. It is observed that the additional capitalization of Rs. 4.52 Crore is covered under the Regulations, 2020, hence, allowed in this Order. The break-up of assets addition considered in this Order which are within original scope of work and beyond original scope of work are as follows:

A/c Code	Description	Amount	Additions within original scope of work	Additions beyond original scope of work
10.401	Pucca Roads	4.21	-	4.21
10.507	Ash Handling Plant	0.20	0.20	-
10.588	Chemical Lab Equipments	0.11	-	0.11
Total		4.52	0.20	4.32

68. The petitioner has submitted that the entire additional capitalization is funded through equity/internal resources. Since, it is observed that equity is deployed more than 30% of the additional capitalization claimed by the petitioner, hence, as per Regulations, 2020, equity in excess of 30% shall be treated as normative loan. Therefore, the Commission has considered normative Debt: Equity ratio of 70:30 as per the Regulations, 2020.

69. Considering the above, the following additional capitalization and its corresponding funding for SGTPS PH 3 for FY 2022-23 is allowed by the Commission:

Table 21: Additional Capitalization and Funding allowed in SGTPS PH-3 (Rs. in Crore)

Particulars	Additions During FY 2022-23
Assets	4.52
Loan	3.16
Equity considered for assets within Original Scope of Work	0.06
Equity considered for assets beyond Original Scope of Work	1.30

f) SSTPP Khandwa PH 1:

70. The Unit No.1 & 2 (2x600 MW) of SSTPS PH-1 were commissioned on 01.02.2014 and 28.12.2014, respectively, therefore, the cut-off date of the project as per clause 4.1(I) of MPERC Tariff Regulations, 2015 was 31.03.2017. The Commission vide Order dated 30.12.2017 had determined the final generation Tariff from CoD of Unit No. 1 to 31st March, 2016. The petitioner submitted that the additional capitalization of Rs. 7.54 Crore claimed in the subject petition has been capitalized during FY 2022-23 in SSTPP PH-I and recorded in Audited Books of Accounts.
71. The details of assets capitalized under the additional capitalization as filed by the petitioner are as given below:

Table 22: Additional Capitalization claimed in SSTPP PH-1 (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Clause of Regulations, 2020
i	10.233	Other Buildings	5.80	Clause No. 28.1(d)
ii	10.503	Turbine-Generator-Steam Power Generator	0.03	Clause No. 28.1 (a)
iii	10.565	Fabrication Shop/Workshop Plant & Equipments	0.31	Clause No. 28.1(b)
iv	10.578	Air Condition& Ventilation System	0.04	Clause No. 27.1 (vi) Clause No. 28.1(b)
v	10.582	Equipments In Hospitals/Clinics	0.01	Clause No. 28.1 (c)
vi	10.599	Other Misc .Equip. Including Fire Protection System	0.02	Clause No. 28.1 (d)
vii	10.800	Furniture And Fixtures	0.001	Clause No. 27.2 (c)
viii	10.904	Other Office Equipments	0.09	Clause No. 27.2 (c) Clause No. 28.1 (d)
ix	10.905	Computers	0.04	Clause No. 27.2 (c)
x	11.300	Capital Spares	0.15	Clause No. 26.1(iii)
xi	11.603	Boiler/Turbine Capital Overhaul Expenditure	1.03	Clause No. 28.1(b)
		Total	7.54	

72. On scrutiny of the details and documents filed by the petitioner, it is observed that the Unit No. 2 of power station achieved CoD on 28th December, 2014, therefore, the Cut-off

date of the unit as per clause 4.1(I) of MPERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2015 was 31.03.2017. The additional capital expenditure filed by the petitioner in SSTPP PH-1 (2x600) MW is beyond the cut-off date of the power house.

73. SSTPP PH-1 was declared under commercial operation prior to 01.04.2019, therefore, this power station is considered as existing project in terms of Regulation 3.1(20) of the Regulations, 2020. The additional capitalization claimed in SSTPP PH-1 is after the cut-off date of the project. Therefore, the aforesaid additional capitalization needs to be examined in light of the Regulation 27 of the Regulations, 2020. The petitioner has also claimed few components of the additional capitalization beyond the original scope. Therefore, the aforesaid additional capitalization also needs to be examined in light of the Regulation 28 of the Regulations, 2020.
74. Vide Commission's letter dated 28th December, 2023, the petitioner was asked to file certain details/ documents regarding the additional capitalization in SSTPP PH-1. By affidavit dated 25th January, 2024, the petitioner filed its response. The additional capitalization claimed by the petitioner in SSTPP PH-1 has been analysed under different heads of assets separately as given below :

i. Other Buildings:-

Petitioner's Submission

The Capitalization booked under Account Code 10.233 amounting to Rs 5.80 Crores is pertains to other Buildings is towards:-

- i. *Construction of store shed for hazardous material with chain link fencing vide order No. 2267 dated 12.02.2021 amounting to Rs 0.66 Crores.*
- ii. *Construction of limited height subway in lieu of level crossing at six locations LC No.STP1 to STP6 in between Bir to Plants by cut & cover method vide UO. No. 755 dated 26.04.2019 amounting to Rs 5.14 Crores.*

The MP Pollution board Notification provides for works to be carried out at the power Station for safety against hazardous material.

Further as per directives of Indian railways (Western Central railways) the works towards limited height subway against level crossing was carried out for safety of railway property and general public.

The said capitalization is claimed as per Proviso 28.1(d) of MPERC Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety.

Commission's Analysis:

The petitioner has claimed Rs 5.80 Crore under additional capitalization towards construction of other buildings. The said expenditure of Rs 5.80 Crore claimed by the petitioner under Regulation 28.1 (d) of the Regulations, 2020 which provides

for any capital expenditure to be incurred on account of need for higher security and safety of the plant. The petitioner has submitted that the aforesaid additional assets have been capitalized in Annual Audited Accounts and duly recorded in Asset-cum-Depreciation Register of the Project. Since, the aforesaid capitalization is done in compliance to MP Pollution board Notification provides for works to be carried out at the power Station for safety against hazardous material. Further as per directives of Indian railways (Western Central railways), the works towards limited height subway against level crossing was carried out for safety of railway property and general public, hence, the aforesaid additional capitalization of Rs 5.80 Crore is allowed under Regulation 28.1 (d) of the Regulations, 2020 in this Order.

ii. Turbine Generator & Steam Power Generation :

Petitioner's Submission

The Capitalization booked under Account Code 10.503 amounting to Rs 0.03 Crores procurement of Main Plants & Equipments of 'Main Power Block' broadly comprising of BGT, Electricals and C&I packages including mandatory spares by M/s BHEL of amounting to Rs 0.03 Crores vide order No. 2907 dated 12.12.2008. Aforesaid order copies are annexed for kind reference please.

*The **Central Electricity Authority (CEA)** has issued advisory dated 07.02.2020 on Spares Part Management for all Thermal Power Utilities. The advisory provides list of critical Spares/ restoration Equipments to be maintained by Thermal Power Plants for counter any eventuality or stoppages. The copy of said Advisory is attached which includes above mentioned HPCV/ IPCV at page-8 of said document.*

Being statutory requirement, the said additional capitalization is claimed under proviso 28.1(a) of the Regulations, 2020, which provides for compliance of directions of statutory authority.

MPPGCL requests Commission to kindly permit the same.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.03 Crore towards procurement of turbine spares under Regulation 28.1 (a) which provides for "Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law". The petitioner submitted that the Central Electricity Authority (CEA) had issued advisory dated 7.2.2020 on Spares Part Management for all Thermal Power Utilities. The advisory provided list of all critical spares/restoration equipments to be maintained by Thermal Power Plants for countering any eventuality or stoppages. The petitioner has submitted that the aforesaid additional assets have been capitalized in Annual Audited Accounts and duly recorded in Asset-cum-Depreciation Register of the Project. Hence, procurement of these assets falls

under statutory requirement. Therefore, the said expenditure of Rs. 0.03 Crore claimed by the petitioner towards procurement of turbine spares is allowed in this Order under Regulation 28.1 of the Regulations, 2020.

iii. Fabrication Shop/Workshop Plant & Equipments:-

Petitioner's Submission

The Capitalization booked under Account Code 10.565 amounting to Rs. 0.31 Crore pertains to Fabrication Shop/ Workshop Plant & Equipment's towards:

- i. 01 No. Heavy Duty Precision Lathe Machine, HMT Model L-50/7000 & 01 No. Heavy Duty Radial Drill machine HMT model RM-63 vide document No. 630022 dated 30.06.2022 vide order No. 15625 dated 22.03.2021.*
- ii. 01 No. Heavy Duty all Geared Shaping Machine for workshop vide document No. 630002 dated 31.01.2023 vide order No. 13474 dated 03.03.2022.*

Aforesaid capitalization is claimed under proviso 28.1(b) of the Regulations 2020, which provides for change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed Rs. 0.31 Crore under additional capitalization towards Fabrication shop/Workshop Plant & Equipments under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure incurred beyond original scope of works under change in law or compliance of any existing law. The said expenditure of Rs 0.31 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in this regard. It was also observed that petitioner was unable to justify its claim of additional expenditure under the Regulations, 2020. Hence, the aforesaid additional capitalization is not allowed in this Order at this stage.

iv. Air Condition And Ventilation System:-

Petitioner's Submission

The Capitalization booked under Account Code 10.578 amounting to Rs 0.04 Crores is under the Original Scope of Work of SSTPP PH-1 Khandwa. The reasons for delay in supply are attributable to supplier/vendor and beyond the control of MPPGCL for which LD will be recovered from the vendor/supplier at the time of Final settlement. The said items were held under Capital Work in Progress are been capitalized in FY 2022-23 in the Audited Books of Accounts of FY 2022-23 and same is considered in the instant True up petition towards Balance works of Air conditioner and Ventilation System vide document no. 680414 and 680415 dated 31.03.2023 are annexed.

It is to mention that the aforesaid payments were made in reference to capital

expenditure carried within the original scope of cost estimate of Rs. 7850 Crores approved by GoMP vide letter dated 23.01.2015 already submitted before Commission.

This capitalization is made towards compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010 mentioned in page No. 34 which is as under:-

(7) “Ventilation and air-conditioning system:

(a) Suitable ventilation and air-conditioning system shall be provided to achieve proper working environment in the Station.”

Aforesaid Capitalization is claimed as per Proviso 27.1 (vi) of MPERC Regulations, 2020 which provides for Liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payment.

Further proviso 28.1(b) of MPERC Regulations 2020, which provides for change in law or compliance of any existing law.

Commission’s Analysis:

The petitioner has claimed additional capitalization towards A/C and Ventilation System of Rs 0.04 Crore under the Regulation 27.1 (vi) of the Regulations, 2020 which provides that any liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payments. On perusal of the details filed by the petitioner, it is observed that the aforesaid expenditure under additional capitalization actually made after the cut-off date of the project is not covered under the Regulation 27.1 (vi) of Regulations, 2020. Hence, the said expenditure is not allowed in this Order.

Further, the expenditure to be considered under Regulation 28.1 (b) is not demonstrated/justified by the petitioner at this stage, hence, expenditure is not allowed in this Order.

v. Equipment’s in Hospitals/ Clinics:-

Petitioner’s Submission

The Capitalization booked under Account Code 10.582 amounting to Rs. 0.01 Crore is towards procurement of 12 channel E.C.G. machine along with its installation for SSTPS Hospital vide order No. 13693 dated 06.01.2023.

Aforesaid Capitalization is claimed as per proviso 28.1 (c) of the Regulations, 2020 which provides for Force Majeure Events. Due to spread of Covid-19 Pandemic, various equipments are procured for Hospital at Power stations for Safety and Treatment of patients.

Commission’s Analysis:

The petitioner has claimed Capitalization of Rs 0.01 Crore towards procurement

of medical consumables items. The said capitalization is claimed under Regulation 28.1 (c) of the Regulations, 2020 which provides for capital expenditure incurred on account of Force Majeure Events. The said capitalization is not covered under any events of forces majeure events mentioned in the Regulations, 2020, hence not allowed in this Order.

vi. Misc. Equipment Including Fire Protection System: -

Petitioner's Submission

The capitalization booked under Account Code 10.599 amounting to Rs. 0.02 Crores is towards procurement of "High expansion Foam Generator" vide order No. 14737 dated 31.03.2022.

The said capitalization is claimed as per Proviso 28.1(d) of MPERC Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security.

Further, CEA has released the Safety Advisory to all Thermal Power Generating Utilities on dated 23.05.2022.

Commission's Analysis:

The petitioner has claimed Rs 0.02 Crore under additional capitalization towards fire protection system. The said expenditure of Rs 0.02 Crore claimed by the petitioner falls under Regulation 28.1 (d) of the Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant. Since, the aforesaid capitalization is done in compliance to CEA Advisory dated 23.5.2022 regarding safety advisory to all thermal power generating utilities, hence, the aforesaid additional capitalization of Rs 0.02 Crore is allowed in this Order.

vii. Furniture And Fixtures, Other Office Equipments, Computers:-

Petitioner's Submission

The Capitalization booked under Account Code 10.800 amounting to Rs 0.001 Crores is towards procurement of 15 Nos. Revolving Chairs through GeM (Government e- Marketplace) Portal vide order No. GEMC-511687794240254 dated 01.11.2022.

Aforesaid Capitalization is claimed under proviso 27.2 (c) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment is necessary on account of obsolescence of technology.

Other Office Equipment's: -

Petitioner's Submission

The Capitalization booked under Account Code 10.904 amounting to Rs 0.09

Crores is towards:

- i. *Procurement of Six Nos. of Samsung make Industrial Television for MCR vide order No. 12116 dated 01.02.2022 amounting to Rs. 0.016 Crores.*
- ii. *Procurement of 10 Nos. Desert Air cooler (metal body) for various site location vide order No. 1587 dated 09.03.2022 amounting to Rs. 0.009 Crores.*
- iii. *Procurement of 05 Nos. Desert Air cooler (metal body- 24-gauge minimum thickness) for various site location vide order No. 41 dated 08.04.2022 amounting to Rs. 0.005 Crores.*
- iv. *Procurement of 03 Nos. of Industrial TV for CCTV system at MCR & at security office vide order No. 11684 dated 02.12.2022 amounting to Rs. 0.04 Crores. (on account of need for higher security and safety of the plant)*
- v. *Procurement of 08 Nos. of all in one Printer Machine vide order No. 16693 dated 13.03.2023 amounting to Rs. 0.03 Crores.*

The Order Copies are annexed.

Aforesaid capitalization (expect CCTV Camera) is claimed under proviso 27.2(c) of MPERC Regulations 2020, which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology"

Further CCTV Cameras was procured as per Proviso 28.1(d) of MPERC Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security.

Computers: -

Petitioner's Submission

The Capitalization booked under Account Code 10.905 amounting to Rs 0.04 Crores is towards procurement of 08 No. Desktop Computer with all accessories through GeM Portal vide order No.GEMC-511687733763261 and GEMC-511687798065824 dated 08.07.2022 and vide order no. 9721 dated 19.10.2022. Aforesaid capitalization is claimed under proviso 27.2(c) of MPERC Regulations, 2020, which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.001 Crore towards Furniture & Fixtures, Rs 0.09 Crore towards office Equipments and Rs 0.04 Crore towards Computers under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation

27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards Furniture & Fixtures, Other equipments & computers is in the nature of Operation & Maintenance Expenses. Hence, expenditure towards Furniture & Fixtures, Other equipments & computers is not allowed in this Order.

Further, the amount of additional capitalization towards purchase of CCTV Cameras of Rs. 0.04 Crore is not allowed under Regulation 28.1 (d) of the Regulations, 2020 in this Order because the petitioner has not submitted any advisory/directive by appropriate Government Agencies or Statutory Authorities responsible for national security/ internal security.

viii. Capital Spares:-

Petitioner's Submission

The capital spares booked under Account Code 11.300 amounting to Rs.0.15 Crores towards procurement of capital Spares. Aforesaid capitalization is claimed as per proviso 26.1(iii) which provides for Procurement of initial capital spares within the original scope of work, read with proviso 25 of MPERC Regulations 2020 towards ceiling limit of Capital spares.

Commission's Analysis:

The Petitioner has claimed additional capitalization of Rs 0.15 Crore towards capital spares. The capitalization of aforesaid capital spares claimed under Regulation 26.1 (iii) of the Regulations, 2020 which provides that “additional capitalization towards procurement of initial capital spares within the original scope of work upto cut-off date in accordance with the provisions of Regulation 25 of these Regulations”. Since, the capital spares of Rs. 0.15 Crore capitalized and claimed by the petitioner are after the cut-off date of the project, hence, this amount is not allowed under Regulation 26.1 (iii) in this Order.

ix. Capital Overhaul-Turbine/Generator.

Petitioner's Submission

The Statutory compliance of Indian Accounting Standards (INDAS) is mandatory on MPPGCL. Based on said standards, the Expenditure on Major

inspection/capital Overhaul-Turbine/generator was capitalized in the Audited books of Accounts of MPPGCL in FY 2022-23 at SSTPP Khandwa under Account Code 11.603 amounting to Rs. 1.03 Crores. The same is claimed in the instant petition.

Aforesaid Capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 1.03 Crore towards Capital Overhaul-Turbine Generator. The petitioner has claimed this component under Regulation 28.1 (b) of the Regulations, 2020 which provides that the additional capitalization under "change in law or compliance of any existing law. The Commission is determining tariff/true up based on the GAAP Accounting standards, therefore, the additional capitalization claimed by the petitioner on account of change in accounting standards is not allowed in this Order for the purpose of true-up of tariff. Hence, the said expenditure of Rs. 1.03 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 and is not allowed in this Order.

75. In view of the above, the total additional capital expenditure of Rs. 5.85 Crore is admitted in SSTPP PH-1 during FY 2022-23 in accordance with the Regulations, 2020. The break-up of assets addition considered in this Order which are within original scope of work and beyond original scope of work are as follows:

A/c Code	Description	Amount	Additions within original scope of work	Additions beyond original scope of work
10.233	Other Buildings	5.80	-	5.80
10.503	Turbine-Generator-Steam Power Generator	0.03	-	0.03
10.599	Other Misc .Equip. Including Fire Protection System	0.02	-	0.02
Total		5.85	-	5.85

76. The petitioner has submitted that the additional capitalization has been funded through loan and equity component in the ratio of 70:30. Therefore, the Commission has considered same debt equity ratio of 70:30 as per Regulation, 2020 in this Order. Accordingly, the details of the additional capitalization and funding considered in this Order are as given below:

Table 23: Additional capitalization and funding allowed in SSTPP PH-1 (Rs. in Crore)

Particular	Additions During FY 2022-23
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Assets	5.85
Loan	4.10
Equity considered for assets within Original Scope of work	0.00
Equity considered for assets beyond Original Scope of work	1.76

g) SSTPP PH 2:

77. The Unit No. 3 & 4 of 2x660 MW of SSTPP PH-2 were commissioned on 18. 11.2018 and 27.3.2019 respectively, therefore the cut-off date of the project as per clause 4.1(I) of MPERC Tariff Regulations, 2015 is 31.03.2022. The Commission vide order dated 18th May, 2021 in Petition No 25 of 2020 had determined the final generation Tariff from CoD of Unit No. 3&4 to 31st March, 2019. The petitioner submitted that the additional capitalization of Rs. 28.30 Crore has been capitalized during FY 2022-23 in SSTPP PH-2 and recorded in Audited Books of Accounts.
78. The petitioner further submitted that the works under additional capitalization were carried out during FY 2022-23. The details of asset capitalized under the additional capitalization as filed by the petitioner are as given below:

Table 24: Additional Capitalization claimed in SSTPP PH-2

Sr No	A/c Code	Description	Amount Rs. Crore
i	10.233	Other Buildings	6.13
ii	10.310	Cooling Water System	0.05
iii	10.311	Cooling Towers	0.63
iv	10.324	Tail Race Channel	0.08
v	10.401	Pucca Roads	0.001
vi	10.501	Boiler Plant & Equipments	0.15
vii	10.503	Turbine-Generator-Steam Power Generation	0.77
viii	10.507	Ash Handling Plant	5.35
ix	10.515	Coal Handling Plant & Handling Equipments	0.07
x	10.516	Oil Tanks, Oil Handling Plant & Equipments	0.16
xi	10.520	Instrumentation And Controls	0.03
xii	10.523	220kV/400kV Switch Yard	11.34
xiii	10.524	Water Treatment Plant	0.18
xiv	10.542	Other Transformers Of Power House	0.40
xv	10.561	Switchgears Including Cable Connections	0.06
xvi	10.578	Air Conditioning System	0.02
xvii	10.585	D G Set	0.01
xviii	10.586	Compressed Air System	0.001
xix	10.587	Other Electrical Equipments For Bop	0.03
xx	10.589	Other Lab & Testing Equipments	1.43
xxi	10.800	Furniture And Fixtures	0.01
xxii	10.904	Other office Equipments	0.01
xxiii	11.300	Capital Spares at Generating Stations	1.38

	Total	28.30
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79. Vide Commission's letter dated 28th December, 2023, the petitioner was asked to file certain details/ documents regarding the additional capitalization in SSTPP PH-2. By affidavit dated 25th January, 2023, the petitioner filed its response to the queries raised by the Commission as given below:

Petitioner's Submission

The aforesaid additional capitalization has been covered under the Original Scope of Work Estimate of Rs.7820 Crore, which has been approved by Hon'ble GoMP. The copy of said approval has already been submitted before the Commission in the matter of determination of Final Generation Tariff of SSTPP Stage-II (Petition No. 25 of 2020).

The Date of Commercial operation (CoD) of Unit No. 3 & 4 of SSTPP Stage-II (2x660 MW) Khandwa is 18.11.2018 & 27.03.2019 respectively. In accordance to the Regulations, 2020, the Cut-off date for the purpose of Additional Capitalization at SSTPP Stage-II (2x660 MW) Khandwa is 31.03.2022.

The aforesaid capitalization is claimed under the provisos of MPERC Regulations, 2012 & MPERC Regulations, 2020.

As desired by Commission, the information towards additional capitalization claimed in subject petition along with supporting documents (are submitted).

It is requested before Commission to kindly permit the same.

Commission's Analysis:

80. On scrutiny of the details and documents filed by the petitioner, it is observed that the Unit No. 4 of power station achieved CoD on 28th March, 2019, therefore, the Cut-off date of the Unit as per clause 4.1(i) of MPERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2015 is 31.03.2022. The petitioner has submitted that the aforesaid capitalization is claimed under Regulation 27 of Regulations, 2020 and reproduced sub clauses (iii), (v) and (vi) of Regulation 27.1 of the Regulations, 2020 in its additional submission. The petitioner also submitted that the aforesaid capitalization is within the original scope of work estimate approved by the Board of the Company.
81. Since, the additional capital expenditure filed by the petitioner in SSTPP PH-2 (2x660 MW) is beyond the cut-off date of the power house and within the original scope of work, therefore, the same shall be examined in light of the Regulation 27 of the Regulations, 2020.
82. On perusal of the details of additional capitalization of SSTPP PH-2, it is observed that the petitioner has not submitted component wise justification of the additional capitalization with relevant sub clauses of the Regulation 27.1 of the Regulations, 2020. The petitioner has only submitted that the additional assets capitalized in SSTPP PH-2

during FY 2022-23 are funded through PFC loan of Rs. 19.81 Crore and balance Rs.8.49 Crore from Equity.

83. It is observed that the claim towards additional capitalization in SSTPP PH-2 is without any details and justifications in the subject petition as well as additional submissions placed on record by the petitioner, whereas, while claiming additional capitalization in other thermal and hydro power stations, the petitioner has mentioned asset-wise details and justifications in this regard. It seems that petitioner has adopted a very casual approach while claiming additional capitalization in SSTPP PH-2, therefore, the Commission is unable to identify under which sub clause of Regulation 27.1 of the Regulations, 2020, the additional capitalization is claimed by the petitioner. Further, the petitioner has also not demonstrated that whether the conditions specified under Regulation 27 is fulfilled by the petitioner.
84. However, the claim of Rs. 5.35 Crore towards Ash Handling Plant is covered under Regulation 27.1 (iii) which provides for deferred works relating to ash pond or ash handling system including ash transportation facility in the original scope of work after cut-off date. It is indicated that these are deferred works related to ash handling/disposal system works which is covered under the original scope of work, hence, additional capitalization of Rs 5.35 Crore towards Ash handling Plant Works is allowed in this Order under Regulation 27.1 (iii) of the Regulations, 2020.
85. In view of the above, the total additional capital expenditure of Rs. 5.35 Crore towards ash handling system which is within original scope of work is admitted in SSTPP PH-2 during FY 2022-23 in accordance with the Regulations, 2020. For the balance assets capitalization, the petitioner is at liberty to approach the Commission with full details and justifications in next true-up petitions.
86. The petitioner has submitted that the additional capitalization has been funded through loan and equity component in the ratio of 70:30. Therefore, the Commission has considered same debt equity ratio of 70:30 as per Regulation, 2020 in this Order.
87. Accordingly, the details of the additional capitalization and funding considered in this Order are as given below:

Table 25: Additional capitalization and funding allowed in SSTPP PH-2 (Rs. in Crore)

Particular	Additions During FY 2022-23
Assets	5.35
Loan	3.75
Equity considered for assets within Original Scope of work	1.61

Additional Capitalization under Hydro Power Stations:**h) Gandhisagar HPS**

88. The petitioner filed the additional capitalization of Rs. 0.05 Crore in Gandhisagar Hydro Power station during FY 2022-23 towards batteries including charging equipments. The petitioner further submitted that the additional assets of Rs. 0.05 Crore in Gandhisagar HPS have been funded through equity. The details of the additional assets in Gandhisagar HPS filed in the petition are as follows:

Table 26: Additional Capitalization claimed in Gandhisagar HPS (Rs. in Crore)

A/c Code	Description	Amount	Clause of Regulations, 2020
10.563	Batteries Including Charging Equipment	0.05	Clause 28.1(b)
Total		0.05	

89. The Commission has observed that the assets of Rs. 0.05 Crore claimed by the petitioner under Regulation 28.1 (b) of the Regulations, 2020 and are capitalized in the Annual Audited Accounts for FY 2022-23 as well as recorded in Asset-cum-Depreciation Register of Gandhisagar HPS.
90. Vide Commission's letter dated 28th December, 2023 the petitioner was asked to file certain details/ documents regarding the additional capitalization in Gandhisagar HPS. By affidavit dated 25th January, 2024, the petitioner filed its following response to the queries raised by the Commission:

Batteries Including Charging Equipments:

The Capitalization booked under Account Code 10.563 amounting to Rs 0.05 Crores is towards:

- a) Design, manufacture, supply, erection, testing & commissioning of 1 No. 220V/200AH Plante type Lead Acid Battery set amounting to Rs 0.03 Crores vide order No. 3915 dated 02.12.2019 voucher No. 680080 dated 31.07.2022.*
- b) Design, manufacture, supply, erection, testing & commissioning of "Exide" make tubular battery set amounting to Rs 0.07 Crores vide order No. 1904 dated 29.07.2020.*

Since the asset of Gandhisagar is shared in the ratio of 50%; so out of the total of Rs 0.10 Crores 50% is shared i.e the total asset added in FY 2022-23 is Rs 0.05 Crores.

This capitalization is carried out in compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010 mentioned in page No. 59 reproduced as under:-

"(6) DC supply system-

(b) The battery shall have sufficient capacity to meet unit and station loads in addition to 3 hours of uninterrupted emergency illumination requirement.

(c) DC system shall comprise of two DC battery sets (both battery sets of full capacity) each with one float cum boost charger.

(d) The float cum boost battery charger as well as its automatic regulator shall be of static type. It shall have a facility of both auto as well as manual control in both the float and boost modes.”

Aforesaid Capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed Rs 0.05 Crore under additional capitalization towards batteries including charging equipments under Regulation 28.1 (b) of the Regulations, 2020, which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The said expenditure of Rs. 0.05 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to aforesaid CEA Regulations. Hence, additional capitalization of Rs. 0.05 Crore towards batteries including charging equipments is not allowed in this Order at this stage.

91. In view of the above, the Commission has not allowed any additional capitalization under the Regulations, 2020 in GandhiSagar HPS.

i) Pench HPS:

92. The petitioner filed the additional capitalization of Rs. 3.26 Crore in Pench Hydro Power station during FY 2022-23 on account of expenses towards hydel power generation plants, auxiliaries in hydel power plants, lightening arrestors, etc.
93. The petitioner submitted that the additional assets of Rs 3.26 Crore in Pench HPS are capitalized in Annual Audited Accounts for FY 2022-23 and same have been funded through internal resources/ equity component. The details of the additional assets in Pench HPS filed in the petition are as follows:

Table 27: Assets Capitalization Claimed in Pench HPS (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Clause of Regulation 2020
i	10.531	Hydel Power Generation Plant Equipments	0.24	Clause No. 28.1(d)
ii	10.535	Auxiliaries In Hydel Power Plants	0.01	Clause No. 27.2(c)
iii	10.567	Lightning Arrestors	0.002	Clause No. 28.1(d)
iv	10.904	Other Office Equipments	0.02	Clause No. 27.2(c)
v	11.603	Boiler/ Turbine Capital Overhaul Expenditure	2.98	Clause No. 28.1(b)
Total			3.26	

94. Vide Commission's letter dated 28th December, 2023, the petitioner was asked to file certain details/ documents regarding the additional capitalization in Pench HPS. By affidavit dated 25th January, 2024 the petitioner filed its response to the queries. The additional capitalization claimed by the petitioner in Pench HPS has been analysed under different heads of assets separately as given below:

i. Hydel Power Generation Plant Equipments- Fire Protection System :-

Petitioner's Submission

The Capitalization booked under Account Code 10.531 amounting to Rs. 0.24 Crores is towards Supply and installation of CO₂ based fire protection system vide order No.1469 dated 22.11.2022.

This capitalization is carried out towards compliance of:-

- 1. Central Electricity Authority (Safety Requirements for Construction, Operation and Maintenance of Electrical Plants and Electric Lines) Regulations, 2011.*
- 2. Central Electricity Authority (Measures relating to Safety and Electric Supply) Regulations, 2010.*
- 3. IS:3034 - Fire safety of industrial buildings: Electrical generating and Distributing stations - Code of Practice.*

Further, CEA has released the Safety Advisory to all Thermal Power Generating Utilities on dated 23.05.2022.

Aforesaid capitalization is claimed under proviso 28.1(d) of MPERC Regulations 2020, which provides for "Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security".

Commission's Analysis:

The petitioner has claimed Rs. 0.24 Crore under additional capitalization towards fire protection system. The said expenditure of Rs 0.24 Crore claimed by the petitioner falls under Regulation 28.1 (d) of the Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant. Since, the aforesaid capitalization is done in compliance to CEA (Safety Requirements for Construction, Operation and Maintenance of Electrical Plants and Electric Lines) Regulations, 2011, (Measures relating to Safety and Electric Supply) Regulations, 2010 and Advisory dated 23.5.2022 regarding safety advisory to all thermal power

generating utilities, hence, the aforesaid additional capitalization of Rs 0.24 Crore is allowed under Regulation 28.1 (d) in this Order.

ii. **Auxiliaries in Hydel Power Plants :-**

Petitioner's Submission

The capitalization booked under Account Code 10.535 amounting to Rs. 0.01 Crores is towards :

- a) *Supply of Heavy-duty submersible dewatering pump set for underground power house suitable for heavily contaminated water with sand, gravel & sludge with electrical control panel amounting to Rs. 0.01 Crores vide order No. 82 dated 15.01.2021.*
- b) *Supply of 3 Phase Induction motor amounting to Rs. 0.007 Crores vide order No. 144 dated 01.02.2022.*

The said capitalization is claimed as per Proviso 27.2(c) of the Regulations, 2020 which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology."

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.01 Crore towards heavy duty submersible dewatering pump and Rs 0.007 Crore towards 3-Phase transformers under Regulation 27.2 (c) of the Regulations, 2020, which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology". Further, Regulation 27.2 provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replaced existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards aforesaid additional capitalization is not allowed in this Order.

iii. **Lightning Arrestors:-**

Petitioner's Submission

The capitalization booked under Account Code 10.567 is towards procurement of Metal Oxide Gapless Lightning Arrestors for HV & EHV Sub-stations vide order No. 3100 dated 19.10.2022 amounting to Rs 0.002 Crore.

Aforesaid capitalization is claimed under proviso 28.1(d) of MPERC Regulations 2020, which provides for admittance of any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities."

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.002 Crore towards lightning arrestors under Regulation 28.1(d) of the Regulations, 2020, which provides any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security".

On perusal of the details and documents filed by the petitioner, it is observed that the petitioner has not demonstrated that the aforesaid expenditure is made on advise or direction by the Govt. agency or any statutory body in accordance to the Regulations, 2020. Further, the aforesaid expenditure under additional capitalization is made after the cut-off date of the project, therefore, the same is not covered under the Regulation 28.1 (d) of the Regulations, 2020. Hence, the said expenditure of Rs 0.002 Crore is not allowed in this Order.

iv. Other Office Equipments

Petitioner's Submission

The capitalization booked under Account Code 10.904 amounting to Rs 0.02 Crores is towards :

- a) Supply & installation of Split Air Conditioner vide order No. 410 dated 08.04.2022 amounting to Rs 0.01 Crore.*
- b) Supply of Video Conferencing Group System vide order No. 275 dated 07.03.2022 amounting to Rs 0.01 Crores.*

Aforesaid capitalization is claimed under proviso 27.2(c) of MPERC Regulations 2020, which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology".

Commission's Analysis

The petitioner has claimed additional capitalization of Rs 0.02 Crore towards office equipments under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology.

Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not justified the replacement of existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards Other equipments is in the nature of Operation & Maintenance Expenses. Hence, expenditure towards office equipments is not allowed in this Order.

v. Capital Overhaul- Turbine : -
Petitioner's Submission

The Statutory compliance of Indian Accounting Standards (INDAS) is mandatory on MPPGCL. Based on said standards, the Expenditure on Major inspection/capital Overhaul-Turbine/generator was capitalized in the Audited books of Accounts of MPPGCL in FY 2022-23 at Pench Hydro Power Station under Account Code 11.603 amounting to Rs. 2.98 Crores. The same is claimed in the instant petition.

Aforesaid Capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for change in law or compliance of any existing law”

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 2.98 Crore towards Boiler/Turbine Capital Overhaul Expenditure under Regulation 28.1 (b) which provides for “change in law or compliance of any existing law”. It is observed that the aforesaid additional capitalization is only book entry due to change in accounting practices under Indian Accounting Standards, whereas the Commission is determining tariff under GAAP. The said expenditure of Rs 2.98 Crore claimed by the petitioner does not fall under Regulation 28.1 (b) of the Regulations, 2020. It is also observed that petitioner is unable to justify its claim of additional expenditure under the Regulations, 2020. Hence, this expenditure of Rs 2.98 Crore is not allowed in this Order.

95. On perusal of the details filed by the petitioner, the Commission has observed that total expenditure of Rs 0.24 Crore towards procurement of fire-fighting system in hydel power generation plants is covered under the Regulations, 2020, hence, allowed in this Order. The aforementioned additional capitalization is considered under beyond original scope

of work.

96. The petitioner informed that the entire additional capitalisation is funded through equity/internal resources. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is considered as per the Regulations, 2020.
97. Accordingly, the additional capitalization and its funding for Pench HPS considered in this Order are as given below:

Table 28: Additional Capitalization and Funding allowed in Pench HPS (Rs. in Crore)

Particular	Additions During FY 2022-23
Assets	0.24
Loan	0.17
Equity considered for assets beyond original scope of work	0.07

j) Raighat HPS:

98. The petitioner filed the additional capitalization of Rs. 0.09 Crore in Rajghat Hydro Power station during FY 2022-23. The details of the additional capitalization are as under:

Table 29: Additional Capitalization claimed in Rajghat HPS (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Clause of Regulations, 2020
i	10.563	Batteries Including Charging Equipment	0.03	Clause 28.1(b)
ii	10.535	Auxiliaries In Hydel Power Plants	0.03	Clause 27.2(c)
iii	10.542	Other Transformers Of Power House	0.01	Clause 28.1(b)
iv	10.599	Other Misc. Equip. Including Fire Protection System	0.02	Clause 27.2(c) Clause 28.1(d)
Total			0.09	

99. Vide Commission's letter dated 28th December, 2023 the petitioner was asked to file certain details/ documents regarding the additional capitalization in Rajghat HPS. By affidavit dated 25th January, 2024 the petitioner filed its response to the queries raised by the Commission. The additional capitalization claimed by the petitioner in Rajghat HPS has been analysed under different heads of assets separately as given below:

i. Batteries Including Charging Equipments :-

Petitioner's Submission

The Capitalization booked under Account Code 10.563 is order for Design, manufacture, supply, erection, testing & commissioning of 200V/ 300AH float and float cum booster charger amounting to Rs. 0.03 Crore vide order No. 1786 dated 29.07.2021.

This capitalization is carried out in compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010 mentioned in page No. 59 reproduced as under:-

“(6) DC supply system-

(b) The battery shall have sufficient capacity to meet unit and station loads in addition to 3 hours of uninterrupted emergency illumination requirement.

(c) DC system shall comprise of two DC battery sets (both battery sets of full capacity) each with one float cum boost charger.

(d) The float cum boost battery charger as well as its automatic regulator shall be of static type. It shall have a facility of both auto as well as manual control in both the float and boost modes.”

Aforesaid Capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for change in law or compliance of any existing law”.

Commission’s Analysis:

The petitioner has claimed Rs. 0.03 Crore under additional capitalization towards batteries including charging equipments of power house under Regulation 28.1 (b) of Regulations, 2020, which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The said expenditure of Rs. 0.03 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to aforesaid CEA Regulations. Hence, additional capitalization of Rs. 0.03 Crore towards batteries including charging equipments is not allowed in this Order at this stage.

ii. Auxillaries in Hydel Power Plants:

Petitioner’s Submission

The Capitalization booked under Account Code 10.535 is procurement of different types of motors and stators for power house and colony vide Document No. 680533 dated 31.03.2023 amounting to Rs. 0.04 Crores.

Aforesaid capitalization is claimed under proviso 27.2 (c) of MPERC Regulations 2020, which provides for “The replacement of such asset or equipment is necessary on account of obsolescence of technology”.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs. 0.04 Crore towards auxiliaries in hydel power plants under Regulation 27.2 (c) of the Regulations, 2020 which provides that that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology.

Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not justified the replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards auxiliaries in hydel power plants is not allowed in this Order.

iii. Other Transformers of Power House :-

Petitioner's Submission:

The Capitalization booked under Account Code 10.542 is procurement of 145 KV inductive voltage transformer with terminal connector amounting to Rs. 0.01 Crores vide store indent.

The above-mentioned capitalization is made towards compliance of directives of CEA (Measures Relating to Safety and Electric Supply) Regulations, 2010 in page No. 16 is as reproduced below:

“(a) every motor, generator, transformer and other electrical plant and equipment together with apparatus used for controlling or regulating the same.”

Aforesaid capitalization is claimed under proviso 28.1(b) of the Regulations 2020, which provides for “change in law or compliance of any existing law”.

Commission's Analysis

The petitioner has claimed Rs. 0.01 Crore under additional capitalization towards other transformers of power house under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The Commission observed that the aforesaid additional capitalization does not fall under Regulation 28.1 (b) of the Regulations, 2020 i.e., “change in law or compliance of any existing law”, hence, additional capitalization of Rs. 0.01 Crore towards other transformers of power house is not allowed in this Order.

iv. Other Misc Equipment Including Fire Protection System:-

Petitioner's Submission

The Capitalization booked under Account Code 10.599 is procurement of :

- a) 80 Nos Ceiling Fan with Regulators amounting to Rs. 0.01 Crores vide order No. 1158.

The above capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides for “replacement of such asset or equipment is necessary on account of obsolescence of technology”.

- b) Portable type fire extinguisher vide order No. 509 dated 01.09.2022 amounting to Rs. 0.01 Crores.

CEA has released the Safety Advisory to all Thermal Power Generating Utilities on dated 23.05.2022.

The above capitalization is claimed as per Proviso 28.1(d) of MPERC Regulations, 2020 which provides for “Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security”.

- c) 4 no. dol starter with relay and 6 no. dol starter for 3HP motor vide Document No. 680533 dated 31.03.2023 amounting to Rs. 0.006 Crores.

The said capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides for “replacement of such asset or equipment is necessary on account of obsolescence of technology.”

Commission’s Analysis:

The petitioner has claimed Rs. 0.01 Crore under additional capitalization towards fire protection system. The said expenditure of Rs. 0.01 Crore claimed by the petitioner falls under Regulation 28.1 (d) of the Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant. Since, the aforesaid capitalization is done in compliance to CEA Advisory dated 23.5.2022 regarding safety advisory to all thermal power generating utilities, hence, the aforesaid additional capitalization of Rs. 0.01 Crore is allowed in this Order.

Further, the petitioner has claimed additional capitalization of Rs. 0.006 Crore towards dol starters for motor under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said

expenditure claimed by the petitioner does not fall under the aforesaid Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replaced existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards dol starters for motor is not allowed in this Order.

100. In view of the above, the Commission has allowed capitalization of Rs. 0.01 Crore under the Regulations, 2020 in Rajghat HPS. The break-up of assets addition considered in this Order which are within original scope of work and beyond original scope of work are as follows:

A/c Code	Description	Amount	Additions within original scope of work	Additions beyond original scope of work
10.599	Other Misc.Equip. Including Fire Protection System	0.01	-	0.01
Total		0.01	-	0.01

101. The petitioner informed that the entire additional capitalisation is fully funded through equity/internal resources. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is considered as per the Regulations, 2020.
102. Accordingly, the additional capitalization and its funding for Rajghat HPS considered in this Order are as given below:

Table 30: Additional Capitalization and Funding allowed in Rajghat HPS (Rs. in Crore)

Particular	Additions During FY 2022-23
Assets	0.01
Loan	0.007
Equity considered for assets beyond original scope of work	0.003

k) Bargi HPS:

103. The petitioner filed the additional capitalization of Rs. 0.56 Crore in Bargi Hydro Power station during FY 2022-23 towards hydel power generation plants, fire-fighting equipments and other equipments.
104. The petitioner confirmed that the additional assets of Rs. 0.56 Crore in Bargi HPS are capitalized in Annual Audited Accounts for FY 2022-23 and same has been funded

entirely through internal resources/equity. The details of the additional assets in Bargi HPS filed in the petition are as follows:

Table 31: Additional Capitalization claimed in Bargi HPS (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Clause of Regulations, 2020
i	10.531	Hydel Power Generation Plant Equipments	0.48	Clause No. 28.1(d)
ii	10.599	Other Misc. Equip. Including fire protection system	0.01	Clause No. 28.1(d)
iii	10.904	Others office Equipments	0.02	Clause No. 27.2(c)
iv	10.905	Computers	0.06	Clause No. 27.2(c)
		Total	0.56	

105. Vide Commission's letter dated 28th January, 2023 the petitioner was asked to file certain details/ documents regarding the additional capitalization in Bargi HPS. By affidavit dated 25th January, 2024, the petitioner filed its response to the queries raised by the Commission. The additional capitalization claimed by the petitioner in Bargi HPS has been analysed under different heads of assets separately as given below :

i. Hydel Power Generation Plant Equipments :-

Petitioner's Submission

The Capitalization booked under Account Code 10.531 amounting to Rs. 0.48 Crores is towards Supply, erection, testing & commissioning of CO₂ gas flooding system for Hydro generator protection system including supply of material required for renovation of CO₂ gas flooding system vide order No. 125 dated 08.06.2021.

The said capitalization is claimed Proviso 28.1(d) of MPERC Regulations, 2020 which provides for "any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 0.48 Crore towards hydel power generation plant equipments under the Regulation 28.1(d) of the Regulations, 2020, which provides any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security". On perusal of the details and documents filed by the petitioner, it is observed that the petitioner has not demonstrated that the aforesaid expenditure is made on advise or direction by the Govt. agency or any statutory body in accordance to the Regulations, 2020. Therefore, the same is not covered under the Regulation 28.1 (d) of the Regulations, 2020. As such, said expenditure of Rs. 0.48 Crore is not allowed in this Order at this stage.

ii. Misc Equipment Including Fire Protection System:-**Petitioner's Submission**

The Capitalization booked under Account Code 10.599 is towards supply of fire buckets amounting to Rs. 0.01 Crores vide order No. 1730 dated 07.03.2023.

Further, CEA has released the Safety Advisory to all Thermal Power Generating Utilities on dated 23.05.2022.

The said capitalization is claimed Proviso 28.1(d) of MPERC Regulations, 2020 which provides for "any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities..."

Commission's Analysis:

The petitioner has claimed Rs 0.01 Crore under additional capitalization towards procurement of fire buckets. The said expenditure of Rs 0.01 Crore claimed by the petitioner falls under Regulation 28.1 (d) of the Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant. Since, the aforesaid capitalization is done in compliance to CEA Advisory dated 23.5.2022 regarding safety advisory to all thermal power generating utilities, hence, the aforesaid additional capitalization of Rs. 0.01 Crore is allowed in this Order.

iii. Other Equipments & Computers:-**Petitioner's Submission**

The capitalization booked under Account Code 10.904 is supply of multi-function laser printer vide order No. 1916 dated 24.03.2023 amounting to Rs 0.02 Crores. Aforesaid capitalization is claimed under proviso 27.2(c) of MPERC Regulations 2020, which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology".

Computers**Petitioner's Submission:**

The Capitalization booked under Account Code 10.905 amounting to Rs 0.06 Crores is towards :-

a) Supply of 1 No. Laptop and 6 nos. desktop computers vide order No. 411 amounting to Rs 0.04 Crores.

b) Supply of computers amounting to Rs 0.02 Crores.

Aforesaid capitalizations are claimed under proviso 27.2(c) of MPERC Regulations 2020, which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology".

Commission's Analysis:

Further, the petitioner has claimed remaining additional capitalization of Rs 0.02 Crore towards Office Equipments and Rs 0.06 Crore towards Computers under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the aforesaid Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards Other equipments & computers is in the nature of Operation & Maintenance Expenses. Hence, expenditure towards Office Equipments and Computers is not allowed in this Order.

106. In view of the above, the Commission has considered capitalization of fire-fighting system of Rs. 0.01 Crore covered under the Regulations, 2020. The aforementioned capitalization is beyond original scope of work.
107. The petitioner informed that the entire additional capitalisation is funded through equity/internal resources. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is considered as per the Regulations, 2020.
108. Accordingly, the additional capitalization and its funding for Bargi HPS considered in this Order are as given below:

Table 32: Additional Capitalization and Funding allowed in Bargi HPS (Rs. in Crore)

Particular	Additions During FY 2022-23
Assets	0.01
Loan	0.007
Equity considered for assets beyond original scope of work	0.003

I) Bansagar HPS (PH-1, 2 &3):

109. The petitioner filed the additional capitalization of Rs. 33.73 Crore in Bansagar HPS PH-1, 2 & 3 during FY 2022-23. The details of same are as under:

Table 33: Asset Capitalization claimed in Bansagar HPS (PH-1,2&3) (Rs. in Crore)

Sr No.	A/c Code	Description	Amount	Clause of Regulations, 2020
i	10.531	Hydel Power Generation Plants Equipments	6.02	Clause No. 27.2(c)
ii	10.535	Auxiliaries In Hydel Power Plants	0.13	Clause No. 27.2(c)
iii	10.563	Batteries Including Charging Equipment	0.97	Clause No. 28.1(b)
iv	10.599	Other Misc .Equipments Including Fire Protection System	1.41	Clause No. 28.1(d) & 27.2(c)
v	10.905	Computers	0.01	Clause No. 27.2(c)
vi	11.603	Boiler/ Turbine Capital Overhaul Expenditure	25.18	Clause No. 28.1(b)
		Total	33.73	

110. Vide Commission's letter dated 28th December, 2023 the petitioner was asked to file certain details/ documents regarding the additional capitalization in Bansagar PH-1,2 & 3 HPS. By affidavit dated 25th January, 2024 the petitioner filed its response to the queries raised by the Commission. The additional capitalization claimed by the petitioner in Bansagar PH-1,2&3 has been analysed under different heads of assets separately as given below:

i. Hydel Power Generation Plant Equipments :-

Petitioner's Submission

The Capitalization booked under Account Code 10.531 amounting to Rs. 6.02 Crore is towards Supply, erection, testing & commissioning of damaged generator including dismantling, rectification, assembly of stator core winding & rotor poles of BHEL make Generator of Unit No.3 at 3x105MW, Tons Hydel Power Station vide Order No. 293 dated 14.08.2020 and amendment order Nos 380 dated 14.09.2020 and 622 dated 20.11.2020.

Aforesaid capitalizations are claimed under proviso 27.2(c) of MPERC Regulations 2020, which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 6.02 Crore towards Supply, erection, testing & commissioning of damaged generator including dismantling, rectification, assembly of stator core winding & rotor poles of BHEL make Generator of Unit No.3 under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said

expenditure claimed by the petitioner towards replacement of damaged generator does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replaced existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards hydel power generation plant equipments is not allowed in this Order at this stage.

ii. Auxilliarities In Hydel Power Plants:-

Petitioner's Submission

The Capitalization booked under Account Code 10.535 amounting to Rs. 0.13 Crores is towards Supply of 2 Nos. vertical turbine motor pump set vide order No. 1991 dated 27.10.2020.

The said capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.13 Crore towards 2 Nos. vertical turbine motor pump sets under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replaced existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards turbine motor pump sets is not allowed in this Order at this stage.

iii. Batteries Including Charging Equipments:-

Petitioner's Submission

The Capitalization booked under Account Code 10.563 amounting to Rs. 0.97 Crores is towards :

a) Design, Manufacture, Supply, Erection, Testing & Commissioning of

220V/300AH Float and Float cum Boost Charger amounting to Rs 0.07 Crores vide order No. 1786 dated 29.07.2021.

b) Design, Manufacture, Supply, Erection, Testing & Commissioning of "Exide" make tubular battery sets of various rating amounting to Rs 0.88 Crores vide order No. 1904 dated 29.07.2020.

c) Design, Manufacture, Supply, Erection, Testing & Commissioning of 48V/300AH Float cum Boost Charger amounting to Rs 0.02 Crores vide order No. 1787 dated 29.07.2021.

This capitalization is carried out in compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010 mentioned in page No. 59 reproduced as under:-

"(6) DC supply system-

(b) The battery shall have sufficient capacity to meet unit and station loads in addition to 3 hours of uninterrupted emergency illumination requirement.

(c) DC system shall comprise of two DC battery sets (both battery sets of full capacity) each with one float cum boost charger.

(d) The float cum boost battery charger as well as its automatic regulator shall be of static type. It shall have a facility of both auto as well as manual control in both the float and boost modes."

Aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for "change in law or compliance of any existing law

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.97 Crore towards batteries incl under Regulation 28.1 (b), which provides for "change in law or compliance of any existing law". The petitioner stated that aforesaid expenditure was made towards compliance of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010. The said expenditure of Rs. 0.97 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to aforesaid CEA Regulations, therefore, this expenditure of Rs. 0.97 Crore is not allowed in this Order at this stage.

iv. Misc Equipments Including Fire Protection System:-

Petitioner's Submission

The Capitalization booked under Account Code 10.599 amounting to Rs. 1.41 Crores is towards:

a) Supply, erection, testing & commissioning of Nitrogen (N2) injection fire protection system amounting to Rs 0.88 Crores vide order No. 3595 dated 20.02.2020.

CEA has released the Safety Advisory to all Thermal Power Generating Utilities on

dated 23.05.2022.

Aforesaid capitalization is claimed as per Proviso 28.1(d) of MPERC Regulations, 2020 which provides for “Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security”.

- b) Supply, erection, testing & commissioning of 1 No. 500 kVA, 415V DG set along with associate accessories and 415 V PMCC for connection of DG set with 415 V station switch gear amounting to Rs 0.53 Crores vide order No. 3941 dated 26.03.2020.*

The above capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides for “replacement of such asset or equipment is necessary on account of obsolescence of technology.

Commission's Analysis:

The petitioner has claimed Rs 0.88 Crore under additional capitalization towards fire protection system. The said expenditure of Rs 0.88 Crore claimed by the petitioner falls under Regulation 28.1 (d) of the Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant. Since, the aforesaid capitalization is done in compliance to CEA Advisory dated 23.5.2022 regarding safety advisory to all thermal power generating utilities, hence, the aforesaid additional capitalization of Rs. 0.88 Crore is allowed in this Order.

Further, the petitioner has claimed additional capitalization of Rs 0.53 Crore towards switch gears under Regulation 27.2 (c) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the aforesaid Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replaced existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards switch gears is not allowed in this Order at this stage.

v. Computers:-**Petitioner's Submission**

The Capitalization booked under Account Code 10.905 amounting to Rs. 0.01 Crore is supply of 2 Nos. desktop computer vide order No. 2523 dated 30.12.2022.

The said capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides for "replacement of such asset or equipment is necessary on account of obsolescence of technology."

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 0.01 Crore towards computers under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the aforesaid Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards computers is in the nature of Operation & Maintenance Expenses. Hence, this expenditure towards Computers is not allowed in this Order.

vi. Turbine Capital Overhaul Expenditure:-**Petitioner's Submission**

The Capitalization booked under Account Code 11.603 amounting to Rs. 25.18 Crore is :

- a) Work contract for capital overhauling of Turbine of Unit No. 3 including supply of items and work at 3x105MW, THPS-I vide order No. 294 dated 14.08.2020 and its amendment order No. 65 dated 27.05.2021 & order No. 374 dated 29.07.2021.*
- b) Order for supply of material for overhauling of guide apparatus of Unit No. 3 for 3x105MW, THPS-I vide order No.3206 dated 18.12.2018.*
- c) Order for supply of Vee Blocks, Bolt for Vee Blocks, Adapter stud & pole springs for 11Kv, 105MW, BHEL make generator of Unit No. 3 for 3x105MW, THPS-I vide order No.3435 dated 12.03.2021.*

- d) Order for supply of Linkage of Guide Vanes for 3x105MW, THPS-I vide order No. 446 dated 27.05.2019.
- e) Order for supply of 1 set (2 Nos) Guide Vane Servomotors for 3x105MW, THPS-I vide order No. 3541 dated 15.01.2019.
- f) Order for supply of 1 No. runner disc for 105 MW, 11KV, BHEL make hydro TG set at 3x105MW, THPS-I vide order No. 3613 dated 18.01.2019.
- g) Work order for repairing of old runner disc vide order No. 3360 dated 27.12.2016.
- h) Order for supply of new current carrying leads of excitation system inside rotor shaft for BHEL make generator including required insulating materials and other accessories along with work of dismantling of old leads and fixing of new leads of excitation system vide order No. 941 dated 03.01.2022.

The Order copies for above are annexed.

The Statutory compliance of Indian Accounting Standards (INDAS) is mandatory on MPPGCL. Based on said standards, the Expenditure on Major inspection/capital Overhaul-Turbine/generator was capitalized in the Audited books of Accounts of MPPGCL in FY 2022-23 at Bansagar PH-I, II and III HPS under Account Code 11.603 amounting to Rs. 25.18 Crores. The same is claimed in the instant petition.

The said capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for "Change in law or compliance of any existing law."

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 25.18 Crore towards Boiler/Turbine Capital Overhaul Expenditure under Regulation 28.1 (b) which provides for "change in law or compliance of any existing law". It is observed that the aforesaid additional capitalization is only book entry due to change in accounting practices under Indian Accounting Standards, whereas, the Commission is determining tariff under GAAP. The said expenditure of Rs. 25.18 Crore claimed by the petitioner does not fall under Regulation 28.1 (b) of the Regulations, 2020. It is also observed that petitioner is unable to justify its claim of additional expenditure under the Regulations, 2020. Hence, this expenditure of Rs. 25.18 Crore is not allowed in this Order at this stage.

111. In view of the above, the Commission has observed that the additional capitalization towards misc. fire-fighting system claimed by the petitioner in Bansagar PH-1, 2 & 3 HPS is covered under the Regulations, 2020, hence, additional capitalization of only Rs. 0.88 Crore is allowed in this Order which is beyond original scope of work.

112. The petitioner informed that the entire additional capitalisation is fully funded through equity/internal resources. Since, equity deployed over and above 30% is treated as

normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is allowed as per the Regulations, 2020.

113. Accordingly, the additional capitalization and its funding for Bansagar HPS (PH-1,2&3) considered in this Order are as given below:

Table 34: Additional Capitalization and Funding allowed in Bansagar HPS (PH-1,2 & 3)
(Rs. in Crore)

Particular	Additions During FY 2022-23
Assets	0.88
Loan	0.62
Equity considered for assets beyond original scope of work	0.26

m) Bansagar HPS (PH-4):

114. The Commission has observed that the assets of Rs. 0.59 Crore are capitalized by the petitioner in the books of accounts for FY 2022-23 and recorded in Asset-cum-Depreciation Register of Bansagar HPS (PH-4).
115. In Bansagar HPS (PH-4), the petitioner has claimed additional capitalization under following heads:

Table 35: Additional capitalization claimed in Bansagar HPS (PH-4) (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Clause of Regulations, 2020
i	10.563	Batteries Including Charging Equipments	0.59	Regulation 28.1(b)
		Total	0.59	

116. Vide Commission's letter dated 28th December, 2023, the petitioner was asked to file certain details/ documents regarding the additional capitalization in Bansagar HPS (PH-4). By affidavit dated 25th January, 2024 the petitioner filed its response to the queries raised by the Commission The petitioner has broadly submitted the following:

i. Batteries Including Charging Equipments :-

Petitioner's Submission

The Capitalization booked under Account Code 10.563 amounting to Rs. 0.59 Crore is Design, Manufacture, Supply, Erection, Testing & Commissioning of "Exide" make tubular battery sets of various rating vide order No. 1904 dated 29.07.2020.

This capitalization is carried out in compliance of directives of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines), Regulations, 2010 reproduced as under:-

“(6) DC supply system-

(b) The battery shall have sufficient capacity to meet unit and station loads in addition to 3 hours of uninterrupted emergency illumination requirement.

(c) DC system shall comprise of two DC battery sets (both battery sets of full capacity) each with one float cum boost charger.

(d) The float cum boost battery charger as well as its automatic regulator shall be of static type. It shall have a facility of both auto as well as manual control in both the float and boost modes.”

The said capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for “Change in law or compliance of any existing law.

Commission’s Analysis:

The petitioner has claimed Rs. 0.59 Crore under additional capitalization towards batteries including charging equipments of power house under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner submitted that the aforesaid capitalization has been done towards compliance of CEA (Technical Standards for Construction of Electrical Plants and Electric Lines) Regulations, 2010. The said expenditure of Rs. 0.59 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020, as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to aforesaid CEA Regulations, hence, additional capitalization of Rs. 0.59 Crore towards batteries including charging equipments is not allowed in this Order at this stage.

117. In view of the above, the Commission has not allowed any additional capitalization in Bansagar HPS (PH-4).

n) Birsinghpur HPS:

118. The petitioner filed the additional capitalization of Rs. 0.74 Crore in Birsinghpur Hydro Power station during FY 2022-23 towards Instrumentation & Controls.

119. The Commission has observed that the assets of Rs. 0.74 Crore were capitalized by the petitioner in the books of accounts for FY 2022-23 and recorded in Asset-cum-Depreciation register of Birsinghpur HPS.

120. The petitioner confirmed that the additional assets in Birsinghpur has been funded through equity of Rs. 0.74 Crore. The details of the additional assets in Birsinghpur HPS filed in the petition are as follows:

Table 36: Additional Capitalization claimed in Birsinghpur HPS (Rs. in Crore)

A/c Code	Description	Amount	Clause of Regulations, 2020
10.520	Instrumentation And Controls	0.74	Clause No. 28.1(a)
Total		0.74	

121. Vide Commission's letter dated 28th December, 2023 the petitioner was asked to file certain details/ documents regarding the additional capitalization in Birsinghpur HPS. By affidavit dated 25th January, 2024, the petitioner filed its response to the queries raised by the Commission. The petitioner has broadly submitted the following:-

Instrumentation & Control:-

The Capitalization claimed under Account Code 10.520 amounting to Rs. 0.74 Crores is supply and erection & commissioning of Digital Automatic Voltage Regulator (DAVR) vide order No. 4368 dated 26.02.2021.

The above-mentioned capitalization is made towards compliance of IEGC and MPEGC (Clause 6.1.9), towards safety/Protection of Generator and Electrical Grid System. The Central Electricity Authority regularly monitors the same.

The said capitalization is claimed Proviso 28.1(a) of the Regulations, 2020 which provides for compliance of "directions given by Statutory authorities".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 0.74 Crore towards Instrumentation & Controls under Regulation 28.1 (a) which provides for "Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law". The petitioner has mentioned that the aforesaid capitalization is made towards compliance of IEGC and MPEGC towards safety/Protection of Generator and Electrical Grid System. therefore, the said expenditure of Rs. 0.74 Crore towards Instrumentation & Control (which is beyond original scope of work) is allowed in this Order.

122. The petitioner informed that the entire additional capitalisation is fully funded through equity/internal resources. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is considered as per the Regulations, 2020.
123. Accordingly, the additional capitalization and its funding for Birsinghpur HPS considered in this Order are as given below:

Table 37: Additional Capitalization and Funding allowed in Birsinghpur HPS

(Rs. in Crore)

Particular	Additions During FY 2022-23
Assets	0.74
Loan	0.52
Equity considered for assets beyond original scope of work	0.22

o) Madhikheda HPS:

124. The Commission has observed that the assets of Rs. 0.03 Crore are capitalized by the petitioner in the books of accounts for FY 2022-23 and recorded in Asset-cum-Depreciation Register of Madhikheda HPS.
125. In Madhikheda HPS, the petitioner has claimed additional capitalization under following heads:

Table 38: Additional capitalization claimed in MadhiKheda HPS

(Rs. in Crore)

Sr No	A/c Code	Description	Amount	Clause of Regulations, 2020
i	10.904	Other office Equipments	0.01	Regulation 28.1(d)
ii	10.905	Computers	0.02	Regulation 27.2(c)
		Total	0.03	

126. Vide Commission's letter dated 28th December, 2023, the petitioner was asked to file certain details/ documents regarding the additional capitalization in Madhikheda HPS. By affidavit dated 25th January, 2024 the petitioner filed its response to the queries raised by the Commission. The petitioner has broadly submitted the following:

i. Other Office Equipments:-

The Capitalization booked under Account Code 10.904 amounting to Rs. 0.01 Crores is

a) Procurement of 360 no. video cable, 1 no. power supply module, 5 No. DC connector for CCTV camera, 5 no. BNC connector, 2 no. Dome camera, 2 no. bullet camera, 1000 no. HF coaxial cable vides document No. 630005.

and

b) Procurement of 2 no. power supply module, 5 no. DC connector for CCTV camera, 5 no. BNC connector for CCTV camera, 2 no. bullet IP based camera vide document No. 630003.

Aforesaid capitalization is claimed under proviso 28.1(d) which provided for "Any capital expenditure to be incurred on account of need for higher security and safety

of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security / internal security”

c) Procurement of 6 No. Air coolers & 2 No. Pedestal fans vide document No. 680139 dated 30.06.2022.

Aforesaid capitalization is claimed under proviso and 27.2(c) of MPERC Regulations 2020, which provides for “The replacement of such asset or equipment is necessary on account of obsolescence of technology”.

ii. Computers:-

The Capitalization booked under Account Code 10.905 amounting to Rs. 0.02 Crores is :

a) Procurement of 2 No. Laptops vide order No. 963 dated 03.01.2023

b) Procurement of Desktop Computer with Laser printers & UPS vide order No. 1433 dated 31.03.2022.

Aforesaid capitalization is claimed under proviso 27.2(c) of the Regulations 2020, which provides for “The replacement of such asset or equipment is necessary on account of obsolescence of technology”

Commission's Analysis

The petitioner has claimed Rs. 0.01 Crore under additional capitalization towards office equipments and Rs. 0.02 Crore towards computers under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the aforesaid Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the justification of replacement of existing assets towards obsolescence of technology. The Commission is of the view that the additional capital expenditure (ACE) incurred by the petitioner towards Office equipments & computers is in the nature of Operation & Maintenance Expenses. Hence, expenditure of Rs. 0.01 Crore towards office equipments and Rs. 0.02 Crore towards computers is not allowed in this Order.

Further, petitioner has not demonstrated/justified the aforementioned expenditure to be considered under Regulation 28.1 (d) of the Regulations, 2020, hence not allowed in this Order.

127. In view of the above, the Commission has not allowed any additional capitalization under

the Regulations, 2020 in Madhikheda HPS.

128. Based on the above, the power station wise additional capitalization and corresponding funding thereof considered in this true-up Order for FY 2022-23 are as given below:

Table 39: Details of Power Station/House Wise Additional Capitalization allowed by the Commission with corresponding Funding (Rs. in Crore)

Sno.	Particulars	Additions allowed for FY 2022-23			
		Asset Addition	Loan Addition including excess Equity	Equity Addition for assets within original scope of work	Equity Addition for assets beyond original scope of work
1	ATPS PH-3	1.09	0.76	0.11	0.21
2	STPS PH-2&3	0.00	0.00	0.00	0.00
3	STPS PH-4	34.70	24.29	7.69	2.72
4	SGTPS PH-1&2	0.46	0.32	0.09	0.05
5	SGTPS PH-3	4.52	3.16	0.06	1.30
6	SSTPP PH-1	5.85	4.10	0.00	1.76
7	SSTPP PH-2	5.35	3.75	1.61	0.00
8	Gandhi Sagar HPS	0.00	0.00	0.00	0.00
9	Pench HPS	0.24	0.17	0.00	0.07
10	Rajghat HPS	0.01	0.01	0.00	0.00
11	Bargi HPS	0.01	0.007	0.00	0.003
12	Bansagar HPS (PH-1,2&3)	0.88	0.62	0.00	0.26
13	Bansagar HPS (PH-4)	0.00	0.00	0.00	0.00
14	Birsinghpur HPS	0.74	0.52	0.00	0.22
15	Madhikheda HPS	0.00	0.00	0.00	0.00
	TOTAL	53.85	37.69	9.55	6.61

Asset written off / de-capitalized / Adjustments

129. In the petition, the petitioner submitted that the write off /adjustment of Assets were made in the Gross Fixed Assets (GFA) of the various power stations and these adjustments were reflected in the Annual Audited Accounts for FY 2022-23. The summary of power station/House wise details of Assets deductions as filed by the petitioner is given below:

Table 40: Asset deductions during FY 2022-23 (Rs. in Crore)

Stations		Amount	Remarks
1	ATPS PH-3	-1.76	Assets Write-off
2	STPS PH-2&3	-2.01	Assets Write-off
		-0.11	transferred to ATPS PH-3
3	STPS PH-4	-0.22	Assets Write-off
4	STPS Total	-2.34	

5	SGTPS PH-1&2	-4.60	Assets Write-off
6	SGTPS-PH 3	-2.31	Assets Write-off
7	SGTPS Total	-6.91	
8	SSTPP PH-1	-0.37	Assets Write-off
9	SSTPP PH-2	0.00	
10	SSTPP Total	-0.37	
11	Total Thermal	-11.38	
12	Gandhi Sagar HPS	0.00	
13	Pench HPS	-0.23	Assets Write-off
14	Rajghat HPS	-0.01	Assets Write-off
15	Bargi HPS	0.00	
16	Bansagar HPS (PH-1,2 &3)	-2.99	Assets Write-off
17	Bansagar HPS (PH-4)	0.00	
18	Birsinghpur HPS	0.00	
19	Madhikheda HPS	0.00	
20	Total Hydro	-3.24	
21	HQ	-0.21	Assets Write-off
Total		-14.83	

130. The petitioner has filed write-off/adjustments of assets of Rs. 14.83 Crore in thermal & hydro power stations. It is observed that the corresponding equity / loan amount pertaining to write-off/adjustment assets have also been reduced from the equity-debt components of the respective power stations.

131. With regard to de-capitalization, Regulation 28.2 of the Regulations, 2020 provides that:

“28.2 In case of de-capitalisation of assets of a generating company, the original cost of such asset as on the date of de- capitalisation shall be deducted from the value of gross fixed asset and corresponding loan as well as equity shall be deducted from outstanding loan and the equity respectively in the year such de-capitalisation takes place with corresponding adjustments in cumulative depreciation and cumulative repayment of loan, duly taking into consideration the year in which it was capitalised.”

132. On perusal of the power Station/House wise Asset-cum-Depreciation registers filed by the petitioner, it is observed that the petitioner has adjusted assets write-off in the power stations during the year and then worked out the closing GFA. After considering the same approach as considered by the petitioner in its Asset-cum-Depreciation register, the Commission has adjusted asset's write-off during the year and then worked out the closing GFA in this Order. The write-off/de-capitalization of assets in different power stations is discussed separately as follows:

ATPS PH-3

133. With respect to write off/adjustment of assets in ATPS PH-3, the petitioner has submitted that the assets of Rs. 1.76 Crore have been written off in ATPS PH-3 during the financial

year 2022-23 towards land owned under full title, metering handling equipments, Batteries including Charging Equipment, petrol pump refilling service, vehicles, furnitures and fixtures and computers. These assets have been reduced from the GFA of ATPS PH-3 for the purpose of claiming depreciation for FY 2022-23. The petitioner further submitted that the corresponding equity/ loan balances of aforesaid assets have also been adjusted. The detail of assets written off in ATPS PH-3 and their corresponding funding as filed by petitioner is given below:

Table 41: Assets Written-off submitted in ATPS PH-3 (Rs. in Crore)

A/c Code	Description	Amount
10.101	Land Owned Under Full Title	0.0004
10.551	Material Handling Equipment-Earth-Movers, Bulldozer	0.09
10.563	Batteries Including Charging Equipment	0.59
10.588	Petrol Pump Refilling Service Tools & Tackles	0.057
10.740	Other Vehicles	0.008
10.800	Furniture And Fixtures	0.0004
10.905	Computers	0.038
Total		1.76

134. In view of the above, the Commission has considered the above mentioned written-off assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt – Equity components are as given below:

Table 42: Assets written off and Funding considered by the Commission in ATPS PH-3 (Rs. in Crore)

Particular	Amount
Gross Fixed Asset	1.76
Loan component	1.23
Equity component	0.53
Accumulated Depreciation towards Write-off	1.03
Balance Loan	0.20

STPS PH-2&3

135. In STPS PH-2&3, the petitioner submitted that the assets of Rs. 2.12 Crore have been written off/de-capitalized in STPS PH-2&3 as per Annual Audited Accounts for FY 2022-23 and the below assets have been reduced from the Gross Block of STPS PH-2&3. The petitioner further submitted that these assets were funded through Loan/Equity component and the corresponding normative loan/ equity balances have been reduced. The following are the details of assets written off in STPS PH-2&3 as filed by the petitioner:

Table 43: Assets Written-off submitted in STPS PH-2&3 (Rs. in Crore)

A/c Code	Description	Amount
10.101	Land Owned Under Full Title	0.01
10.102	Land Held Under Lease	0.12
10.106	Cost Of Tree Plant For Tree Cut Down	1.81
10.501	Boiler Plant & Equipments	0.01
10.542	Other Transformers Of Power House	0.14
10.800	Furniture And Fixtures	0.004
10.904	Other Office Equipments	0.03
10.905	Computers	0.01
Total		2.12

136. In view of the above, the Commission has considered above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt – Equity components are as given below:

Table 44: Assets written off and Funding considered by the Commission in STPS PH-2&3 (Rs. in Crore)

Particular	Amount
Gross Fixed Asset	2.12
Loan component	1.49
Equity component	0.63
Accumulated Depreciation towards Write-off	1.93
Balance Loan	0.00

STPS PH-4

137. With respect to write off/adjustment of assets in STPS PH-4, the petitioner submitted that the assets of Rs. 0.22 Crore have been written off in STPS PH-4. The petitioner further informed that the aforesaid assets have been reduced from the Gross Fixed Assets of STPS PH-4 for the purpose of claiming depreciation for FY 2022-23. The petitioner also submitted that these assets are funded through loan/ equity component and the normative loan/ equity balance has been reduced, proportionately. The details of asset written off as filed by the petitioner are given below:

Table 45: Assets Written-off submitted in STPS PH-4 (Rs. in Crore)

A/c Code	Description	Amount
10.587	Other Electrical Equipments for BoP	0.22
Total		0.22

138. In view of the above, the Commission has considered above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt – Equity components are as given below:

Table 46: Assets written off and Funding considered by the Commission in STPS PH-4
(Rs. in Crore)

Particular	Amount
Gross Fixed Asset	0.22
Loan component	0.16
Equity component	0.07
Accumulated Depreciation towards Write-off	0.09
Balance Loan	0.06

SGTPS PH-1&2

139. With respect to write off/adjustment of assets in SGTPS PH-1&2, the petitioner submitted that the assets of Rs 4.60 Crore have been written off in SGTPS PH-1&2. The petitioner further informed that the aforesaid assets have been reduced from the Gross Fixed Assets of SGTPS PH-1&2 for the purpose of claiming depreciation for FY 2022-23. The petitioner also submitted that these assets are funded through loan/ equity component and the normative loan/ equity balance has been reduced, proportionately. The details of asset written off as filed by the petitioner are given below:

Table 47: Assets Written-off submitted in SGTPS PH-1&2 (Rs. in Crore)

A/c Code	Description	Amount
10.102	Land Held Under Lease	2.86
10.515	Coal Handling Plant & Handling Equipments	1.48
10.611	Underground Cables Including Jt. Boxes & Disconnect Box	0.26
Total		4.60

140. In view of the above, the Commission has considered the above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt – Equity components are as given below:

Table 48: Assets written off and Funding considered by the Commission in SGTPS PH-1&2
(Rs. in Crore)

Particular	Amount
Gross Fixed Asset	4.60
Loan component	3.22
Equity component	1.38
Accumulated Depreciation towards Write-off	3.90
Balance Loan	0.00

SGTPS PH-3

141. The petitioner submitted that assets of Rs 2.31 Crore were written off at SGTPS PH-3 as per Audited Books of Accounts for FY 2022-23. The petitioner further submitted that the

aforesaid assets have been reduced from the GFA of SGTPS PH-3 for the purpose of claiming depreciation for FY 2022-23. The details of the assets written off as submitted by the petitioner are given below:

Table 49: Assets Written-off submitted in SGTPS PH-3 (Rs. in Crore)

A/c Code	Description	Amount
10.520	Instrumentation and Controls	0.31
10.543	Others Trans. Plant Transformer Kiosks, Subs Equip Apparatus	2.00
Total		2.31

142. In view of the above, the Commission has considered the above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt - Equity components are as given below:

Table 50: Assets written off and Funding considered by the Commission in SGTPS PH-3 (Rs. in Crore)

Particular	Amount
Gross Fixed Asset	2.31
Loan component	1.62
Equity component	0.69
Accumulated Depreciation towards Write-off	1.46
Balance Loan	0.16

SSTPP PH-1

143. With respect to write off/adjustment of assets in SSTPP PH-1, the petitioner submitted that the assets of Rs 0.37 Crore have been written off in SSTPP PH-1. The petitioner further informed that the aforesaid assets have been reduced from the Gross Fixed Assets of SSTPP PH-1 for the purpose of claiming depreciation for FY 2022-23. The petitioner also submitted that these assets are funded through loan/ equity component and the normative loan/ equity balance has been reduced, proportionately. The details of asset written off as filed by the petitioner are given below:

Table 51 Assets Written-off submitted in SSTPP PH-1 (Rs. in Crore)

A/c Code	Description	Amount
10.551	Material Handling Equipments-Earth-Movers, Bulldozer	0.36
10.565	Fabrication Shop/Workshop Plant & Equipments	0.005
10.800	Furniture And Fixtures	0.002
10.905	Computers	0.006
Total		0.37

144. In view of the above, the Commission has considered the above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt – Equity components are as given below:

Table 52: Assets written off and Funding considered by the Commission in SSTPP PH-1
(Rs. in Crore)

Particular	Amount
Gross Fixed Asset	0.37
Loan component	0.26
Equity component	0.11
Accumulated Depreciation towards Write-off	0.14
Balance Loan	0.12

Pench HPS

145. The petitioner submitted that assets of Rs 0.23 Crore were written off at Pench as per Audited Books of Accounts for FY 2022-23. The petitioner further submitted that aforesaid assets have been reduced from the Gross Fixed Assets of Pench for the purpose of claiming depreciation for FY 2022-23. The details of the assets written off as submitted by the petitioner are given below:

Table 53: Assets Written-off submitted in Pench HPS (Rs. in Crore)

A/c Code	Description	Amount
10.583	Tools and Tackles	0.13
10.531	Hydro Power Generation Plant	0.05
10.535	Auxiliaries in Hydel Power Plant	0.03
10.567	Lightning Arrestors	0.006
10.740	Other Vehicles	0.01
Total		0.23

146. In view of the above, the Commission has considered the above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt – Equity components are as given below:

Table 54: Assets written off and Funding considered by the Commission in Pench
(Rs. in Crore)

Particular	Amount
Gross Fixed Asset	0.23
Loan component	0.16
Equity component	0.07
Accumulated Depreciation towards Write-off	0.169
Balance Loan	0.00

Rajghat HPS

147. The petitioner submitted that assets of Rs 0.01 Crore towards computers were written off at Rajghat as per Audited Books of Accounts for FY 2022-23. The petitioner further submitted that the aforesaid assets have been reduced from the Gross Fixed Assets of Rajghat for the purpose of claiming depreciation for FY 2022-23. The details of the assets written off as submitted by the petitioner are given below:

Table 55: Assets Written-off submitted in Rajghat, HPS (Rs. in Crore)

A/c Code	Description	Amount
10.905	Computers	0.01
Total		0.01

148. In view of the above, the Commission has considered the above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt – Equity components are as given below:

Table 56: Assets written off and Funding considered by the Commission in Rajghat (Rs. in Crore)

Particular	Amount
Gross Fixed Asset	0.01
Loan component	0.007
Equity component	0.003
Accumulated Depreciation towards Write-off	0.01
Balance Loan	0.00

Bansagar HPS (PH- 1, 2&3):

149. The petitioner submitted that assets of Rs 2.99 Crore were written off at Bansagar HPS PH-1,2&3. The petitioner further submitted that the below-mentioned assets have been reduced from the Gross Fixed Assets of Bansagar PH-1,2&3 HPS for the purpose of claiming depreciation for FY 2022-23. The details of the assets written-off in Bansagar HPS PH-1,2&3 are as given below:

Table 57: Assets Written-off submitted in Bansagar HPS (PH-1,2&3) (Rs in Crore)

A/c Code	Description	Amount
10.101	Land on under full Title	0.81
10.531	Hydel Power Generation Plants	2.05
10.535	Auxiliaries at Hydel Power Plant	0.11
10.905	Computers	0.01
Total		2.99

150. In view of the above, the Commission has considered the written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt–Equity components are as given below:

Table 58: Assets written off and Funding considered by the Commission in Bansagar HPS PH-1,2&3 (Rs. in Crore)

Particular	Amount
Gross Fixed Asset	2.99
Loan component	2.09

Equity component	0.90
Accumulated Reduction towards Write-off	2.24
Balance Loan	0.00

151. Accordingly, the power stations details of Normative Loan/Equity adjustment due to assets Write off /Adjustments are detailed hereunder:

Table 59: Power Station/Power House-Wise Loan and Equity adjustments due to assets write-off/adjustments (Rs. in Crore)

Power Station		Assets	Corresponding Funding	
		Write off /Adjustments	Loan	Equity
1	ATPS PH-3	-1.76	-1.23	-0.53
2	STPS PH-2 & 3	-2.12	-1.49	-0.63
3	STPS PH-4	-0.22	-0.16	-0.07
4	SGTPS PH 1 & 2	-4.60	-3.22	-1.38
5	SGTPS PH-3	-2.31	-1.62	-0.69
6	SSTPP PH-1	-0.37	-0.26	-0.11
7	SSTPP PH-2	0.00	0.00	0.00
8	Gandhi Sagar HPS	0.00	0.00	0.00
9	Pench HPS	-0.23	-0.16	-0.07
10	Rajghat HPS	-0.01	-0.007	-0.003
11	Bargi HPS	0.00	0.00	0.00
12	Bansagar HPS (PH-1,2 & 3)	-2.99	-2.09	-0.90
13	Bansagar HPS (PH-4)	0.00	0.00	0.00
14	Birsinghpur HPS	0.00	0.00	0.00
15	Madhikheda HPS	0.00	0.00	0.00
Total		-14.61	-10.24	-4.38

152. The Power Station/House wise closing GFA, closing equity, closing loan component and closing cumulative depreciation admitted as on 31st March, 2023 are worked out after asset additions and write-off/adjustment/de-capitalization of assets which are as given below:

Table 60: Power Station/House Wise Closing Gross Fixed Assets considered as on 31st March, 2023 (Rs. in Crore)

S. No	Power Stations	Gross Fixed Assets			
		Opening GFA as on 01.04.2022	Asset Additions	Assets Written Off/De-capitalized	Closing GFA as on 31.3.2023
1	ATPS PH-3	1133.19	1.09	-1.76	1132.52
2	STPS PH-2 & 3	564.55	0.00	-2.12	562.43
3	STPS PH-4	3242.10	34.70	-0.22	3276.58

4	SGTPS PH 1 &2	2212.21	0.46	-4.60	2208.07
5	SGTPS PH-3	2047.74	4.52	-2.31	2049.95
6	SSTPP PH-1	7323.01	5.85	-0.37	7328.49
7	SSTPP PH-2	6755.72	5.35	0.00	6761.07
	Thermal	23278.52	51.97	-11.38	23319.11
8	Gandhi Sagar HPS	11.14	0.00	0.00	11.14
9	Pench HPS	119.43	0.24	-0.23	119.44
10	Rajghat HPS	107.43	0.01	-0.01	107.43
11	Bargi HPS	92.47	0.01	0.00	92.48
12	Bansagar HPS (PH-1,2 &3)	1177.56	0.88	-2.99	1175.45
13	Bansagar HPS (PH-4)	116.85	0.00	0.00	116.85
14	Birsinghpur HPS	52.41	0.74	0.00	53.15
15	Madhikheda HPS	218.16	0.00	0.00	218.16
	Total Hydro	1895.45	1.88	-3.23	1894.10
	Total	25173.97	53.85	-14.61	25213.21

Table 61: Power Station/House wise Closing Equity considered by the Commission as on 31st March, 2023
(Rs. in Crore)

S. No	Power Stations	Normative Equity				
		Opening Equity as on 01.04.2022	Equity Additions within Original Scope of Work	Assets Written Off/De-capitalized	Closing Equity as on 31.3.2023	Equity additions beyond original scope of work
1	ATPS PH-3	259.28	0.11	-0.53	258.86	0.21
2	STPS PH-2 & 3	167.29	0.00	-0.63	166.66	0.00
3	STPS PH-4	655.21	7.69	-0.07	662.83	2.72
4	SGTPS PH 1 &2	657.17	0.09	-1.38	655.88	0.05
5	SGTPS PH-3	578.65	0.06	-0.69	578.02	1.30
6	SSTPP PH-1	1414.76	0.00	-0.11	1414.65	1.76
7	SSTPP PH-2	1032.32	1.61	0.00	1033.93	0.00
	Thermal	4764.68	9.55	-3.41	4770.82	6.04
8	Gandhi Sagar HPS	3.37	0.00	0.00	3.37	0.00
9	Pench HPS	35.84	0.00	-0.07	35.77	0.07
10	Rajghat HPS	27.03	0.00	-0.003	27.03	0.003
11	Bargi HPS	27.77	0.00	0.00	27.77	0.003
12	Bansagar HPS (PH-1,2 &3)	353.28	0.00	-0.90	352.38	0.26
13	Bansagar HPS (PH-4)	35.05	0.00	0.00	35.05	0.00
14	Birsinghpur HPS	15.65	0.00	0.00	15.65	0.22
15	Madhikheda HPS	46.30	0.00	0.00	46.30	0.00
	Total Hydro	544.29	0.00	-0.97	543.32	0.56
	Total	5308.98	9.55	-4.38	5314.14	6.61

Table 62: Power Station/House wise Closing Loan considered by the Commission as on 31st March, 2023 (without considering repayment):
(Rs. in Crore)

Power Stations	Normative Loan
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S. No		Opening Loan as on 01.04.2022	Loan Additions	Loan towards Assets Write-off*	Closing Loan as on 31.3.2023
1	ATPS PH-3	200.41	0.76	-0.20	200.97
2	STPS PH-2 & 3	0.00	0.00	0.00	0.00
3	STPS PH-4	1280.83	24.29	-0.06	1305.06
4	SGTPS PH 1 & 2	0.00	0.32	0.00	0.32
5	SGTPS PH-3	165.53	3.16	-0.16	168.54
6	SSTPP PH-1	3109.88	4.10	-0.12	3114.09
7	SSTPP PH-2	4647.79	3.75	0.00	4651.54
	Thermal	9404.44	36.38	-0.54	9440.51
8	Gandhi Sagar HPS	0.27	0.00	0.00	0.27
9	Pench HPS	8.74	0.17	0.00	8.91
10	Rajghat HPS	0.00	0.01	0.00	0.01
11	Bargi HPS	0.00	0.01	0.00	0.01
12	Bansagar HPS (PH-1,2 & 3)	0.00	0.62	0.00	0.62
13	Bansagar HPS (PH-4)	0.00	0.00	0.00	0.00
14	Birsinghpur HPS	0.00	0.52	0.00	0.52
15	Madhikheda HPS	15.58	0.00	0.00	15.58
	Total Hydro	24.59	1.32	0.00	25.91
	Total	9429.03	37.69	-0.54	9466.42

*Cumulative Dep recovered on write-off asset is more than normative loan of write-off (except ATPS PH-3, STPS PH-4, SSTPP PH-1 and SGTPS PH-3)

Table 63: Power Station/House wise Cumulative Depreciation considered by the Commission as on 31st March, 2023

(without considering depreciation during FY 2022-23): **(Rs. in Crore)**

Sr No	Particulars	Opening as on 01.04.2022	Asset Written Off/Decapitalized	Closing as on 31.3.2023
1	ATPS PH-3	663.83	-1.03	662.80
2	STPS PH-2 & 3	513.56	-1.93	511.63
3	STPS PH-4	1340.37	-0.09	1340.28
4	SGTPS PH 1 & 2	1875.49	-3.90	1871.59
5	SGTPS PH-3	1297.46	-1.46	1296.00
6	SSTPP PH-1	2796.16	-0.14	2796.02
7	SSTPP PH-2	1075.46	0.00	1075.46
	Thermal	9562.33	-8.55	9553.78
8	Gandhi Sagar HPS	9.61	0.00	9.61
9	Pench HPS	86.93	-0.169	86.76
10	Rajghat HPS	66.78	-0.01	66.77
11	Bargi HPS	73.04	0.00	73.04
12	Bansagar HPS (PH-1,2 & 3)	882.00	-2.24	879.76
13	Bansagar HPS (PH-4)	85.25	0.00	85.25
14	Birsinghpur HPS	42.36	0.00	42.36

15	Madhikheda HPS	130.84	0.00	130.84
	Total Hydro	1376.81	-2.42	1374.39
	Total	10939.14	-10.97	10928.17

Debt-Equity Ratio:

153. With regard to Debt: equity ratio, Regulation 33 of the Regulations, 2020 provides as under:

33.1 For new projects, the debt-equity ratio of 70:30 as on date of commercial operation shall be considered. If the equity actually deployed is more than 30% of the capital cost, equity in excess of 30% shall be treated as normative loan:

Provided that:

- a. where equity actually deployed is less than 30% of the capital cost, actual equity shall be considered for determination of tariff:*
- b. the equity invested in foreign currency shall be designated in Indian rupees on the date of each investment:*
- c. any grant obtained for the execution of the project shall not be considered as a part of capital structure for the purpose of debt : equity ratio.*

Explanation.-The premium, if any, raised by the generating company while issuing share capital and investment of internal resources created out of its free reserve, for the funding of the project, shall be reckoned as paid up capital for the purpose of computing return on equity, only if such premium amount and internal resources are actually utilised for meeting the capital expenditure of the generating station.

33.2 The generating company shall submit the resolution of the Board of the company regarding infusion of fund from internal resources in support of the utilization made or proposed to be made to meet the capital expenditure of the generating station.

33.3 In case of the generating station declared under commercial operation prior to 1.4.2019, debt- equity ratio allowed by the Commission for determination of tariff for the period ending 31.3.2019 shall be considered:

Provided that in case of a generating station which has completed its useful life as on or after 01.04.2019, if the equity actually deployed as on 01.04.2019 is more than 30% of the capital cost, equity in excess of 30% shall not be taken into account for tariff determination.

33.4 In case of the generating station declared under commercial operation prior to 1.4.2019, but where debt: equity ratio has not been determined by the Commission for determination of tariff for the period ending 31.3.2019, the Commission shall approve the debt : equity in accordance with Regulation 33.1 of these Regulations.

33.5 Any expenditure incurred or projected to be incurred on or after 1.4.2019 as may be admitted by the Commission as additional capital expenditure for determination of tariff, and renovation and modernisation expenditure for life extension shall be

served in the manner specified in clause 33.1 of this Regulation

154. Based on above Regulation, the Commission has considered power station wise opening loan and equity as on 01st April, 2022 same as closing loan and equity balances as on 31st March, 2022 considered in last true-up Order for FY 2021-22 issued on 31st March, 2023.

155. Further, Regulation 33.5 of the Regulations, 2020 provides that any expenditure incurred on or after 01st April, 2019 as may be admitted by the Commission as additional capital expenditure for determination of tariff shall be determined in the manner specified in Regulations 33.1 of this Regulation. Therefore, the debt and equity component for the additional capitalization admitted in this Order has been considered accordingly.

Annual Capacity (fixed) Charges:

156. Regulation 17 of the Regulations, 2020 provides that Annual Capacity (fixed) Charges derived on the basis of annual fixed cost (AFC) which shall consist of the following components:

- (a) Return on Equity;
- (b) Depreciation
- (c) Interest on Loan Capital;
- (d) Operation and Maintenance Expenses
- (e) Interest on Working Capital;

a. Return on Equity:

Petitioner's submission:

157. With regard to the return on equity, the petitioner broadly submitted the following:

- i). *The proviso 33.1 of the Regulations, 2020 specifies debt Equity ratio of 70:30 of capital cost for the purpose of determination of Return on Equity.*
- ii). *In accordance with above, the normative Equity as on 01.04.2022 as submitted in the True-Up Petition for FY 2021-22 and considered in instant True Up petition is tabulated hereunder:-*

Table 64: Power Station/House wise Closing and Average Equity claimed by the petitioner
(Rs. in Crore)

	Station	Normative Equity as on 01.04.2022	Normative Equity Addition due to Asset Capitalization	Normative Equity deletions towards asset write off / adjustments	Normative Equity as on 31.3.2023
1	ATPS PH-3	259.28	8.65	-0.53	267.41
2	STPS PH-2&3	167.29	0.00	-0.64	166.65
3	STPS PH-4	655.21	11.46	-0.07	666.60
4	SGTPS PH-1&2	657.17	0.93	-1.38	656.72
5	SGTPS PH-3	578.65	2.47	-0.69	580.43
6	SSTPP PH-1	1414.76	2.26	-0.11	1416.91
7	SSTPP PH-2	1032.32	8.49	0.00	1040.81
8	Total Thermal	4764.68	34.26	-3.41	4795.52
9	Gandhi Sagar HPS	3.37	0.02	0.00	3.39
10	Pench HPS	35.84	0.98	-0.07	36.75
11	Rajghat HPS	27.03	0.03	0.00	27.05
12	Bargi HPS	27.77	0.17	0.00	27.94
13	Bansagar PH-1,2&3 HPS	353.28	10.12	-0.90	362.50
14	Bansagar PH-4 HPS	35.05	0.18	0.00	35.23
15	Birsinghpur HPS	15.65	0.22	0.00	15.87
16	Madhikheda HPS	46.30	0.01	0.00	46.31
17	Total Hydro	544.30	11.72	-0.97	555.04
18	HQ	1.76	0.19	-0.06	1.88
	Total	5310.74	46.16	-4.45	5352.45

158. Since MPPGCL has not paid any tax during FY 2022-23, therefore, MPPGCL has worked out the Return on Equity on pre-tax basis at a base rate as tabulated below:

Table 65: Power Station/House wise Return on Equity claimed by the petitioner
(Rs. in Crore)

	Station	Average Equity	Rate of Return on equity	Return on Equity
1	ATPS PH-3	263.34	15.50%	40.82
2	STPS PH-2&3	166.97	15.50%	25.88
3	STPS PH-4	660.91	15.50%	102.44
4	SGTPS PH-1&2	656.94	15.50%	101.83
5	SGTPS PH-3	579.54	15.50%	89.83
6	SSTPP PH-1	1415.83	15.50%	219.45
7	SSTPP PH-2	1036.56	15.50%	160.67
8	Total Thermal	4780.10	-	740.92
9	Gandhi Sagar HPS	3.38	16.50%	0.56
10	Pench HPS	36.29	16.50%	5.99

	Station	Average Equity	Rate of Return on equity	Return on Equity
11	Rajghat HPS	27.04	16.50%	4.46
12	Bargi HPS	27.85	16.50%	4.60
13	Bansagar PH-1,2&3 HPS	357.89	16.50%	59.05
14	Bansagar PH-4 HPS	35.14	16.50%	5.80
15	Birsinghpur HPS	15.76	16.50%	2.60
16	Madhikheda HPS	46.31	16.50%	7.64
17	Total Hydro	549.67		90.70
18	HQ	1.82	16.50%	0.30
	Total	5331.59		831.91

Provision in Regulations:

159. With Regards to Return on Equity, Regulation 34 of the Regulations, 2020 provides that:

34 . Return on Equity:

34.1 Return on equity shall be computed in rupee terms on the equity base determined in accordance with Regulation 33 of these Regulations.

34.2 Return on equity shall be computed at the base rate of 15.50% for thermal generating stations and hydro generating stations and at the base rate of 16.50% for the pumped storage hydro generating stations and run-of river generating stations with pondage.

Provided that

- i. in case of a new project, the rate of return of a new project shall be reduced by 1.00% for such period as may be decided by the Commission, if the generating station is found to be declared under commercial operation without commissioning of any of the Restricted Governor Mode Operation (RGMO)/ Free Governor Mode Operation (FGMO):
- ii. in case of existing generating station any of the above requirements are found lacking based on the report submitted by the respective SLDC/RLDC, RoE shall be reduced by 1% for the period for which the deficiency continues.
- iii. in case of a thermal generating station, with effect from 1.04.2020:
 - (a) rate of return on equity shall be reduced by 0.25% in case of failure to achieve the ramp rate of 1% per minute:
 - (b) an additional rate of return on equity of 0.25% shall be allowed for every incremental ramp rate of 1% per minute achieved over and above the ramp rate of 1% per minute, subject to ceiling of additional rate of return on equity of 1.00%:

Commission's Analysis:

160. In this Order, the Commission has considered the power station wise opening equity as on 1st April, 2022 as the closing equity considered in last true-up order for FY 2021-22

issued on 31st March, 2023.

161. With regard to ROE in respect of additional capitalization, after the cut-off date beyond the original scope of work, proviso of Regulation 34.2 of the 2nd Amendment to the Regulations, 2020 provides that:

“Provided also that return on equity in respect of additional capitalization after cutoff date beyond the original scope of work, excluding additional capitalization on account of emission control system, shall be computed at the weighted average rate of interest on actual loan portfolio of the generating station or in the absence of actual loan portfolio of the generating station, the weighted average rate of interest of the generating company, as a whole shall be considered, subject to ceiling of 14%”

162. The petitioner filed the additional capitalization in the thermal and hydel power stations during FY 2022-23 and claimed return on equity on additional equity infusion in respect of additional capitalization. The Commission has considered the power station wise equity addition within original scope of work and beyond original scope of work only to the extent of additional capitalization considered in this true-up Order. The equity over and above the normative equity is considered as normative loan. The Commission has also considered the reduction of equity amount in respect of the asset deletion/de-capitalization in respective power stations during the year.
163. Based on the above, the Power Station/House wise break-up of normative equity eligible for return on equity in this true-up Order is worked out as given below:

Table 66: Power Station/House wise Opening Equity, Additions and Closing Equity allowed by the Commission for FY 2022-23 (Rs. in Crore)

S. No	Power Stations	Normative Equity				
		Opening Equity as on 01.04.2022	Equity Additions towards assets within Original Scope of Work	Assets Written Off/De-capitalized	Closing Equity as on 31.3.2023	Equity additions towards assets beyond original scope of work
1	ATPS PH-3	259.28	0.11	-0.53	258.86	0.21
2	STPS PH-2 & 3	167.29	0.00	-0.63	166.66	0.00
3	STPS PH-4	655.21	7.69	-0.07	662.83	2.72
4	SGTPS PH 1 & 2	657.17	0.09	-1.38	655.88	0.05
5	SGTPS PH-3	578.65	0.06	-0.69	578.02	1.30
6	SSTPP PH-1	1414.76	0.00	-0.11	1414.65	1.76
7	SSTPP PH-2	1032.32	1.61	0.00	1033.93	0.00
	Thermal	4764.68	9.55	-3.41	4770.82	6.04
8	Gandhi Sagar HPS	3.37	0.00	0.00	3.37	0.00

9	Pench HPS	35.84	0.00	-0.07	35.77	0.07
10	Rajghat HPS	27.03	0.00	-0.003	27.03	0.003
11	Bargi HPS	27.77	0.00	0.00	27.77	0.003
12	Bansagar HPS (PH-1,2 &3)	353.28	0.00	-0.90	352.38	0.26
13	Bansagar HPS (PH-4)	35.05	0.00	0.00	35.05	0.00
14	Birsinghpur HPS	15.65	0.00	0.00	15.65	0.22
15	Madhikheda HPS	46.30	0.00	0.00	46.30	0.00
	Total Hydro	544.29	0.00	-0.97	543.32	0.56
	Total	5308.98	9.55	-4.38	5314.14	6.61

164. In view of the above, the Commission has determined the ROE on equity component of additional capital expenditure within the original scope considered at the base rate of return @15.50% for thermal power stations and 16.50% for hydro power stations, however, while calculating ROE on equity component of additional capital expenditure incurred and admitted after the cut-off date and beyond the original scope, the Commission has considered the computation of RoE @ weighted average rate of Interest of respective power stations with ceiling limit of 14% in accordance with proviso 34.2 of the 2nd Amendment of the Regulations, 2020.

165. Accordingly, the return on equity for equity invested in assets within the original scope work and beyond the original scope of work has been worked out for FY 2022-23 for thermal and hydel power stations as given below:

Table 67: Power Station/House wise Return on Equity for FY 2022-23 allowed by the Commission

Sr. No.	Station	Average Equity for equity invested within original scope of work	Rate of Return on Equity	Average Equity for equity invested beyond original scope of work	Weighted Avg. Rate of Interest ceiling @14%	Total Return on Equity Allowed
		Rs. Crore	%	Rs. Crore		Rs. Crore
1	ATPS PH-3	259.07	15.50	0.11	14.00%	40.17
2	STPS PH-2&3	166.98	15.50	0.00	14.00%	25.88
3	STPS PH-4	659.02	15.50	1.36	10.49%	102.29
4	SGTPS PH-1&2	656.52	15.50	0.03	12.32%	101.76
5	SGTPS PH-3	578.34	15.50	0.65	14.00%	89.73
6	SSTPP PH-1	1414.71	15.50	0.88	10.48%	219.37
7	SSTPP PH-2	1033.12	15.50	0.00	10.41%	160.13
	Total Thermal	4767.75		3.02		739.35
8	Gandhi Sagar HPS	3.37	16.50	0.00	14.00%	0.56
9	Pench HPS	35.81	16.50	0.04	14.00%	5.91
10	Rajghat HPS	27.03	16.50	0.00	14.00%	4.46
11	Bargi HPS	27.77	16.50	0.00	14.00%	4.58

12	Bansagar HPS (PH-1,2 &3)	352.83	16.50	0.13	14.00%	58.24
13	Bansagar HPS (PH-4)	35.05	16.50	0.00	14.00%	5.78
14	Birsinghpur HPS	15.65	16.50	0.11	14.00%	2.60
15	Madhikheda HPS	46.30	16.50	0.00	14.00%	7.64
	Total Hydro	543.80		0.28		89.77
	Total	5311.55		3.30		829.11

b. Depreciation:**Petitioner's submission**

166. With regard to the depreciation, the petitioner broadly submitted the following:

- a. *“Considering the above mentioned asset additions and deductions, the Closing Gross Block and the Average Gross Block for FY 2022-23 works out as under:-*

**Table 68: Opening GFA, Additions, Deductions, Closing GFA claimed by the petitioner
(Rs. in Crore)**

	Station	Opening Gross Block 01-04- 2022	Asset Additions during FY 2022- 23	Deductions during FY 2022-23	Closing Gross Block 31-03- 2023	Average Gross Block
1	ATPS PH-3	1133.19	28.84	-1.76	1160.27	1146.73
2	STPS PH-2&3	564.55	0.00	-2.12	562.43	563.49
3	STPS PH-4	3242.10	38.19	-0.22	3280.07	3261.09
5	SGTPS PH-1&2	2212.21	3.09	-4.60	2210.70	2211.46
6	SGTPS PH-3	2047.74	8.24	-2.31	2053.67	2050.70
8	SSTPP PH-1	7323.01	7.54	-0.37	7330.17	7326.59
9	SSTPP PH-2	6755.72	28.30	0.00	6784.02	6769.87
11	Total Thermal	23278.52	114.20	-11.38	23381.33	23329.93
12	Gandhi Sagar HPS	11.14	0.05	0.00	11.19	11.17
13	Pench HPS	119.43	3.26	-0.23	122.45	120.94
14	Rajghat HPS	107.43	0.09	-0.01	107.51	107.47
15	Bargi HPS	92.47	0.56	0.00	93.03	92.75
16	Bansagar PH-1,2&3 HPS	1177.56	33.73	-2.99	1208.30	1192.93
17	Bansagar PH-4 HPS	116.85	0.59	0.00	117.44	117.15
18	Birsinghpur HPS	52.41	0.74	0.00	53.15	52.78
19	Madhikheda HPS	218.16	0.03	0.00	218.19	218.18
20	Total Hydro	1895.45	39.05	-3.24	1931.27	1913.36
21	HQ	5.86	0.63	-0.21	6.28	6.07
	Total	25179.83	153.88	-14.83	25318.88	25249.36

- b. *The depreciation on the Gross Block has been computed based on the following:-*

- The rates for depreciation are considered as approved by Commission in Appendix-I of the Regulations, 2020.*

- The salvage value of assets is considered as 10% i.e. none of the assets are depreciated more than 90% of the gross value.
- Proviso 37.6 of the Regulations, 2020 specifies that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the effective date of commercial operation of the station shall be spread over the balance useful life. In this regard it is to submit as under:-
- In accordance aforesaid said proviso, MPPGCL has worked out the depreciation rate for balance life of assets for the stations which have completed the useful life of 12 years.
- Gandhisagar HPS & SGTPS PH-1 Birsinghpur have outlived their useful life, accordingly, estimated useful life of 8 years & 5 years respectively has been considered for working out the depreciation rate for balance life for asset additions made at these stations.
- In case of asset addition made during the year, the depreciation is charged on pro-rata basis based on the commercial operation of the assets for part of the year.
- The Assets additions on account of need-based R&M works at STPS PH-2&3 are not considered as Special Allowance has been opted for these units.
- The assets in the records of MPPGCL are only for its own share therefore depreciation is computed for MPPGCL share only

167. Considering the above, the depreciation on various power stations has been worked out by the petitioner as tabulated below:-

Table 69: Power Station/House wise Depreciation Claimed by petitioner for FY 2022-23

	Station	Average Gross Block (Rs. in Crore)	Wt. Av. Rate of Dep (%)	Dep. Amount for FY 23 (Rs. in Crore)
1	ATPS PH-3	1146.73	2.40%	27.52
2	STPS PH-2&3	563.49	0.00%	0.00
3	STPS PH-4	3261.09	5.15%	167.95
4	STPS Total	3824.58	0.00%	167.95
5	SGTPS PH-1&2	2211.46	1.59%	35.16
6	SGTPS PH-3	2050.70	2.20%	45.12
7	SGTPS Total	4262.16	0.00%	80.28
8	SSTPP PH-1	7326.59	5.06%	370.73
9	SSTPP PH-2	6769.87	5.15%	348.65
10	SSTPP Total	14096.46	0.00%	719.37
11	Total Thermal	23329.93		995.12
12	Gandhi Sagar HPS	11.17	0.54%	0.06
13	Pench HPS	120.94	1.30%	1.57

14	Rajghat HPS	107.47	1.65%	1.77
15	Bargi HPS	92.75	1.13%	1.05
16	Bansagar PH-1,2&3 HPS	1192.93	1.10%	13.12
17	Bansagar PH-4 HPS	117.15	1.18%	1.38
18	Birsinghpur HPS	52.78	0.95%	0.50
19	Madhikheda HPS	218.18	1.20%	2.62
20	Total Hydro	1913.36		22.08
21	HQ	6.07	2.72%	0.17
Total		25249.36		1017.36

168. Accordingly, the Closing Accumulated Depreciation submitted by the petitioner for FY 2022-23 is as under:

Table 70: Power-Station Wise Opening & Closing Accumulated Depreciation submitted by the petitioner

	Station	Op. Acc. Dep 01-04-2022 (Rs. in Crore)	Dep. Amount for FY 23 (Rs. in Crore)	Acc. Dep reduction towards write off/ adjustment (Rs. in Crore)	Cl. Acc. Dep 31-03-2023 (Rs. in Crore)	As % of Gross Block
1	ATPS PH-3	663.83	27.52	-1.03	690.32	59%
2	STPS PH-2&3	513.56	0.00	-1.93	511.63	90%
3	STPS PH-4	1340.37	167.95	-0.09	1508.22	46%
4	STPS Total	1853.93	167.95	-2.02	2019.96	
5	SGTPS PH-1&2	1875.49	35.16	-3.90	1906.76	86%
6	SGTPS PH-3	1297.46	45.12	-1.46	1341.11	65%
7	SGTPS Total	3172.95	80.28	-5.36	3247.87	
8	SSTPP PH-1	2796.16	370.73	-0.14	3166.74	43%
9	SSTPP PH-2	1075.46	348.65	0.00	1424.11	21%
10	SSTPP Total	3871.62	719.37	-0.14	4590.85	
11	Total Thermal	9562.33	995.12	-8.55	10548.89	
12	Gandhi Sagar HPS	9.61	0.06	0.000	9.67	86%
13	Pench HPS	86.93	1.57	-0.169	88.33	72%
14	Rajghat HPS	66.78	1.77	-0.01	68.55	64%
15	Bargi HPS	73.04	1.05	0.00	74.09	80%
16	Bansagar PH-1,2&3 HPS	882.00	13.12	-2.24	892.88	74%
17	Bansagar PH-4 HPS	85.25	1.38	0.00	86.63	74%
18	Birsinghpur HPS	42.36	0.50	0.00	42.86	81%
19	Madhikheda HPS	130.84	2.62	0.00	133.46	61%
20	Total Hydro	1376.81	22.08	-2.42	1396.47	
21	HQ	0.00	0.17	-0.19	-0.02	
Total		10939.14	1017.36	-11.16	11945.34	

Provision in Regulations:

169. With regard to Depreciation, Regulation 37 of the Regulations, 2020 provides that:

“37.1 “Depreciation shall be computed from the date of commercial operation of a generating station or unit thereof. In case of the tariff of all the units of a generating station for which a single tariff needs to be determined, the depreciation shall be computed from the effective date of commercial operation of the generating station taking into consideration the depreciation of individual units:

Provided that effective date of commercial operation shall be worked out by considering the actual date of commercial operation and installed capacity of all the units of the generating station for which single tariff needs to be determined.

37.2 The value base for the purpose of depreciation shall be the capital cost of the asset admitted by the Commission. In case of multiple units of a generating station, weighted average life for the generating station shall be applied.

37.3 The salvage value of the asset shall be considered as 10% and depreciation shall be allowed up to maximum of 90% of the capital cost of the asset:

Provided that in case of hydro generating station, the salvage value shall be as provided in the agreement, if any, signed by the developers with the State Government for development of the generating station:

Provided further that the capital cost of the assets of the hydro generating station for the purpose of computation of depreciated value shall correspond to the percentage of sale of electricity under long-term power purchase agreement at regulated tariff:

Provided also that any depreciation disallowed on account of lower availability of the generating station or generating unit shall not be allowed to be recovered at a later stage during the useful life or the extended life:

Provided also that the salvage value for IT equipment and software shall be considered as NIL and 100% value of the assets shall be considered depreciable.

37.4 Land other than the land held under lease and the land for reservoir in case of hydro generating station shall not be a depreciable asset and its cost shall be excluded from the capital cost while computing depreciable value of the asset.

37.5 Depreciation shall be calculated annually based on ‘Straight Line Method’ and at rates specified in Appendix-I to these Regulations for the assets of the generating station.

37.6 Depreciation shall be chargeable from the first Year of commercial operation. In

case of commercial operation of the asset for part of the Year, depreciation shall be charged on pro rata basis:

Provided that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the effective date of commercial operation of the station shall be spread over the balance useful life of the assets.

37.7 In case of the existing projects, the balance depreciable value as on 1.4.2019 shall be worked out by deducting the cumulative depreciation as admitted by the Commission upto 31.3.2019 from the gross depreciable value of the assets.

37.8 The generating company shall submit the details of proposed capital expenditure five years before the completion of useful life of the project along with justification and proposed life extension. The Commission based on prudence check of such submissions shall approve the depreciation on capital expenditure during the fag end of the project.

37.9 In case of de-capitalization of assets in respect of generating station or unit thereof, the cumulative depreciation shall be adjusted by taking into account the depreciation recovered in tariff by the de-capitalized asset during its useful services.”

Commission’s Analysis:

170. Regulation 37.2 specified that the value base for the purpose of depreciation shall be the capital cost of the asset admitted by the Commission. In accordance with the aforesaid Regulation, Gross Fixed Assets as on 31st March, 2022 admitted by the Commission in the last True-up order for FY 2021-22 issued on 31st March, 2023 in petition No. 85 of 2022 is considered as the base opening figure of capital cost as on 01st April, 2022 for all power stations.
171. The petitioner mentioned that in case of asset addition made during the year, the depreciation is charged on pro-rata basis, based on the commercial operation of the assets for part of the year.
172. As per proviso 37.6 of the Regulations 2020 which provides that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the effective date of commercial operation of the station and shall be spread over the balance useful life of the assets. The petitioner submitted that it has already modified their Asset-cum-Depreciation registers in accordance with the aforesaid Regulations.
173. By affidavit dated 25th January, 2024, the petitioner has filed Assets-cum-Depreciation Register. The Commission has considered Weighted Average rate of Depreciation rates as submitted by the petitioner of FY 2022-23 for all power stations.

174. The Commission observed that ATPS PH-3, SGTPS PH-1&2, SGTPS PH-3 and all Hydro power stations have completed useful life of 12 years. Accordingly, balance depreciation of these power stations has been spread over the balance useful life of the assets.
175. Further, cumulative depreciation of STPS PH 2&3 already reaches to 90% of the GFA therefore, no depreciation is considered in this power station.
176. Accumulated Depreciation balances (as on 31st March, 2022) admitted by the Commission in last true-up order for FY 2021-22 for all power stations is considered as the base opening figures as on 01st April, 2022. Further, adjustment in Accumulated Depreciation towards de-capitalized assets is also considered to work out Adjusted Opening Accumulated Depreciation.
177. Based on the above, the opening GFA, additions admitted during the year, deductions towards de-capitalised assets considered during the year and the closing GFA is worked out as given below:

Table 71: Power Station wise Opening & Closing GFA Balances worked out in this Order
(Rs. in Crore)

Sr. No.	Power Station	Opening GFA	Addition	Deductions	Closing GFA	Average GFA
1	ATPS Chachai PH-3	1133.19	1.09	-1.76	1132.52	1132.86
2	STPS PH-2&3	564.55	0.00	-2.12	562.43	563.49
3	STPS PH-4	3242.10	34.70	-0.22	3276.58	3259.34
4	SGTPS PH-1&2	2212.21	0.46	-4.60	2208.07	2210.14
5	SGTPS PH-3	2047.74	4.52	-2.31	2049.95	2048.85
6	SSTPP PH-1	7323.01	5.85	-0.37	7328.49	7325.75
7	SSTPP PH-2	6755.72	5.35	0.00	6761.07	6758.40
	Total Thermal	23278.52	51.97	-11.38	23319.11	23298.82
8	Gandhi Sagar HPS	11.14	0.00	0.00	11.14	11.14
9	Pench HPS	119.43	0.24	-0.23	119.44	119.44
10	Rajghat HPS	107.43	0.01	-0.01	107.43	107.43
11	Bargi HPS	92.47	0.01	0.00	92.48	92.48
12	Bansagar HPS (PH-1,2 &3)	1177.56	0.88	-2.99	1175.45	1176.51
13	Bansagar HPS (PH-4)	116.85	0.00	0.00	116.85	116.85
14	Birsinghpur HPS	52.41	0.74	0.00	53.15	52.78
15	Madhikheda HPS	218.16	0.00	0.00	218.16	218.16
	Total Hydro	1895.45	1.88	-3.23	1894.10	1894.78
	Total	25173.97	53.85	-14.61	25213.21	25193.59

178. By affidavit dated 25th January, 2024, the petitioner submitted that the Weighted Average Rate of Depreciation submitted in the True up petition for FY 2022-23 was considered as permitted by the Commission in its True up order for FY 2021-22 / MYT order for FY 2021-22 as the updation of Asset Cum Depreciation Registers was under process at the

time of filing the subject petition. Consequently, MPPGCL updated the Power Station-wise Asset Cum Depreciation Registers and based on same the petitioner has claimed the revised Power Station wise Weighted Average Rate of Depreciation.

179. The depreciation for FY 2022-23 for power stations has been worked out in this Order by considering the weighted average rate of depreciation as per the Power Station/House wise assets-cum-depreciation registers submitted by the petitioner. Accordingly, the power station wise depreciation is worked out as given below:

Table 72: Power Station/House wise Depreciation worked out for FY 2022-23

Sr. No.	Power Station	Wt. avg.rate Dep.	Dep. Amount	Opening Cumm.Dep.	Accu. Depr Write - off	Closing Cumm. Dep.	Closing Cumm. Dep. % of Closing GFA
		%	Rs.Crore	Rs. Crore	%	Rs. Crore	%
1	ATPS, PH-3	2.42%	27.42	663.83	-1.03	690.22	60.95%
2	STPS, PH-2&3	0.00%	0.00	513.56	-1.93	511.63	90.97%
3	STPS PH-4	5.14%	167.53	1,340.37	-0.09	1507.81	46.02%
4	SGTPS, PH-1&2	2.25%	49.73	1,875.49	-3.90	1921.32	87.01%
5	SGTPS, PH-3	2.15%	44.05	1,297.46	-1.46	1340.05	65.37%
6	SSTPP, PH-1	5.06%	370.68	2,796.16	-0.14	3166.70	43.21%
7	SSTPP PH-2	5.20%	351.44	1,075.46	0.00	1426.90	21.10%
	Total Thermal		1010.84	9562.33	-8.55	10564.62	
8	Gandhi Sagar HPS	0.58%	0.06	9.61	0.00	9.67	86.85%
9	Pench HPS	1.15%	1.37	86.93	-0.17	88.13	73.79%
10	Rajghat HPS	1.67%	1.79	66.78	-0.01	68.56	63.82%
11	Bargi HPS	1.38%	1.28	73.04	0.00	74.32	80.36%
12	Bansagar PH-1,2&3 HPS	1.49%	17.53	882.00	-2.24	897.29	76.34%
12	Bansagar PH-4 HPS	1.17%	1.37	85.25	0.00	86.62	74.13%
13	Birsinghpur HPS	1.01%	0.53	42.36	0.00	42.89	80.70%
14	Madhikheda HPS	1.18%	2.57	130.84	0.00	133.41	61.15%
	Total Hydro		26.51	1376.81	-2.42	1400.90	
	Total		1037.36	10939.14	10.97	11965.53	

c. Interest on loan capital:

Petitioner's submission:

180. With regard to interest on loan capital, the petitioner broadly submitted the following:

- a. Power station wise Normative opening loan balances as on 01.04.2022(including excess equity) per True up order issued by MPERC for FY 2021-22 and considered in instant petition.
- b. During FY 2022-23, asset additions were made in existing as well as in new projects. The details of Power Station wise asset additions along with their funding through Loan & Equity Component is detailed in the subject petition.
- c. During FY 2022-23, Assets were written-off/adjusted as reflected in Audited Books of Accounts for FY 2022-23.
- d. The Power station wise Closing and Average balances of loan considering the repayment equal to depreciation charged during FY 2022-23 as per proviso 36 of MPERC Regulations, 2020 are indicated below

Table 73: Power Station/House wise Loan Balances claimed by the petitioner
(Rs. in Crore)

Stations		Normative Loan Opening Bal 1-4-2022	Additions		Deletions	Principal repayment (Dep)	Normative Loan Closing Bal 31-03-2023	Average Balance
			Loan	Excess Equity treated as loan	towards asset write off / Transfer			
1	ATPS PH-3	200.41	0.00	20.11	-1.23	27.52	191.77	196.09
2	STPS PH-2&3	0.00	0.00	0.00	-1.48	0.00	0.00	0.00
3	STPS PH-4	1280.83	0.68	26.06	-0.16	167.95	1139.46	1210.15
4	SGTPS PH-1&2	0.00	0.00	2.16	-3.22	0.00	0.00	0.00
5	SGTPS PH-3	165.53	0.00	5.77	-1.62	45.12	124.57	145.05
6	SSTPP PH-1	3109.88	5.27	0.00	-0.26	370.73	2744.17	2927.02
7	SSTPP PH-2	4647.79	19.81	0.00	0.00	348.65	4318.95	4483.37
8	Total Thermal	9404.44	25.76	54.10	-7.97	959.96	8518.92	8961.68
9	Gandhi Sagar HPS	0.27	0.00	0.04	0.00	0.06	0.25	0.26
10	Pench HPS	8.74	0.00	2.28	-0.16	1.57	9.28	9.01
11	Rajghat HPS	0.00	0.00	0.06	-0.01	0.05	0.00	0.00
12	Bargi HPS	0.00	0.00	0.39	0.00	0.39	0.00	0.00
13	Bansagar PH-1,2&3 HPS	0.00	0.00	23.61	-2.09	13.12	8.40	4.20
14	Bansagar PH-4 HPS	0.00	0.00	0.41	0.00	0.41	0.00	0.00
15	Birsinghpur HPS	0.00	0.00	0.52	0.00	0.50	0.02	0.01
16	Madhikheda HPS	15.58	0.00	0.02	0.00	2.62	12.98	14.28

Stations		Normative Loan Opening Bal 1-4-2022	Additions		Deletions	Principal repayment (Dep)	Normative Loan Closing Bal 31-03-2023	Average Balance
			Loan	Excess Equity treated as loan	towards asset write off / Transfer			
17	Total Hydel	24.59	0.00	27.34	-2.26	18.74	30.93	27.76
18	HQ	4.10	0.00	0.44	-0.15	0.17	4.23	4.17
Total		9433.13	25.76	81.88	-10.38	978.86	8554.07	8993.60

The petitioner has considered, the Power station wise Interest charges (including Intt. on Excess Equity) for FY 2022-23 has been worked out in accordance to the proviso 36 of the Generation Tariff Regulations, 2020 by applying Weighted Average Rate of Interest on loans as indicated hereunder:

181. The petitioner worked out the Interest charges for FY 2022-23 by applying weighted average rate of interest on loans as given below:

Table 74: Power Station/House wise Interest on Loan claimed by the petitioner

Stations		Average Bal (Rs. in Crore)	Wt. Av. Rate of Interest (%)	Interest Amount (Rs. in Crore)
1	ATPS PH-3	196.09	14.36%	28.15
2	STPS PH-2&3	0.00	14.36%	0.00
3	STPS PH-4	1210.15	10.49%	126.96
4	SGTPS PH-1&2	0.00	12.32%	0.00
5	SGTPS PH-3	145.05	14.36%	20.83
6	SSTPP PH-1	2927.02	10.48%	306.66
7	SSTPP PH-2	4483.37	10.41%	466.69
8	Total Thermal	8961.68		949.29
9	Gandhi Sagar HPS	0.26	14.36%	0.04
10	Pench HPS	9.01	14.36%	1.29
11	Rajghat HPS	0.00	14.36%	0.00
12	Bargi HPS	0.00	14.36%	0.00
13	Bansagar HPS (PH-1,2 &3)	4.20	14.36%	0.60
14	Bansagar HPS (PH-4)	0.00	14.36%	0.00
15	Birsinghpur HPS	0.01	14.36%	0.00
16	Madhikheda HPS	14.28	14.36%	2.05
17	Total Hydel	27.76		3.99
18	HQ	4.17	14.36%	0.60
Total		8993.60		953.87

Provision in Regulations:

182. Regulation 36 of the Regulations 2020, provides that:

36.1 The loans arrived at in the manner indicated in Regulation 33 of these Regulations

shall be considered as gross normative loan for calculation of interest on loan.

36.2 *The normative loan outstanding as on 1.4.2019 shall be worked out by deducting the cumulative repayment as admitted by the Commission up to 31.3.2019 from the gross normative loan. The repayment for each of the year of the tariff period 2019-24 shall be deemed to be equal to the depreciation allowed for the corresponding year/period. In case of de- capitalization of assets, the repayment shall be adjusted by taking into account cumulative repayment on a pro rata basis and the adjustment should not exceed cumulative depreciation recovered upto the date of de-capitalisation of such asset*

36.3 *Notwithstanding any moratorium period availed by the generating company, the repayment of loan shall be considered from the first year of commercial operation of the project and shall be equal to the depreciation allowed for the year or part of the year.*

36.4 *The rate of interest shall be the weighted average rate of interest calculated on the basis of the actual loan portfolio after providing appropriate accounting adjustment for interest capitalized:*

Provided that if there is no actual loan for a particular year but normative loan is still outstanding, the last available weighted average rate of interest shall be considered:

Provided further that if the generating station does not have actual loan, then the weighted average rate of interest of the generating company as a whole shall be considered.

36.5 *The interest on loan shall be calculated on the normative average loan of the year by applying the weighted average rate of interest.*

Commission's analysis:

183. In this Order, the Commission has considered power station wise opening loan as on 1st April, 2022 as per the closing loan considered in last true-up order for FY 2021-22 issued on 31st March, 2023.

184. The power station wise details of loan additions towards asset additions, which are summarised in preceding paras to the extent of additional capitalization is considered in this Order. The Commission has also considered the reduction of loan amount in respect of the assets deletion/de-capitalized in respective power stations during the year.

185. The petitioner claimed interest on loan by applying the Power Station/House wise weighted average rate of interest worked out by considering the actual loan portfolio. The Power Station- wise details of revised weighted average interest on loan worked out by the petitioner submitted in its additional submission are as given below:

Table 75: Power Station/House wise Weighted Average Rate of Interest claimed by the petitioner

Particulars		Wt.Av. Rate of Interest of Loans FY 2022-23		
		PFC Loan(%)	GoMP Loan(%)	Total(%)
1	ATPS PH-3	-	14.36%	14.36%
2	STPS PH-2&3	-	14.36%	14.36%
3	STPS PH-4	10.47%	14.36%	10.49%
4	SGTPS PH 1&2	10.29%	14.36%	12.32%
5	SGTPS PH 3	-	14.36%	14.36%
6	SSTTP PH-1	10.47%	14.36%	10.48%
7	SSTTP PH-2	10.40%	14.36%	10.41%
8	Total Thermal	10.44%	14.36%	10.51%
9	Gandhi Sagar HPS		14.36%	14.36%
10	R.P. Sagar			0.00%
11	J Sagar			0.00%
12	Pench HPS		14.36%	14.36%
13	Rajghat HPS		14.36%	14.36%
14	Bargi HPS		14.36%	14.36%
15	Bansagar PH-1,2&3 HPS		14.36%	14.36%
16	Bansagar PH-4 HPS		14.36%	14.36%
17	Birsinghpur HPS		14.36%	14.36%
18	Madhikheda HPS		14.36%	14.36%
19	Total Hydro	0.00%	14.36%	14.36%
20	HQ		14.36%	
Total		10.44%	14.36%	10.52%

186. Vide Commission's letter dated 28th December, 2023 the petitioner was asked to file the basis of power station wise weighted average rate of interest on term loan as worked out in the subject petition. The petitioner was also asked to explain the reasons for higher rate of interest on GoMP loan.
187. By affidavit dated 25th January, 2024, the petitioner submitted the detailed working of Weighted Average Rate of Interest filed in the subject petition along with supporting documents in this regard. In respect of GoMP Loan, the petitioner submitted that same is provided to MPPGCL without any Primary/collateral security, accordingly, the Rate of interest applicable for GoMP loans are as per their prevailing practices. Further, the petitioner informed that:

As desired by Commission, the detailed working of Weighted Average Rate of Interest is submitted.

The Loan wise Rate of interest considered for working out the Power station wise Weighted Average Rate of Interest is considered as per the prevailing interest rate specified by the lenders, actual principal and interest amount and as per procedure specified in TPS Form -13 of the Regulations, 2020.

In this regard, the supporting documents are annexed for kind reference please:

- a) For PFC loans, the copy of Quarterly Loan Demand & Interest Calculation Statements provided by M/s PFC, New Delhi, indicating Rate of interest charged by them, is annexed for kind reference please.*
- b) For GoMP loan, the copy of relevant schedule of Audited Accounts for FY 2022-23 indicating Rate of interest charged by Hon'ble GoMP is annexed for kind reference please.*
- c) In respect of GoMP Loan, it is to submit that said Loan has been provided to MPPGCL without any Primary/ Collateral security, therefore slightly higher rate of interest is being levied by GoMP on its discretion."*

188. Further, the petitioner by affidavit dated 25th January, 2024, also confirmed that no interest-on-interest amount or any penalty due to default in repayment is claimed in the petition as reflected in Weighted Average Rate of Calculations.

189. With regard to adjustment of cumulative depreciation, in respect of the assets decapitalized the reduction of loan amount towards write-off adjustments has been done after considering repayments of loan of de-capitalized assets. Hence, loan reduction due to write-off amount in most of the power stations has got nil except ATPS PH-3, STPS PH-4, SSTPP PH-1 and SGTPS PH-3.

190. The Commission has considered the following power station wise opening balance of loan, loan additions during the year, deductions towards asset write-off/adjustments, repayment equal to depreciation charged during the year & Closing balances of loan as given below:

Table 76: Power Station wise loan Balances allowed by the Commission

(Rs. in Crore)

Sr. No.	Power Station	Opening Loan	Loan addition	Write off during the year	Normative Repayment	Closing Loan
1	ATPS PH-3	200.41	0.76	-0.20	27.42	173.56
2	STPS PH-2 & 3	0.00	0.00	0.00	0.00	0.00
3	STPS PH-4	1280.83	24.29	-0.06	167.53	1137.53
4	SGTPS PH 1 & 2	0.00	0.32	0.00	0.32	0.00
5	SGTPS PH-3	165.53	3.16	-0.16	44.05	124.49

6	SSTPP PH-1	3109.88	4.10	-0.12	370.68	2743.41
7	SSTPP PH-2	4647.79	3.75	0.00	351.44	4300.10
8	Gandhi Sagar HPS	0.27	0.00	0.00	0.06	0.21
9	Pench HPS	8.74	0.17	0.00	1.37	7.53
10	Rajghat HPS	0.00	0.01	0.00	0.01	0.00
11	Bargi HPS	0.00	0.01	0.00	0.01	0.00
12	Bansagar HPS (PH-1,2 &3)	0.00	0.62	0.00	0.62	0.00
13	Bansagar HPS (PH-4)	0.00	0.00	0.00	0.00	0.00
14	Birsinghpur HPS	0.00	0.52	0.00	0.52	0.00
15	Madhikheda HPS	15.58	0.00	0.00	2.57	13.01
	Total	9429.03	37.69	-0.54	966.59	8499.82

191. The power station- wise interest amount on loan is worked out by applying the power station wise applicable wt. average rate of interest on term loan are as given below:

Table 77: Power Station wise interest on loan capital allowed by the Commission

Sr. No.	Power Station	Average Loan (Rs. in Crore)	Wt. Avg Rate of Interest(%)	Interest on Loan Capital (Rs. in Crore)
1	ATPS PH-3	186.98	14.36%	26.85
2	STPS PH-2 & 3	0.00	14.36%	0.00
3	STPS PH-4	1209.18	10.49%	126.84
4	SGTPS PH 1 &2	0.00	12.32%	0.00
5	SGTPS PH-3	145.01	14.36%	20.82
6	SSTPP PH-1	2926.65	10.48%	306.71
7	SSTPP PH-2	4473.94	10.41%	465.74
8	Gandhi Sagar, HPS	0.24	14.36%	0.03
9	Pench, HPS	8.14	14.36%	1.17
10	Rajghat HPS	0.00	14.36%	0.00
11	Bargi HPS	0.00	14.36%	0.00
12	Bansagar HPS PH-1,2&3	0.00	14.36%	0.00
13	Bansagar HPS PH-4	0.00	14.36%	0.00
14	Birsinghpur HPS	0.00	14.36%	0.00
15	Madhikheda HPS	14.29	14.36%	2.05
	Total	8964.43		950.22

d) Operation and Maintenance Expenses:

Petitioner's submission

192. The petitioner has filed the Operation and Maintenance expenses for the project for FY 2022-23 in accordance to the norms under the Regulations, 2020 as given below:

Table 78: Power Station/House wise Operation & Maintenance Expenses claimed by the petitioner (Rs. in Crore)

Sr. No.	Power Stations	As considered by MPPGCL on Norms
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1	ATPS PH-3	65.92
2	STPS PH-2&3	260.54
3	STPS PH-4	182.80
4	SGTPS PH-1&2	263.68
5	SGTPS PH-3	126.00
6	SSTPP PH-1	269.64
7	SSTPP PH-2	296.60
8	Gandhi Sagar HPS	14.47
9	Pench HPS	20.13
10	Rajghat HPS	5.66
11	Bargi HPS	11.32
12	Bansagar PH-1,2&3 HPS	50.95
13	Bansagar PH-4 HPS	2.52
14	Birsinghpur, HPS	2.52
15	Madhikheda, HPS	7.55
	Total	1580.28

Provision in Regulations:

193. Regarding the operation and maintenance expenses of thermal power stations, Regulation 40.1 & 40.2 of Regulations, 2020, provides as under:

40.1 “The Operation and Maintenance expenses admissible to the thermal power stations declared under commercial operation prior to 01.04.2012 comprise of employee cost, Repair & Maintenance (R&M) cost and Administrative and General (A&G) cost. These norms for O&M exclude Pension and Terminal Benefits, EL encashment, and arrears to be paid to employees, taxes payable to the Government, and fees payable to MPERC. The generating company shall claim the rate, rent & taxes payable to the Government, cost of chemicals and consumables, fees to be paid to MPERC, EL encashment and any arrears paid to employees separately as actual. If the O&M expenses as per norms provided in these Regulations are more than the actual total O&M expenses including arrears if any, as per audited accounts of generating company, the O&M expenses to the extent of normative O&M expenses shall be allowed. The claim of pension and Terminal Benefits shall be dealt as per Regulation 39.4 of these Regulations.”

Table 79: Operation and Maintenance Norms for Existing Thermal Generating Units

Units (MW)	FY 2022-23
	Rs. Lakh/MW
200/210/250	31.39
500	25.20

194. Above mentioned norms are applicable for the Thermal Generating Stations which were commissioned on or before 31.03.2012. The O&M Norms for Thermal Generating units

commissioned on or after 01.04.2012 provided in Regulation 40.2 as under:

Table 80: Operation and Maintenance Norms for New Thermal Generating Units

Units (MW)	FY 2022-23
	Rs. Lakh/MW
200/210/250	36.56
600/660	22.47

195. Further, Regulation 41.2 of the Regulations, 2020, regarding Hydro Power Stations provides the following O&M norms:

Table 81: Operation and Maintenance Norms for Hydro Generating Units

Year	O&M Expenses Rs. in Lakh/MW
2022-23	12.58

Commission's Analysis:

196. For Thermal and Hydel Power Stations, the Commission has worked out the Power Station/House wise annual O&M expenses by applying normative O&M expenses specified under the Regulations, 2020. The Power Station/House wise operation and maintenance expenses allowed in this Order are as given below:

Table 82: Power Station/House wise Operation and Maintenance Expenses allowed by the Commission for FY 2022-23

Sr. No.	Power Station	Capacity	Normative O&M Expenses	Annual O&M Expenses as per norms
		MW	Lakh/MW	Rs. in Crore
1	ATPS PH-3	210	31.39	65.92
2	STPS PH 2&3	830	31.39	260.54
3	STPS PH-4	500	36.56	182.80
4	SGTPS PH-1 & 2	840	31.39	263.68
5	SGTPS PH-3	500	25.20	126.00
6	SSTPP PH-1	1200	22.47	269.64
7	SSTPP PH-2	1320	22.47	296.60
8	Gandhi Sagar HPS	115	12.58	14.47
9	Pench HPS	160	12.58	20.13
10	Rajghat HPS	45	12.58	5.66
11	Bargi HPS	90	12.58	11.32
12	Bansagar HPS PH-1,2&3	405	12.58	50.95
13	Bansagar HPS PH-4	20	12.58	2.52

14	Birsinghpur HPS	20	12.58	2.52
15	Madhikheda HPS	60	12.58	7.55
	Total	6315		1580.28

**e) Special allowance:
Petitioner's submission**

197. With regard to the special allowance, the petitioner submitted the following:

"The proviso 30 of the Regulations, 2020 provides that the Generating Company, in case of thermal generating stations, instead of availing R&M may opt to avail a "special allowance" in accordance with the norms specified in this Regulation, as compensation for meeting the requirement of expenses including renovation and modernization beyond the useful life of the generating station or a unit thereof, and in such an event, upward revision of the capital cost shall not be allowed and the applicable operational norms shall not be relaxed but the special allowance shall be included in the annual fixed cost.

The Commission vide MYT order dated 19.05.2021 in petition No. 53 of 2020 has permitted Special Allowance for Units of PH-2 & 3 STPS, Sarni upto FY 2019-20 to FY 2023-24. Accordingly, the Truing up of the same has been considered in the petition.

Table 83: Special Allowance submitted by the petitioner for FY 2022-23 (Rs. in Crore)

S. No	Particulars	MPPGCL as per Norms
1	STPS PH 2&3	78.85
	Total	78.85

Provision in the Regulations:

198. With regard to special allowance, Regulation 30.2 of the Regulations, 2020 provides that:

"The special allowance admissible to the generating station shall be @ Rs. 9.5 lakh/MW/year for the tariff period 2019-24."

Commission's Analysis:

199. Regulation 30 of the Regulations, 2020 provides the special allowance for coal based thermal power stations instead of availing R&M for meeting the requirement of expenses including R&M beyond the useful life of generating station. Proviso of Regulations 30.2 of the Regulations 2020 further provides that the special allowance admissible to the generating station shall be @ Rs. 9.5 lakh/MW/year for the tariff period 2019-24.

200. The Commission vide MYT order dated 19th May, 2021 considered the special allowance for Unit No 6, 7, 8 & 9 of STPS, Sarni PH-2&3. In view of the above, the Commission has considered the special allowance for FY 2022-23 for the units of STPS PH-2&3 as given below:

Table 84: Special Allowance allowed by the Commission for FY 2022-23

Sr. No.	Power Station	Capacity in MW	Special Allowance (Rs. Lakh/MW)	Total amount considered (Rs. in Crore)
1	STPS PH-2&3	830	9.5	78.85

201. It is observed that MPPGCL has also opted Special Allowance for Unit No. 1&2 of (2x210MW), PH-I, SGTPS Birsinghpur for FY 2023-24 & onwards (petition No. 11 of 2023). Vide Order dated 27.07.2023 in the matter of recovery of Special Allowance for Unit No. 1&2 of SGTPS, Birsinghpur (has allowed the Special Allowance, PH-I, SGTPS Birsinghpur. Further, vide Order dated 17th January, 2024 in petition No 52 of 2023, the petitioner has opted special allowance for Unit No.3 of SGTPS, Birsinghpur from FY 2023-24 onwards. The aforesaid special allowance shall come in picture in next true up orders for FY 2023-24.

f) Interest on Working Capital:

Petitioner submission:

202. With regard to interest on working capital, the petitioner broadly submitted the following:

“The Working capital has been determined in the Commission’s MYT Order dated 19.05.2021 in accordance with proviso 38.1(A) & 38.1(B) of the Regulations, 2020. Accordingly Cost of coal towards stock, if applicable, for 15 days for pit-head generating stations and 30 days for non-pit-head generating stations and Advance payment for 30 days towards cost of coal for generation corresponding to the normative annual plant availability factor, 2 Months cost of main Secondary Oil corresponding to NAPAF, O&M expenditure for 1 month, 20% of Normative O&M Expenses as maintenance spares for thermal and 15% of Normative O&M Expenses as maintenance spares for Hydro and 45 days Receivables has been considered for calculating interest on Working Capital.”

Accordingly, the Normative Interest on Working Capital as approved by Commission considering Interest rate as 10.50% (MCLR of SBI - 7.00% + 350 points) in the Tariff order is reproduced below before applying Actual Availability of power stations:

Table 85: Power Station/House wise Interest on Working Capital claimed in the Petition (Rs. in Crore)

Sr. No.	Station	As per MPERC Order	As considered by MPPGCL on Norms	Diff. Amount
1	ATPS PH-3	10.93	10.20	-0.73
2	STPS PH-2&3	57.61	53.77	-3.84

3	STPS PH-4	40.22	37.54	-2.68
4	SGTPS PH-1&2	49.86	46.54	-3.32
5	SGTPS PH-3	29.52	27.55	-1.97
6	SSTPP PH-1	106.19	99.11	-7.08
7	SSTPP PH-2	112.73	105.22	-7.51
8	Total Thermal	407.06	379.92	-27.13
9	Gandhi Sagar HPS	0.60	0.56	-0.04
10	Pench HPS	0.91	0.85	-0.06
11	Rajghat HPS	0.36	0.33	-0.03
12	Bargi HPS	0.55	0.51	-0.04
13	Bansagar PH-1,2&3 HPS	3.47	3.24	-0.23
14	Bansagar PH-4 HPS	0.20	0.18	-0.02
15	Birsinghpur HPS	0.15	0.14	-0.01
16	Madhikheda HPS	0.46	0.43	-0.03
17	Total Hydro	6.70	6.25	-0.45
Total		413.75	386.17	-27.58

Provision in Regulations:

203. regarding working capital for coal based generating stations, Regulation 38.1 (A) of the Regulations, 2020 provides that:

38.1 "The Working Capital shall cover:

A. Coal- based thermal generating stations

- i. Cost of coal towards stock, if applicable, for 15 days for pit-head generating stations and 30 days for non-pit-head generating stations for generation corresponding to the normative annual plant availability factor or the maximum coal stock storage capacity whichever is lower;
- ii. Advance payment for 30 days towards cost of coal for generation corresponding to the normative annual plant availability factor;
- iii. Cost of secondary fuel oil for two months for generation corresponding to the normative annual plant availability factor, and in case of use of more than one secondary fuel oil, cost of fuel oil stock for the main secondary fuel oil;
- iv. Maintenance spares @ 20% of operation and maintenance expenses specified in Regulation 39 and 40 of these Regulations;
- v. Receivables equivalent to 45 days of capacity charges and energy charges for sale of electricity calculated on the normative annual plant availability factor; and
- vi. Operation and maintenance expenses for one month.

204. Regarding working capital for hydel power stations, Regulation 38.1 (B) of the Regulations, 2020 provides that:

B. "Hydro Generating Station, the Working Capital shall include:

- (i) Receivables equivalent to 45 days of Annual fixed cost;

- (ii) *Maintenance spares @ 15% of operation and maintenance expenses specified in Regulation 39 and 41 of these Regulations; and*
- (iii) *Operation and maintenance expenses for one month*

205. With regard to interest rate on working capital, Regulation 38.3 of the Regulations, 2020 provides that:

“Rate of interest on working capital shall be on normative basis and shall be considered as the bank rate 1.4.2019 or as on 1st April of the year during the tariff period 2019-20 to 2023-24 in which the generating station or a unit thereof, is declared under commercial operation, whichever is later:

Provided that in case of truing-up, the rate of interest on working capital shall be considered at bank rate as on 1st April of each of the financial year during the tariff period 2019-24.”

Commission’s analysis:

206. While determining the interest on working capital, Regulations 38.2 of the Regulations, 2020 provides that no fuel price escalation shall be provided during the tariff period for calculating the working capital. The details of working capital worked out by the Commission as per the provisions under the Regulations, 2020 as given below:

- (i) 60 Days Cost of coal as considered in Commission’s order dated 19th May, 2021 in Petition No. 53 of 2020 and Corrigendum dated 9th September, 2021 for FY 2022-23 for thermal power stations is considered in this Order.

**Table 86: Power Station/House wise Cost of Coal as per MYT Order dated 19th May, 2021
(in accordance with Regulation 38.1 (A) (i) & (ii)) (Rs. in Crore)**

Sr. No.	Power Station	Amount
1	ATPS PH-3	32.82
2	STPS PH-2&3	221.03
3	STPS PH-4	130.87
4	SGTPS PH-1&2	174.28
5	SGTPS PH-3	106.96
6	SSTPP PH-1	405.26
7	SSTPP PH-2	429.91
	Total	1501.13

- (ii) Cost of main secondary fuel oil for two months equivalent to normative plant availability factor as considered in MYT Order dated 19th May, 2021 for thermal power stations as given below is considered:

Table 87: Power Station/House wise Cost of Secondary Fuel as per MYT Order dated 19th May, 2021
(Rs. in Crore)

Sr. No.	Station	Amount
1	ATPS PH-3	0.69
2	STPS PH-2&3	6.54
3	STPS PH-4	1.37
4	SGTPS PH-1&2	4.70
5	SGTPS PH-3	1.38
6	SSTPP PH-1	3.26
7	SSTPP PH-2	3.22
	Total	21.16

- (iii) Maintenance spares 20% of O&M for thermal and 15% of O&M for Hydel Station as considered in MYT Order dated 19th May, 2021 for thermal & hydro power stations have been considered as follows:

Table 88: Maintenance spares 20% of O&M for thermal and 15% of O&M for Hydel Station

Sr. No.	Station	Amount (Rs. in Crore)
1	ATPS PH-3	13.18
2	STPS PH-2&3	52.11
3	STPS PH-4	36.56
4	SGTPS PH-1&2	52.74
5	SGTPS PH-3	25.20
6	SSTPP PH-1	53.93
7	SSTPP PH-2	59.32
8	Gandhi Sagar HPS	2.17
9	Pench HPS	3.02
10	Rajghat HPS	0.85
11	Bargi HPS	1.70
12	Bansagar PH-1,2&3 HPS	7.64
13	Bansagar PH-4 HPS	0.38
14	Birsinghpur HPS	0.38
15	Madhikheda HPS	1.13
	Total	310.30

- (iv) O&M expenses for one month for the purpose of working capital as considered in MYT Order dated 19th May, 2021 for thermal & hydro power stations have been considered as follows:

Table 89: Power Station/House-wise O&M expenses for one month

Sr. No.	Power Station	Amount
---------	---------------	--------

		(Rs. in Crore)
1	ATPS PH-3	5.49
2	STPS PH-2&3	21.71
3	STPS PH-4	15.23
4	SGTPS PH-1&2	21.97
5	SGTPS PH-3	10.50
6	SSTPP PH-1	22.47
7	SSTPP PH-2	24.72
8	Gandhi Sagar HPS	1.21
9	Pench HPS	1.68
10	Rajghat HPS	0.47
11	Bargi HPS	0.94
12	Bansagar PH-1,2&3 HPS	4.25
13	Bansagar PH-4 HPS	0.21
14	Birsinghpur HPS	0.21
15	Madhikheda HPS	0.63
Total		131.69

- (v) Receivables have been worked out on the basis of 45 days of Annual Capacity Charges (determined in this Order) (for thermal and hydel power stations) and Energy Charges (for thermal power stations) as determined in MYT order dated 19th May, 2021 and Corrigendum dated 9th September, 2021.

- (vi) Proviso of Regulation 17 of the Regulations, 2020 provides as under:

Provided that special allowance in lieu of R&M, where opted in accordance with Regulation 30 of these Regulations shall be recovered separately and shall not be considered for computation of working capital.

- (vii) In view of the above, the special allowance opted by the petitioner in STPS PH-2&3 in lieu of R&M (Renovation & Modernization) is not considered in computation of Receivables for working capital. Accordingly, the Power Station/House-wise receivables worked out in this Order is as given below:

Table 90: Power Station/House wise Receivable for 45 Days allowed

(Rs. in Crore)

Sr. No.	Power Stations	45 Days Energy Charges as per Order dated 19.5.2021	45 Days Annual Capacity Charges allowed in this Order	Total Receivables For 45 days
1	ATPS PH-3	24.73	20.89	45.62

2	STPS PH- 2 & 3	168.01	40.98	208.99
3	STPS PH-4	97.58	75.12	172.70
4	SGTPS PH 1 &2	132.34	56.28	188.62
5	SGTPS PH-3	80.01	37.61	117.62
6	SSTPP PH 1	301.57	147.21	448.78
7	SSTPP PH-2	319.65	169.69	489.34
8	Gandhi Sagar HPS	-	1.92	1.92
9	Pench HPS	-	3.56	3.56
10	Rajghat HPS	-	1.48	1.48
11	Bargi HPS	-	2.13	2.13
12	Bansagar PH-1,2&3 HPS	-	15.93	15.93
13	Bansagar PH-4 HPS	-	1.21	1.21
14	Birsinghpur HPS	-	0.71	0.71
15	Madhikheda HPS	-	2.49	2.49
	Total	1123.87	577.20	1701.09

207. With regard to Bank Rate, Regulation 3.1 (7) of the Regulations, 2020 provides that Bank rate means the one-year marginal cost of lending rate (MCLR) of the State Bank of India issued from time to time plus 350 basis points. Accordingly, one-year MCLR of State Bank of India applicable as on 1.4.2021 is 7.00%, therefore, the interest on the working capital is considered 10.50% (7.00% + 3.50%) in this Order:

Table 91: Power Station/House wise Interest on Working Capital allowed for FY 2022-23

Sr. No.	Station	Total Working Capital Considered above (Rs. in Crore)	Applicable rate of Interest	Working Capital allowed in this Order (Rs. in Crore)
1	ATPS PH-3	97.81	10.50%	10.27
2	STPS PH-2&3	510.38	10.50%	53.59
3	STPS PH-4	356.73	10.50%	37.46
4	SGTPS PH-1&2	442.30	10.50%	46.44
5	SGTPS PH-3	261.66	10.50%	27.47
6	SSTPP PH-1	933.70	10.50%	98.04
7	SSTPP PH-2	1006.51	10.50%	105.68
8	Gandhi Sagar HPS	5.30	10.50%	0.56
9	Pench HPS	8.26	10.50%	0.87
10	Rajghat HPS	2.80	10.50%	0.29
11	Bargi HPS	4.77	10.50%	0.50
12	Bansagar PH-1,2&3 HPS	27.82	10.50%	2.92
13	Bansagar PH-4 HPS	1.80	10.50%	0.19
14	Birsinghpur HPS	1.29	10.50%	0.14

15	Madhikheda HPS	4.25	10.50%	0.45
Total		3665.38		384.86

g) Non-tariff Income

Petitioner's Submission

208. The power station wise non-tariff income claimed by the petitioner is as under:

Table 92: Power Station/House wise Non-Tariff Income Claimed by the petitioner
(Rs. in Crore)

Stations		Non-Tariff Income claimed in subject petition
1	ATPS PH-3	1.16
2	STPS PH-2&3	7.60
3	STPS PH-4	7.61
4	SGTPS PH-1&2	5.12
5	SGTPS PH-3	3.05
6	SSTPP PH-1	4.36
7	SSTPP PH-2	3.25
8	Total Thermal	32.16
9	Gandhi Sagar HPS	0.13
9	Pench HPS	0.58
10	Rajghat HPS	0.22
11	Bargi HPS	0.37
12	Bansagar PH-1,2&3 HPS	0.45
13	Bansagar PH-4 HPS	0.02
14	Birsinghpur HPS	0.06
15	Madhikheda HPS	0.09
16	Total Hydel	1.91
17	HQ & S&I	0.00
Total		34.07

Provision under Regulations

209. With Regard to Non-Tariff Income, Regulation 58.1 of the Regulations, 2020 provides that:

58.1 "The non-tariff net income in case of generating station on account of following shall be shared in the ratio of 50:50 with the beneficiaries and the generating company on annual basis:

- Income from rent of land or buildings;*
- Income from sale of scrap;*
- Income from sale of fly ash;*
- Interest on advances to suppliers or contractors;*

- e) Rental from staff quarters;
- f) Rental from contractors;
- g) Income from advertisements; and
- h) Interest on investments and bank balances:

Provided that the interest or dividend earned from investments made out of Return on Equity corresponding to the regulated business of the Generating Company shall not be included in Non-Tariff Income:

Provided further that the Generation Company shall submit full details of its forecast of Non-Tariff Income to the Commission. Non-tariff income shall also be trued-up based on audited accounts.

Commission's Analysis:

210. On scrutiny of the non-tariff income of Rs. 34.07 Crore claimed in the petition, the petitioner was asked to reconcile this amount with the Annual Audited Accounts of FY 2022-23. The petitioner was also asked to explain the reasons for any difference in figures recorded in Annual Audited Accounts and filed in the subject petition.
211. By affidavit dated 25th January, 2024 the petitioner filed its response on the aforesaid queries raised by the Commission as given below:

The statement reflecting the amount of Non -Tariff Income as considered in the instant petition duly reconciled with Annual Audited Accounts of FY 2022-23 is as under:

Rs. Crore	
Particulars	Amount
Total as per Audited Accounts (on share Basis)	523.97
Less:-	
Surcharge due to delayed payment by MPPMCL	203.86
Interest Income on unwinding of discount on Deposits/ Retentions	0.91
Income from O&M Contracts	0.46
Grant Income	7.97
Reversal of Gratuity Provision	9.99
Reversal of Pension Provision	55.08
Reversal of Asset Retirement Obligation Provision	17.93
RP Sagar & Jawahar Sagar & HQ Income	0.05
Interest from Fixed Deposit (R&M & ERP Loans)	1.99
Reversal of Ex-Gratia Provision	2.83
Liquidated Damages recoveries (SSTPP Khandwa PH-I)	132.02
Income Tax refund	1.02
Recovery of Fly Ash Transportation Expenses	11.56
Coal Penalty	10.85
Balance Other Income(on Shared basis)	67.45
Balance Other Income(on 100% basis)	68.14

50% to be shared by beneficiary as per MPERC Regulations 2020	34.07
Considered in the Instant Petition	34.07

The Power Station wise Other Income as per the audited books of accounts for FY 2022-23 as reflected in Note -26 amounts to Rs. 523.97 Crores.

The aforesaid Other Income amounting to Rs.523.7 Crores includes following income which has not been considered under the head Non-Tariff income in accordance with MPERC Regulations.

(a) Surcharge due to delayed payment by MPPMCL.

MPPGCL has levied the surcharge on MPPMCL on delay in payment of Bills in accordance with proviso 55.1 of the Regulations, 2020 read with PPA's entered with MPPMCL. The amount of surcharge worked out to Rs. 203.86 Crore.

The proviso 58.1 of the Regulations 2020 does not include/specifies the income from Surcharge due to delay in payment of Energy bills as part of Non-Tariff Income. Accordingly, MPPGCL humbly request Commission not to consider the Income from Surcharge due to delayed payment by MPPMCL as part of Non-Tariff Income.

It is to submit that the Commission in the past True Up Orders has not considered surcharge on delayed payments as Non-Tariff Income. The said approach may kindly be considered.

(b) Interest Income on Security Deposit due to Unwinding of Discount:

MPPGCL has adopted Indian Accounting Standard (INDAS) from FY 2016-17 onwards. The said Accounting Standard provides for recognition of notional income on account of expected gain considering discounting of Interest on Security Deposit. Accordingly, in compliance to INDAS, MPPGCL has recognized notional income of Rs. 0.91 Crores at Power Stations in the Financial Statement of Accounts for FY 2022-23.

Here it is to mention that this amount of Rs. 0.91 Crore is merely a Book adjustment, and no actual cash is received by MPPGCL. It is to mention that the Commission in the True Up order for FY 2017-18 to FY 2021-22 has not considered this head for determination of Non-Tariff income.

MPPGCL, therefore requests before Commission to not to consider this- amount of Rs. 0.91 Crores as part of Non-Tariff income.

(c) Income from O&M Contracts –

O&M of plant & Equipment of POWERGRID (PGCIL) at SGTPS, Birsinghpur and STPS, Sarni.

MPPGCL has entered into contract with POWERGRID (PGCIL) for O&M of Plant & Equipments at Substations at SGTPS, Birsinghpur and STPS, Sarni.

As per the requirement of financial accounts the amount received / receivable towards O&M charges is to be treated as Other Income in Audited Books of Accounts of MPPGCL. This amounts to total Rs. 0.46 Crore.

As this receivable of Rs. 0.46 Crores is a sort of reimbursement towards expenditure incurred by MPPGCL for FY 2022-23, therefore, the same may please not be considered as part of Non- Tariff income.

It is to mention that the Commission in the True Up order for FY 2017-18 to FY 2021-22 has not considered this head for determination of Non-Tariff income.

The Total Income from O&M Contracts (STPS & SGTPS) is Rs. 0.46 Crore is a sort of reimbursement towards expenditure incurred by MPPGCL, therefore, the same may kindly not to be considered as part of Non- Tariff income.

(d) Income from Grant.

The MPERC Regulations, 2020 at proviso 15.6 provides as under:-

“21.5 The following shall be excluded or removed from the capital cost of the existing and new projects:

.....

(e) any grant received from the Central or State Government or any statutory body or authority for the execution of the project which does not carry any liability of repayment shall be excluded from the Capital Cost for the purpose of computation of interest on loan, return on equity and depreciation;

Accordingly, Commission in the True Up Tariff petition earlier years has not permitted the additional capital expenditure towards assets whose funding was met from Grant.

Further, MPPGCL has adopted Indian Accounting Standard (INDAS) from FY 2016-17 onwards. The said Accounting Standard provides for recognition of income as adjustment towards treatment of grant received. Accordingly, MPPGCL has recognized notional income of total Rs. 7.97 Crore at Note 26.1 (Other Income) in the Financial Statement of Accounts for FY 2022-23, which is merely a Book adjustment.

It is to mention that the Commission in the True Up order for FY 2018-19 to FY 2021-22 has not considered this head for determination of Non-Tariff income.

Therefore, based on above submission, MPPGCL request Commission not to consider the Income from Grant amounting to Rs. 7.97 Crore as part of Non-Tariff Income.

(e) Reversal of Excess Pension & Gratuity provision :

MPPGCL has adopted Indian Accounting Standard (INDAS) from FY 2016-17. The said Accounting Standards read with Companies Act 1956 provides for recognition of provisions and reserves based on prescribed procedure. Accordingly, based on Actual Valuation Report, provision was created in the Books of Accounts for Pension & Gratuity in previous years. As of now the Terminal Liabilities towards Pension and Gratuity liabilities are borne by MPPTCL and same are claimed by them in their Tariff.

Based on Actual Valuation got conducted by MPPGCL in FY 2022-23, it was found that excess provision was created in the Books of Accounts of MPPGCL for erstwhile MPSEB Cadre employees. Accordingly, the amount of Rs.55.08 Crores towards pension provision & Rs.9.99 Crores towards Gratuity Provision was reversed and reflected in Note 26.1 (Other Income) of Audited Books of Accounts for FY 2022-23 being adjustment book entry for excess provision made in earlier years.

MPPGCL request Commission not consider the aforesaid Reversal of excess provisions as part of Non-Tariff Income being an adjustment book entry.

(f) Other Income from RP Sagar, Jawahar Sagar HPS :-

The Rana Pratap Sagar HPS and Jawahar Sagar HPS are situated in Rajasthan and are being operated by Rajasthan Rajya Vidyut Prasaran Nigam Ltd. The Commission does not determine the Tariff of these Hydro Stations, accordingly the income from these Hydro Power Stations has not been considered as Non-Tariff Income for tariff purpose. The total amount on account of above is Rs. 0.01 Crore.

Further there is Misc. Receipts at Headquarters amounting to Rs. 0.04 Crores whose Tariff is not determined by Commission, accordingly the income at Headquarters has not been considered as Non-Tariff Income for tariff purpose.

(g) Reversal of Excess Asset Retirement Obligation Provision:

MPPGCL has adopted Indian Accounting Standard (INDAS) from FY 2016-17. As said Indian Accounting Standards, an Asset retirement obligation (ARO) is a legal or contractual obligation to dismantle and remove an asset and to restore the site in which it is located on retirement of a tangible asset. The company estimates its obligation for assets retirement based on technical assessment and timing of future expenditure for required work considering the inflation factor and discounting rate. Accordingly, provision towards Asset Retirement obligation was created in the books in the previous years.

In FY 2022-23, the Asset retirement obligation (ARO) estimates were revised and accordingly the excess provision was reversed in in the Books of Accounts of MPPGCL amounting to Rs.17.93 Crore as reflected in Note 26.1 (Other Income) of

Audited Books of Accounts for FY 2021-22 being adjustment book entry for excess provision made in earlier years.

MPPGCL request Commission not consider the aforesaid Reversal of excess provision amounting to Rs. 17.93 Crore as part of Non-Tariff Income being an adjustment book entry.

(h) Interest on Fixed Deposit on R&M and e-Genco Loans.

MPPGCL keeps the GoMP R&M Loan Fund as Flexi Fixed Deposit (FFD) amounting to Rs. 127 Crores approx. in the Union Bank of India and makes payment through this fund under R&M Scheme. This R&M fund also include Rs. 78 Crore for ERP implementation.

In the FY 2022-23, MPPGCL received/receivable Interest on FFD Rs.1.99 Crores from Union Bank of India on R&M Fund / e-Genco fund balance with Union Bank of India. The ERP implementation is under progress at MPPGCL. Further the works proposed through GoMP R&M Loan are mainly for compliance of statutory guidelines (Grid Code /CEA Regulations etc.) and need based schemes essential for efficient running of units.

It is to mention that the Commission in the True Up order for FY 2017-18 to FY 2021-22 has not considered this head for determination of Non-Tariff income.

MPPGCL request Commission not consider the Interest on above fixed deposits Rs. 0.99 Crore as part of Non-Tariff Income.

(i) Reversal of Ex-gratia provision.

The Payment of Bonus Act, 1965 read with subsequent amendments provide for the payment of Bonus/ Ex-gratia to persons employed in certain establishments on the basis of profits or on the basis of production or productivity and for matters connected therewith. In compliance to the above act the erstwhile MPEB/ MPSEB from time to time had issued various orders/ circulars for payment of Bonus/ Ex-gratia to its employees.

This procedure has also been adopted by MPPGCL and accordingly suitable provisions are made. Suitable arrangements have also been made by way of reversal entry towards the fund remaining un-utilized under the head Bonus/ Ex-gratia.

An amount of Rs.2.83 Crore towards reversal of Ex-gratia provision is embedded in Misc. Receipts under Note 26.1 (Other Income) of Audited Books of Accounts for FY 2022-23. MPPGCL humbly request Commission not consider the Reversal of Ex-gratia provision as part of Non-Tariff Income being an adjustment entry.

It is to mention that the Commission in the True Up order for FY 2018-19 to FY 2021-22 has not considered this head for determination of Non-Tariff income.

(j) Recovery of liquidated damages at SSTPP Khandwa Stage-I:-

The unit No.1 & 2(2x600MW) of SSTPP PH-1 was commissioned on 01.02.2014 and 28.12.2014 respectively. The Commission vide order dated 30.12.2017 in petition No. 09 of 2015 has determined the Final Generation Tariff of SSTPP PH-1 from CoD of respective units to 31.03.2016.

In the above mentioned Final Tariff order in Petition No. 09 of 2015 at Para 73, Table No.9, Page 34 has determined the excess IDC and FC due to delay in commissioning amounting to Rs. 565.12 Crore. The Commission has deducted/disallowed 50% of excess IDC & FC from capital cost claimed beyond schedule CoD of units amounting to Rs.282.56 Crore.

Here it is to mention that the amount of Liquidated damages to be recovered from vendors/contractors on account of delay in completion of project was not finalized at the time of determination of Final Generation of unit No.1 & 2(2x600MW) of SSTPP PH-1 Khandwa.

In the above context, it is to submit that the amount of Liquidated damages for delay in completion of project was finalized in FY 2022-23 amounting to Rs 168 Crore approx. & out of which amount of Rs. 132.02 Crore was recovered in FY 2022-23 as reflected in Note-26.1 of Audited Accounts for FY 2022-23.

In reference to above, proviso 23.5 of MPERC Regulations, 2020 provides as under:

“If the delay is attributable either in entirety or in part to the generating company or its contractor or supplier or agency, in such cases, IDC and IEDC beyond SCOD may be disallowed after due prudence check either in entirety or on pro-rata basis corresponding to the period of delay not condoned and the liquidated damages, if any, recovered from the contractor or supplier or agency shall be retained by the generating company.”

As evident from above, the liquidated damages, recovered from the contractor or supplier is allowed to be retained by the generating company.

Further, as stated above, the Commission in the Final Tariff Order for SSTPP PH-I Khandwa has deducted/disallowed 50% of excess IDC & FC from capital cost claimed beyond schedule CoD of units amounting to Rs.282.56 Crore.

As per the proviso 58.1 of the Regulations,2020, the non-tariff income in case of generating station on account of Other Income shall be shared in the ratio of 50:50 with the beneficiaries and the generating company on annual basis.

Considering above, Commission has already provided the benefit the beneficiary amounting to Rs.282.56 which is double of LD recovery made by MPPGCL amounting to Rs. 132.02 Crore.

In light of above, MPPGCL requests before Commission to not to consider this amount of Rs. 132.02 Crore towards recovery of Liquidated Damages as part of Non-Tariff income.

(k) Income Tax Refund:-

An amount of Rs. 1.02 Crore towards Income Tax refund was received in FY 2022-23 & same is reflected in Note 26.1 (Other Income) of Audited Books of Accounts for FY 2022-23.

The said refund is on account of Tax deducted at Source (TDS), Tax collected at source (TCS) on interest etc and same has been refunded on completion of assessment proceedings by the tax authorities.

Considering the set-off of & carry forward losses provisions of per Income Tax Act , there was no tax liability on MPPGCL in previous Financial Years and accordingly MPPGCL has not claimed any grossing up of Rate of return on Equity in previous Financial Years as per prevailing MPERC Regulations.

Accordingly, MPPGCL has neither made any recovery in Tariff on account of Income tax, nor any grossing up of Rate of return on Equity was claimed, therefore the refund of Income tax amounting to Rs.1.02 Crore may kindly not be treated as part of Non-Tariff Income as per proviso 58.1 of the Regulations 2020.

It is to mention that the Commission in the True Up order for FY 2020-21 & FY 2021-22 has not considered this head for determination of Non-Tariff income.

(l) Recovery of Ash Transportation Expenses:-

In compliance to MoEF&CC Notification, MPPGCL has an obligation to transport ash produced from its Thermal plants to designated entities and bear the cost of transportation. The said cost of Transportation is recoverable from beneficiary (MPPMCL) as per guidelines of Commission.

In this regard, MPPGCL has incurred expenditure of Rs.11.56 Crore towards Transportation of Fly Ash during FY 2022-23 as reflected in Note 31.1 at Serial No.8 of Audited Financial Statements of FY 2022-23. The said amount towards Recovery of Ash Transportation Expenses was billed to MPPMCL and reflected in Note 26.1 (Other Income) of Audited Books of Accounts for FY 2022-23. The supporting documents in this regard were submitted before Commission vide letter No.61 dated 15.01.2024.

The proviso 58.1 of the Regulations 2020 does not include/specifies Recovery of Ash Transportation Expenses as part of Non-Tariff Income. Further, the recovery was made as per guidelines of MPERC Accordingly, MPPGCL request Commission not to consider the Recovery of Ash Transportation Expenses amounting to Rs. 11.56 Crore as part of Non-Tariff Income.

(m) Coal Penalty:-

In accordance with Fuel Supply Agreement (FSA), Coal is to be transported from Coal Mines to the Thermal Power Stations of MPPGCL. Rail-cum-Road (RCR) is one of the modes through which coal is transported by Contractors to the Thermal Power Stations of MPPGCL. The transportation contract provides for various terms and conditions towards Quantity, Loading/uploading, delivery timing etc and various penalties are prescribed in contract for non-compliances of said terms and conditions.

Considering above, Coal penalty amounting to Rs.10.85 Crore was recovered in FY 2022-23 from the contractors and same was reflected in Note 26.1 (Other Income) of Audited Books of Accounts for FY 2022-23. It is to mention that said penalties was adjusted/recovered against the Bills/invoices raised by the contractors and for the point of presentation of Financial Statements as per Companies Act, the amount of penalty is shown separately under the Head- Other income. Further proviso 58.1 of the Regulations 2020 does not include/specifies coal penalties as part of Non-Tariff Income.

Accordingly, MPPGCL request Commission not to consider coal penalties amounting to Rs. 10.85 Crore as part of Non-Tariff Income.

In view of above submission, it is requested before Commission to kindly the Non-Tariff Income of Rs. 34.07 Crore as submitted by MPPGCL in the instant petition

212. In view of the above, it is observed that the petitioner has filed the head-wise justifications for all components recorded under Operating income but not considered by them under non-tariff income.
213. On going through the above-mentioned reason stated by the petitioner for not considering liquidated damages recovered in SSTPP Khandwa PH-1 in non-tariff income, Hon'ble Appellate Tribunal for Electricity (APTEL) in its Judgment in Appeal No. 72 of 2010 has held the following:

"7.4. The delay in execution of a generating project could occur due to following reasons:

i) due to factors entirely attributable to the generating company, e.g., imprudence in selecting the contractors/suppliers and in executing contractual agreements including terms and conditions of the contracts, delay in award of contracts, delay in providing inputs like making land available to the contractors, delay in payments to contractors/suppliers as per the terms of contract, mismanagement of finances, slackness in project management like improper co-ordination between the various contractors, etc.

ii) due to factors beyond the control of the generating company e.g. delay caused due to force majeure like natural calamity or any other reasons which clearly establish,

beyond any doubt, that there has been no imprudence on the part of the generating company in executing the project

iii) situation not covered by (i) & (ii) above. In our opinion in the first case the entire cost due to time over run has to be borne by the generating company. However, the Liquidated Damages (LDs) and insurance proceeds on account of delay, if any, received by the generating company could be retained by the generating company. In the second case the generating company could be given benefit of the additional cost incurred due to time over-run. However, the consumers should get full benefit of the LDs recovered from the contractors/suppliers of the generating company and the insurance proceeds, if any, to reduce the capital cost. In the third case the additional cost due to time overrun including the LDs and insurance proceeds could be shared between the generating company and the consumer. It would also be prudent to consider the delay with respect to some benchmarks rather than depending on the provisions of the contract between the generating company and its contractors/suppliers. If the time schedule is taken as per the terms of the contract, this may result in imprudent time schedule not in accordance with good industry practices.”

214. With regard to sharing of impact on account of time overrun due to mix of controllable and uncontrollable factors, Hon’ble APTEL in its Judgment has ruled as follows:

“7.12. In view of above, we feel that this case falls under category (iii) described in Para 7.4. Accordingly, following the principles of prudence check laid down by us, the cost of time over run has to be shared equally between the generating company and the consumers. Admittedly, there is no enhancement in cost of the contract price of the equipment as no price variation escalation was permissible to BHEL beyond the schedule date of completion of the Project according to the terms of the agreement. The impact of time over run beyond the contractual schedule is only on IDC and overhead costs. Accordingly, the same have to be shared between the generating company and the consumers. Excess IDC and overhead costs for time overrun from scheduled date of commissioning to actual date of commissioning has to be worked out on prorata basis with respect to total actual time taken in commissioning of the unit. 50% of the excess IDC and overhead costs will have to be disallowed. Deduction on account of 50% of the Liquidity Damages received by the Appellant from its suppliers/contractors has also to be allowed from the capital cost, to give due credit for LDs to the consumers. This issue is answered accordingly.

215. In Commission’s tariff Order of SSTPP PH-1 dated 30th March, 2017 in Petition No 9 of 2017, the Commission has ruled the following with regards to Liquidated damages:

62. On perusal of above reply of petitioner, the petitioner is directed to furnish the

detailed information of actual LD/ penalty as and when deducted from contractor/ vendor. The aforesaid information be filed with the next petition for true up of SSTPP Stage-I, Unit No. 1 and 2.”

216. Accordingly, as per the above direction of the Commission and in line with the above Judgment towards “*Deduction on account of 50% of the Liquidity Damages received by the Appellant from its suppliers/contractors has also to be allowed from the capital cost, to give due credit for LDs to the consumers*”, **the Commission has considered 50% of LD damage costs recovery of Rs. 66.01 Crore under non-tariff income of SSTPP PH-1.**
217. Accordingly, the total non-tariff income of Rs. 100.08 Crore for the power stations in accordance with the Regulations, 2020 is allowed in this Order. The break-up of 50% share of non-tariff income to be passed on to the beneficiary in accordance to the provisions of Regulations, 2020, considered in this Order is as given below:

Table 93: Power Station/House wise Non -Tariff Income allowed for FY 2022-23

(Rs. in Crore)

Stations		Non-Tariff Income allowed in this Order	50% Non-Tariff Income
1	ATPS PH-3	2.33	1.16
2	STPS PH-2&3	15.21	7.60
3	STPS PH-4	15.23	7.61
4	SGTPS PH-1&2	10.23	5.12
5	SGTPS PH-3	6.09	3.05
6	SSTPP PH-1*	8.72	70.37*
7	SSTPP PH-2	6.51	3.25
8	Gandhi Sagar HPS	0.26	0.13
9	Pench HPS	1.17	0.58
10	Rajghat HPS	0.44	0.22
11	Bargi HPS	0.73	0.37
12	Bansagar PH-1,2&3 HPS	0.90	0.45
13	Bansagar PH-4 HPS	0.03	0.02
14	Birsinghpur HPS	0.12	0.06
15	Madhikheda HPS	0.17	0.09
Total		68.14	100.08

(*50% of LD damage costs recovery, i.e., Rs. 66.01 Crore is considered under non-tariff income of SSTPP PH-1)

h) Other Charges:

Petitioner's Submission:

218. With regard to other charges, the petitioner broadly submitted the following:

Apart from above, Other Charges comprising of MPERC Fees, Water Charges, Rent,

Rates & taxes, Cost of Chemical & Consumable, Publication Expenses and EL Encashment arrears have been claimed on actuals based on Audited Books of Accounts for FY 2022-23 on 100% basis as detailed in Chapter 4.2 -Other Charges.

219. Considering the above elements, the total Other Charges work out by the petitioner for FY 2022-23 are as given below:

Table 94: Other Charges claimed by the petitioner (Rs. in Crore)

Sr. No.	Particulars	Amount
1	<i>Rent, Rates & Taxes</i>	<i>1.16</i>
2	<i>Water Charges</i>	<i>164.85</i>
3	<i>Cost of Chemicals & Consumables</i>	<i>18.08</i>
4	<i>MPERC Fee + Publication Exp.</i>	<i>1.49</i>
5	<i>EL Encashment</i>	<i>23.25</i>
Total		208.84

Commission's Analysis:

220. Regarding the other charges, Regulation 40.1 and 41.1 of the Regulations, 2020 provides the following:

“40.1 The Operation and Maintenance expenses admissible to the thermal power stations declared under commercial operation prior to 01.04.2012 comprise of employee cost, Repair & Maintenance (R&M) cost and Administrative and General (A&G) cost. These norms for O&M exclude Pension and Terminal Benefits, EL encashment, and arrears to be paid to employees, taxes payable to the Government, and fees payable to MPERC. The generating company shall claim the rate, rent & taxes payable to the Government, cost of chemicals and consumables, fees to be paid to MPERC, EL encashment and any arrears paid to employees separately as actual. If the O&M expenses as per norms provided in these Regulations are more than the actual total O&M expenses including arrears if any, as per audited accounts of generating company, the O&M expenses to the extent of normative O&M expenses shall be allowed. The claim of pension and Terminal Benefits shall be dealt as per Regulation 39.4 of these Regulations.

41.1 The Operation and Maintenance expenses admissible to existing hydro power stations comprise of employee cost, Repair & Maintenance (R&M) cost and Administrative and General (A&G) cost. These norms for O&M exclude Pension and Terminal Benefits, EL encashment, and arrears to be paid to employees, taxes payable to the Government, and fees payable to MPERC. The generating company shall claim the rate, rent & taxes payable to the Government, cost of chemicals and consumables, fees to be paid to MPERC, EL encashment and any arrears paid to

employees separately as actual. If the O&M expenses as per norms provided in these Regulations are more than the actual total O&M expenses including arrears if any, as per audited accounts of generating company, the O&M expenses to the extent of normative O&M expenses shall be allowed. The claim of pension and Terminal Benefits shall be dealt as per Regulation 39.4 of these Regulations.”

221. Regarding water charges, Regulation 65 (2) of the Regulations, 2020 provides as follows:

“Electricity duty, cess and water charges if payable by the Generating Company for generation of electricity from the power stations to the State Government, shall be considered and allowed by the Commission separately by considering normative parameters specified in these Regulations and shall be trued-up on actuals.”

222. Further, with regard to recovery of MPERC Fee and publication expenses, Regulation 65.1 (i) of the Regulations, 2020 provides as under:

“The application filing fee and the expenses incurred on publication of notices in the application for approval of tariff, may in the discretion of the Commission, be allowed to be recovered by the generating company directly from the beneficiaries.”

223. The Commission issued MYT Order for MPPGCL thermal and hydro power stations on 19th May, 2021. With regard to other charges, in Para 174, 176 & 178 of the MYT Order, the Commission mentioned the following:

174. The Commission observed that the O&M norms for MPPGCL’s thermal and hydel power stations are excluding cost of chemicals and consumables therefore, the petitioner is allowed to recover cost of chemicals and consumables in thermal and hydro power stations in accordance to Regulation 40.1 and 41.1 respectively.

176. The petitioner is allowed to recover the fee paid to MPERC and publication expenses as per Regulation 65.1 (i) of the Regulations, 2020 on submission of documentary evidence.

178. “In view of the above, the petitioner is also allowed to recover the water charges paid to Water Resources Department, Government of MP as per Regulation 65.2 of the Regulations, 2020 on submission of documentary evidence.”

224. In view of the provisions under the Regulations, 2020 and MYT Order, the following other charges have been considered in this Order:

- i. The petitioner is allowed to recover Rent, Rates and Taxes and cost of chemicals & consumables on actual basis in thermal and hydro power stations in accordance to Regulation 40.1 & 41.1 respectively;
- ii. The petitioner has claimed MPERC Fee and publication expenses on actual basis. The petitioner is allowed to recover the same in accordance to Regulation 65.1(i) of the Regulations, 2020.
- iii. The petitioner is allowed to recover water charges in accordance to Regulation 65.2 of the Regulations, 2020 and amendment thereof.
- iv. The petitioner has claimed Rs. 23.25 Crore towards EL Encashment in thermal and hydro power stations. The petitioner is allowed to recover the EL Encashment in accordance to the Regulation 40.1 for thermal power stations and 41.1 for hydel power stations.

Sharing of gains:

225. Regarding the performance-based truing-up of energy charges on account of controllable parameters, Regulation 56.1 of the Regulations, 2020 provides that the generating company shall work out gains based on the actual performance of applicable controllable parameters as under:

- Station Heat rate
- Secondary Fuel Oil Consumption
- Auxiliary Energy Consumption

226. Further on sharing of gains, Regulation 56.2 provides that

56.2 The financial gains by the generating company, on account of controllable parameters shall be shared between generating company and the beneficiaries on annual basis. The financial gains computed as per the following formulae in case of generating station other than hydro generating stations on account of operational parameters as shown in Regulation 56.1 of these Regulations shall be shared in the ratio of 50:50 between the generating stations and beneficiaries.

Net Gain = $(ECR_N - ECR_A) \times \text{Scheduled Generation}$

227. In view of the above Regulation, it was observed by the Commission that the generating company shall carry out the truing-up of tariff of generating station based on the controllable performance parameters like Station Heat Rate, Secondary fuel oil consumption and Auxiliary Energy consumption. Vide letter dated 28th December, 2023 the petitioner was asked to file the annual details of aforesaid performance parameters actually achieved vis-à-vis normative parameters under the Regulations, 2020. The petitioner was also asked to file the details of financial gain if any, on account of

controllable parameters and shared with the beneficiaries in light of the Regulation 56.2 of the Regulations, 2020.

228. In response to the above query, the petitioner by affidavit dated 25th January, 2024 submitted the following:

As desired by Commission, the Month-wise details of Operational performance parameters actually achieved vis-a-vis normative parameters under the Regulations, 2020 namely, Station Heat Rate, Secondary Oil Consumption and Auxiliary Energy Consumption are submitted.

It is to submit that Regulations 56.1 & 56.2 provides that the financial gains by the generating company on account of controllable parameters shall be shared between generating company and the beneficiaries on annual basis.

From the above, it is noted that the Regulations clearly specify that the gain achieved by the Company need to be shared with beneficiary. As such since MPPGCL, as a Company, in totality has not achieved any financial gains on account of controllable parameters, therefore in accordance with regulations 56.2, no sharing of gains with the beneficiaries is required. MPPGCL requests Commission to kindly consider the same.

It is also to submit that at ATPS PH-3 minor gain of Rs. 2.25 Crores and at STPS PH-4 gain of Rs. 10.67 Crores approx. has been achieved individually in FY 2022-23, whereas rests of the Power stations have not achieved any Financial Gains on account of Controllable parameters as per the regulation. The Power House wise detailed working in this regard along with Summary are submitted.

Commission's Analysis

229. By affidavit 15th January, 2024, the petitioner has submitted the following power station wise financial gain/loss on account of controllable parameters:

Table 95: Power Station/House wise Financial Gain/Loss for FY 2022-23
(Rs. in Crore)

Power Station	Amount
ATPS PH-3	2.25
STPS PH-2&3	0.00
STPS PH-4	10.67
SGTPS PH-1&2	-8.96
SGTPS PH-3	-6.63
SSTPP PH-1	-181.04
SSTPP PH-2	-136.07

Total	-319.79
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230. On perusal of the details filed by the petitioner, it is observed that actual operating parameters achieved by the petitioner's thermal power stations (except ATPS PH-3, STPS PH-4) during FY 2022-23 were inferior than the normative parameters, therefore, the petitioner incurred loss in above mentioned generating stations on account of the inferior performance and poor actual operating parameters achieved by it during FY 2022-23, however, the petitioner had achieved financial gains in two of the generating stations namely, ATPS PH-3 and STPS PH-4.
231. Regulation 56.2 of the Regulations, 2020 provides that the financial gains by a generating company on account of controllable parameters shall be shared between generating company and the beneficiaries in the ratio of 50:50. It is, therefore directed that the gains achieved in above generating stations namely ATPS PH-3 and STPS PH-4 be passed on to the beneficiaries of the respective Generating Stations in accordance to the provisions under the Regulations, 2020.
232. The aforesaid Regulations do not provide for sharing of loss incurred by the generating company. Therefore, the loss incurred by the petitioner on the above-mentioned stations on account of inferior operating parameters shall not be passed on to the beneficiary.

Fly Ash Transportation Expenses:
Petitioner's Submission:

233. The petitioner has incurred expenditure on Transportation of Fly Ash in Thermal Power Stations and has submitted the details of expenditure as per Annual Audited Accounts of FY 2022-23:

Power Stations	Amount
ATPS PH-3	0.94
STPS PH-2&3	0.00
STPS PH-4	4.37
SGTPS PH-1&2	0.00
SGTPS PH-3	0.00
SSTPP PH-1	2.41
SSTPP PH-2	3.84
Total	11.56

234. The petitioner has requested the Commission to consider it as additional expenses and permit the same.

Commission's Analysis:

235. With regard to recovery of Fly Ash Transportation Expenses, proviso 65.3 of the 2nd

Amendment of the Regulations, 2020 provides that:

65.3 Expenses towards Fly Ash Utilization & transportation shall be payable in accordance to the directives issued by Government of India, Ministry of Environment, Forest & Climate Change vide Notification No. S.O. 5481 (E) dated 31.12.2021 and subsequent amendment issued from time to time.

Provided that the generating company shall maintain separate accounts/records for expenses towards Fly ash Utilization & transportation reconciled with the Annual Audited Accounts and duly certified by the Statutory Auditor. The generating company shall submit complete details of aforesaid expenses to the procurer in Form TPS 19 A along with supporting documents.

236. In view of the above, the petitioner is allowed to recover fly ash utilization and transportation expenses in accordance to the Regulation 65.3 of the 2nd Amendment to the Tariff Regulations, 2020. Further, petitioner is directed to comply with the directives related to maintenance of separate records/accounts for expenses towards Fly Ash Utilization and Transportation and details of same shall be made available to the Commission as and when directed to furnish details of such expenditure.

Summary of Annual Capacity (fixed) Charges:

237. The details of the head-wise and Power Station/House wise Annual Capacity (fixed) Charges for FY 2022-23 determined in the MYT Order dated 19th May, 2021 and Corrigendum dated 9th September, 2021 vis-a-vis determined in this true-up Order at normative Annual Plant Availability Factor are summarized as given below:

Table 96: Head Wise Annual Capacity (Fixed) Charges at Normative Availability

(Rs. in Crore)

Sr. No.	Head	AFC determined in MYT Order (A)	AFC Allowed in this Order (B)	Difference Amount (B-A)
1	Return on Equity	816.42	829.11	12.69
2	Interest on Loan Capital	931.39	950.22	18.83
3	Depreciation	1040.98	1037.36	-3.62
4	O&M Expenses	1580.28	1580.28	0.00
6	Special Allowance	78.85	78.85	0.00
7	Interest on Working Capital	413.75	384.86	-28.89
8	Total AFC	4861.68	4860.68	-0.99
9	Less: Non-Tariff Income	0.00	100.08	100.08
10	Net AFC	4861.68	4760.61	-101.07

Table 97: Power Station wise Annual Capacity (Fixed) Charges at normative availability
(Rs. in Crore)

Sr. No.	Power Station	AFC determined in MYT Order (A)	AFC Allowed in this Order (B)	Difference Amount (B-A)
1	ATPS PH 3	164.21	169.47	5.26
2	STPS (Sarni) PH 2 & 3	424.78	411.26	-13.52
3	STPS (Sarni) PH 4	615.41	609.31	-6.10
4	SGTPS (Birsinghpur) PH 1 & 2	463.81	456.49	-7.32
5	SGTPS (Birsinghpur) PH 3	311.19	305.03	-6.16
6	SSTPP PH-1	1277.13	1194.08	-83.05
7	SSTPP PH-2	1340.21	1376.35	36.14
	Thermal Total	4596.75	4521.98	-74.76
8	Gandhi Sagar HPS	15.71	15.55	-0.16
9	Pench HPS	27.76	28.87	1.11
10	Rajghat HPS	15.08	11.99	-3.09
11	Bargi HPS	17.99	17.31	-0.68
12	Bansagar HPS PH-1,2&3	153.65	129.19	-24.46
13	Bansagar HPS Jhinna PH-4	9.54	9.84	0.30
14	Birsinghpur HPS	6.15	5.72	-0.43
15	Madhikheda HPS	19.05	20.17	1.12
	Hydro TOTAL	264.93	238.63	-26.30
	Grand Total	4861.68	4760.61	-101.07

Normative Annual Plant Availability Factor:

238. The Annual Capacity (fixed) Charges as determined in this Order are on normative annual plant availability factor (NAPAF) of thermal and hydel power stations. The recovery of Annual Capacity (fixed) Charges of thermal and hydel power stations shall be made by the petitioner in accordance with the Regulations 42, 43 and 47 of the Regulations, 2020, for thermal and hydel power stations respectively. A Power Station/House wise details of normative Plant Availability Factor vis-à-vis actual Plant Availability Factor for FY 2022-23 are as given below:

Table 98: Normative and Actual PAF considered in this Order

Name of Power Station	Normative PAF As per Regulations, 2020	Actual PAF
ATPS Chachai PH-3	85.0%	78.40%
STPS Sarni PH- 2 & 3	70.0%	0.00%
STPS Sarni PH-4	85.0%	85.00%
SGTPS Birsinghpur PH-1 & 2	75.0%	68.20%
SGTPS Birsinghpur PH-3	85.0%	85.00%
SSTPP Khandwa PH-1	85.0%	69.60%
SSTPP Khandwa PH-2	85.0%	58.40%
Gandhi Sagar HPS	85.00%	46.58%

Pench HPS	85.00%	72.77%
Rajghat HPS	60.00%	65.79%
Bargi HPS	85.00%	88.71%
Bansagar HPS PH-1,2&3	85.00%	51.12%
Bansagar HPS PH- 4	85.00%	103.67%
Birsinghpur HPS	85.00%	48.66%
Madhikheda HPS	85.00%	99.25%

Recovery of Annual Capacity (Fixed) Charges

239. The recovery of Annual capacity (fixed) charges payable to existing thermal generating stations for the FY 2022-23 are calculated in accordance with the Regulation 42 of the Regulations, 2020.
240. The annual capacity (fixed) charges of a hydro generating station (inclusive of incentive) are computed, based on norms specified under the Regulations, 2020 and recovered under capacity charges (inclusive of incentive) and energy charge in accordance with clause 47 of the Regulations, 2020. The Power Station/House wise recovery of Annual capacity (fixed) charges at normative PAF and at actual PAF along with the true-up amount payable to thermal and hydel generating stations for the FY 2022-23 are as given below:

Power Station wise Annual Capacity (Fixed) Charges determined by the Commission for FY 2022-23 in MYT Order dated 19.05.2021 vis-à-vis allowed in this Order along with True-up amount are as follow:

Table 99

ATPS PH-3

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	39.78	40.17	37.05	-2.73
2	Interest on Loan Capital	20.56	26.85	24.77	4.21
3	Depreciation	27.03	27.42	25.29	-1.74
4	O&M Expenses	65.92	65.92	60.80	-5.12
5	Interest on Working Capital	10.93	10.27	9.47	-1.46
	Total AFC	164.21	170.63	157.38	-6.83
6	Less: Non-Tariff Income	0.00	1.16	1.16	1.16
	Net AFC	164.21	169.47	156.22	-7.99

Table 100:

STPS PH-2& 3

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	27.79	25.88	0.00	-27.79
2	Interest on Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	0.00	0.00	0.00	0.00
4	O&M Expenses	260.54	260.54	0.00	-260.54
5	Special Allowance	78.85	78.85	0.00	-78.85
6	Interest on Working Capital	57.61	53.59	0.00	-57.61
	Total AFC	424.78	418.86	0.00	-424.79
7	Less: Non-Tariff Income	0.00	7.60	7.60	7.60
	Net AFC	424.78	411.26	-7.60	-432.39

Table 101:

STPS PH-4

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	100.02	102.29	102.29	2.27
2	Interest on Loan Capital	126.45	126.84	126.84	0.39
3	Depreciation	165.93	167.53	167.53	1.60
4	O&M Expenses	182.80	182.80	182.80	0.00
5	Interest on Working Capital	40.22	37.46	37.46	-2.76
	Total AFC	615.41	616.92	616.92	1.51
6	Less: Non-Tariff Income	0.00	7.61	7.61	7.61
	Net AFC	615.41	609.31	609.31	-6.10

Table 102:

SGTPS PH-1 & 2

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	101.54	101.76	92.54	-9.00
2	Interest on Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	48.74	49.73	45.22	-3.52
4	O&M Expenses	263.68	263.68	239.77	-23.91
5	Interest on Working Capital	49.86	46.44	42.23	-7.63
	Total AFC	463.81	461.61	419.76	-44.05
6	Less: Non-Tariff Income	0.00	5.12	5.12	5.12
	Net AFC	463.81	456.49	414.64	-49.17

Table 103

SGTPS PH- 3

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	89.88	89.73	89.73	-0.15
2	Interest on Loan Capital	20.33	20.82	20.82	0.49
3	Depreciation	45.46	44.05	44.05	-1.41
4	O&M Expenses	126.00	126.00	126.00	0.00
5	Interest on Working Capital	29.52	27.47	27.47	-2.05
	Total AFC	311.19	308.08	308.08	-3.11
6	Less: Non-Tariff Income	0.00	3.05	3.05	3.05
	Net AFC	311.19	305.03	305.03	-6.16

Table 104

SSTPP PH-1

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	218.79	219.37	179.63	-39.16
2	Interest on Loan Capital	314.28	306.71	251.14	-63.14
3	Depreciation	368.22	370.68	303.52	-64.70
4	O&M Expenses	269.64	269.64	220.79	-48.85
5	Interest on Working Capital	106.19	98.04	80.28	-25.91
	Total AFC	1277.13	1264.45	1035.36	-241.77
6	Less: Non-Tariff Income	0.00	70.37	70.37	70.37
	Net AFC	1277.13	1194.08	964.99	-312.14

Table 105: SSTPP PH-2

(Rs in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	149.85	160.13	110.02	-39.83
2	Interest on Loan Capital	449.01	465.74	319.99	-129.02
3	Depreciation	332.02	351.44	241.46	-90.56
4	O&M Expenses	296.60	296.60	203.78	-92.82
5	Interest on Working Capital	112.73	105.68	72.61	-40.12
	Total AFC	1,340.21	1,379.60	947.86	-392.35
6	Less: Non-Tariff Income	0.00	3.25	3.25	3.25
	Net AFC	1,340.21	1,376.35	944.61	-395.60

Table 106:

GANDHI SAGAR HPS

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	0.56	0.56	0.43	-0.13
2	Interest on Loan Capital	0.04	0.03	0.03	-0.01
3	Depreciation	0.04	0.06	0.05	0.01
4	O&M Expenses	14.47	14.47	11.20	-3.27
5	Interest on Working Capital	0.60	0.56	0.43	-0.17
	Total AFC	15.71	15.68	12.13	-3.58
6	Less: Non-Tariff Income	0.00	0.13	0.13	0.13
	Net AFC	15.71	15.55	12.00	-3.71

Table 107:

PENCH HPS

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	5.12	5.91	5.49	0.37
2	Interest On Loan Capital	0.00	1.37	1.27	-0.32
3	Depreciation	1.59	1.17	1.08	1.08
4	O&M Expenses	20.13	20.13	18.68	-1.45
5	Interest on Working Capital	0.91	0.87	0.80	-0.11
	Total AFC	27.76	29.45	27.33	-0.42
6	Less: Non-Tariff Income	0.00	0.58	0.58	0.58
	Net AFC	27.76	28.87	26.75	-1.01

Table 108:

RAJGHAT HPS

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	4.45	4.46	4.68	0.23
2	Interest On Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	4.62	1.79	1.88	-2.74
4	O&M Expenses	5.66	5.66	5.93	0.27
5	Interest on Working Capital	0.36	0.29	0.31	-0.05
	Total AFC	15.08	12.21	12.80	-2.28
6	Less: Non-Tariff Income	0.00	0.22	0.22	0.22
	Net AFC	15.08	11.99	12.58	-2.50

Table 109:

BARGI HPS

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined	AFC Allowed in this Order	True-Up amount at
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		in MYT Order (A)	At Normative PAF (B)	At Actual PAF (C)	actual PAF (C-A)
1	Return on Equity	4.38	4.58	4.68	0.30
2	Interest on Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	1.74	1.28	1.30	-0.44
4	O&M Expenses	11.32	11.32	11.57	0.25
5	Interest on Working Capital	0.55	0.50	0.51	-0.04
	Total AFC	17.99	17.68	18.07	0.08
6	Less: Non-Tariff Income	0.00	0.37	0.37	0.37
	Net AFC	17.99	17.31	17.70	-0.29

Table 110:

BANSAGAR PH-1, 2&3 HPS

(Rs in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	58.27	58.24	46.63	-11.64
2	Interest on Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	40.96	17.53	14.04	-26.92
4	O&M Expenses	50.95	50.95	40.80	-10.15
5	Interest on Working Capital	3.47	2.92	2.34	-1.13
	Total AFC	153.65	129.64	103.80	-49.85
6	Less: Non-Tariff Income	0.00	0.45	0.45	0.45
	Net AFC	153.65	129.19	103.35	-50.30

Table 111:

BANSAGAR PH-4 HPS

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C- A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	5.78	5.78	6.42	0.64
2	Interest on Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	1.05	1.37	1.52	0.47
4	O&M Expenses	2.52	2.52	2.79	0.27
5	Interest on Working Capital	0.20	0.19	0.21	0.01
	Total AFC	9.54	9.86	10.94	1.40
6	Less: Non-Tariff Income	0.00	0.02	0.02	0.02
	Net AFC	9.54	9.84	10.92	1.38

Table 112:

BIRSINGHPUR HPS

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	2.58	2.60	2.04	-0.54
2	Interest On Loan Capital	0.00	-	-	0.00
3	Depreciation	0.90	0.53	0.42	-0.48

4	O&M Expenses	2.52	2.52	1.98	-0.54
5	Interest on Working Capital	0.15	0.14	0.11	-0.04
	Total AFC	6.15	5.78	4.55	-1.60
6	Less: Non-Tariff Income	0.00	0.06	0.06	0.06
	Net AFC	6.15	5.72	4.49	-1.66

Table 113:

MADHIKHEDA HPS

(Rs. in Crore)

Sr. No.	Particulars	AFC Determined in MYT Order (A)	AFC Allowed in this Order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	7.63	7.64	8.28	0.65
2	Interest on Loan Capital	0.72	2.05	2.22	1.50
3	Depreciation	2.68	2.57	2.79	0.11
4	O&M Expenses	7.55	7.55	8.18	0.63
5	Interest on Working Capital	0.46	0.45	0.48	0.02
	Total AFC	19.05	20.26	21.96	2.91
6	Less: Non-Tariff Income	0.00	0.09	0.09	0.09
	Net AFC	19.05	20.17	21.87	2.82

Table 114: Head wise Total Annual Capacity (Fixed) Charges considered in this Order

(Rs. in Crore)

Sr. No.	Head Wise	AFC Determined in MYT Order dated 19 th May, 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	816.42	829.11	689.91	-126.51
2	Interest on Loan Capital	931.39	950.22	746.90	-184.49
3	Depreciation	1040.98	1037.36	850.34	-190.64
4	O&M Expenses	1580.28	1580.28	1135.07	-445.21
5	Special Allowance	78.85	78.85	0.00	-78.85
6	Interest on Working Capital	413.75	384.86	274.72	-139.03
7	Total AFC	4861.68	4860.68	3696.93	-1164.75
8	Less: Non-Tariff Income	0.00	100.08	100.08	100.08
9	Net AFC	4861.68	4760.61	3596.85	-1264.83

Table 115: Power Station/House wise Annual Capacity (Fixed) Charges considered in this Order:

(Rs. in Crore)

Sr. No.	POWER STATIONS	AFC Determined in MYT Order dated 19 th May, 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	ATPS PH 3	164.21	169.47	156.22	-7.99
2	STPS (Sarni) PH 2&3	424.78	411.26	-7.60	-432.39
3	STPS (Sarni) PH 4	615.41	609.31	609.31	-6.10
4	SGTPS (Birsinghpur) PH 1&2	463.81	456.49	414.64	-49.17

5	SGTPS (Birsinghpur) PH 3	311.19	305.03	305.03	-6.16
6	SSTPP PH-1	1277.13	1194.08	964.99	-312.14
7	SSTPP PH-2	1340.21	1376.35	944.61	-395.60
	Thermal Total	4596.74	4521.98	3387.20	-1209.55
8	Gandhi Sagar HPS	15.71	15.55	12.00	-3.71
9	Pench HPS	27.76	28.87	26.75	-1.01
10	Rajghat HPS	15.08	11.99	12.58	-2.50
11	Bargi HPS	17.99	17.31	17.70	-0.29
12	Bansagar HPS (PH-1,2&3)	153.65	129.19	103.35	-50.30
13	Bansagar HPS (PH-4) Jhinna	9.54	9.84	10.92	1.38
14	Birsinghpur HPS	6.15	5.72	4.49	-1.66
15	Madhikheda HPS	19.05	20.17	21.87	2.82
	Hydro TOTAL	264.93	238.63	209.65	-55.28
	Grand Total	4861.68	4760.61	3596.85	-1264.83

241. This Order is for the true-up of multi-year tariff order dated 19th May, 2021 and Corrigendum dated 9th September, 2021 to the extent it was applicable for FY 2022-23. The petitioner must take steps to implement the order after giving seven (7) days' public notice in accordance with Clause 1.30 of MPERC (Details to be furnished and fee payable by licensee or generating company for determination of tariff and manner of making application) Regulations, 2004 and its amendments and recalculate its bills for the energy supplied to Distribution Companies of the State / M.P. Power Management Company Ltd. since 1st April, 2022 to 31st March, 2023. The petitioner must also provide information to the Commission in support of having complied with this Order. The surplus amount as a result of this Order shall be passed on to MP Power Management Company Ltd. / three Distribution Companies of the state in terms of applicable Regulation of the Regulations, 2020 in six equal monthly instalments during FY 2024-25 and onwards.

242. With the above directions, this petition No. 71 of 2023 is disposed of.

(Prashant Chaturvedi)
Member

(Gopal Srivastava)
Member (Law)

(S.P.S Parihar)
Chairman

Date : 7th March, 2024

Place: Bhopal

Petitioner's Response on the comments offered by the Respondent No.1 (MPPMCL) along with observations of the Commission**MPPMCL's Response**

The petitioner has earned a Non-Tariff Income to the tune of Rs. 34.07 crore, the same needs to be shared in terms of Regulation 58 of the Regulations, 2020.

Petitioner's reply:-

MPPGCL has indicated the total Non-Tariff Income as Rs. 68.14 Crores and has already shared the Non-Tariff Income as per Clause No. 58 of the Regulations, 2020 amounting to Rs 34.07 Crores. Accordingly, the claim submitted by MPPMCL is already taken care in the instant petition.

Further, a detailed explanation in regard to "Non-Tariff Income" has also been submitted as additional information before the Commission vide this office Letter dated 25.01.2024.

MPPGCL requests the Commission to kindly consider the same.

Observation:

Non-Tariff Income of the petitioner for the FY 2022-23 has been considered and shared as per provisions of the Regulation 58 of the Regulations, 2020.

MPPMCL's Response

The petitioner has claimed a sum of Rs. 23.25 crores in the true up towards EL Encashment under the head- of Other Charges. For the reasons that such expenditure of Rs. 23.25 crores is not permissible under the Regulations, the same should be disallowed in the true-up.

Petitioner's reply:-

In the above context, MPPGCL wishes to submit to kindly refer regulation 40.1 & regulation 41.1 of the Regulations, 2020, which provide as under:

" 40.1 The Operation and Maintenance expenses admissible to the thermal power stations declared under commercial operation prior to 01.04.2012 comprise of employee cost, Repair &

*Maintenance (R&M) cost and Administrative and General (A&G) cost. These norms for O&M exclude Pension and Terminal Benefits, **EL encashment**, and arrears to be paid to employees, taxes payable to the Government, and fees payable to MPERC. The generating company shall claim the rate, rent & taxes payable to the Government, cost of chemicals and consumables, fees to be paid to MPERC, **EL encashment** and any arrears paid to employees separately as actual. “*

*“41.1 The Operation and Maintenance expenses admissible to existing hydro power stations comprise of employee cost, Repair & Maintenance (R&M) cost and Administrative and General (A&G) cost. These norms for O&M exclude Pension and Terminal Benefits, **EL encashment**, and arrears to be paid to employees, taxes payable to the Government, and fees payable to MPERC. The generating company shall claim the rate, rent & taxes payable to the Government, cost of chemicals and consumables, fees to be paid to MPERC, **EL encashment** and any arrears paid to employees separately as actual.”*

As evident from above regulations of the Regulations, 2020, the EL Encashment is allowed to be claimed separately on actual basis. Accordingly, based on the Audited Annual Statements of Accounts for FY 2022-23, the same is claimed on actual basis by MPPGCL in the instant petition.

As such, the observation made by MPPMCL in the matter appears to be incorrect and is against the Regulations, 2020.

Observation:

The Petitioner has claimed EL encashment under Other Charges as per provisions of the Regulations, 2020 and the same has been considered by the Commission.

MPPMCL's Response

The Petitioner has not provided details of Clean Development Mechanism (CDM) Benefits in terms of Regulation 59 of the said Regulations and has not shared the proceeds of Carbon Credit, if any, with the answering Respondent.

Petitioner's Reply:-

In the above context, MPPGCL wishes to submit at the time of preparation of the DPR of SSTPP Stage-II, the CDM mechanism in India was still in the nascent

stage and further deliberation were being made. As has been observed from the documents available in the public domain, it appears that none of the supercritical thermal power plants in India received the CDM benefits possibly because the emission reductions due to efficient technologies viz-a-viz the base line emissions far out play additional emissions due to increased size of Units. Moreover, the CDM Methodologies Panel of United Nations Framework Convention on Climate Change (UNFCCC), in its 50th meeting (June 2011) had raised serious concern over the over-estimation of emission reductions upto a tune of 25% viz-a-viz the 'Baseline Emission'. The Panel in its report even indicated that continued use of approved methodology ACM0013: Consolidated Baseline and Monitoring Methodology for New Grid Connected Fossil Fuel Fired Power Plants using a less GHG intensive technology, may lead to significant over-estimation of emission reductions and accordingly recommended to the CDM Executive Board to put the methodology on hold with immediate effect while initiating a revision of the methodology. While the 'Hold' never came through, there is no evidence in the public domain of any of Super Critical Thermal Power Plant in India receiving the said credits. Therefore, Clean Development Mechanism was not envisaged resulting in no benefit.

MPPGCL humbly requests the Commission to kindly consider the same.

Observation:

In view of the Petitioner's reply, issue of sharing the benefits does not arise.

MPPMCL's Response

Contrary to the provisions of Regulation 56 of the said Regulations, the Petitioner has not shared the gains due to variation in norms in relation to Station Heat Rate, Secondary Oil Fuel and Auxiliary Consumption. The answering Respondent claims its respective share.

Petitioner's Reply:-

In the matter, regulation 56.2 of the Regulations, 2020 provides that the financial gains by a generating company on account of controllable parameters shall be shared between generating company and the beneficiaries on annual basis.

MPPGCL wishes to submit that the Power House wise detailed working towards sharing of gains, have already been submitted by MPPGCL as additional information before Commission vide letter No. 07-12/CS-MPPGCL/MPERC/TU FY 23/Pt.71 of 2023/61 dated 15.01.2024, wherein it has been submitted that MPPGCL, as a Company, in totality has not achieved any financial gains on account of controllable parameters, therefore in accordance with regulations 56.2, no sharing of gains with the beneficiaries is required.

It is requested before the Commission to kindly consider the same.

Observation:

As per submission of the petitioner, it is observed that it has achieved financial gains in two of the generating stations namely, ATPS PH-3 and STPS PH-4. It is, therefore directed that the gains achieved in generating stations namely ATPS PH-3 and STPS PH-4 be passed on to the beneficiaries of the respective Generating Stations in accordance to the provisions under the Regulations, 2020.

MPPMCL's Response

Petitioner has separately claimed an amount of Rs. 1.16 Crores towards Rent, Rate & Taxes and Rs. 23.25 Crore towards EL Encashment under Regulations 40.1 and 41.1 of the said Regulations as Other Charges totaling to Rs. 208.84 Crore and the said amount totaled with the Actual O&M is less than the Normative O&M Expense, the same should be allowed to the extent of Normative O&M only. The double claim of other Charges should not be allowed.

Petitioner's reply:-

In the above context, MPPGCL wishes to submit to kindly refer Regulation 40.1, Regulation 41.1 & Regulation 65.2 of the Regulations, 2020.

As evident from aforementioned regulations of the Regulations, 2020, Rent Rates and Taxes, Cost of Chemicals, EL Encashment, Water Charges, MPERC Fees are allowed to be claimed on actual basis. Accordingly, based on the Audited Annual Statements of Accounts for FY 2022-23, the same is claimed on actual basis by MPPGCL in the instant petition.

As such the observation made by MPPMCL in the matter appears to be incorrect & is against the regulations of the Regulations, 2020.

Observation:

Other Charges such as Rent Rates and Taxes, Cost of Chemicals and EL Encashment, have been considered in accordance to the Regulations, 2020 in this true-up order by the Commission and double counting has not taken place.

MPPMCL's Response

The petitioner has claimed Additional Capitalization to the tune of Rs. 153.88 Crore. For the reasons that the petitioner has not only given the figures in rupee terms in respect of additional capitalization relating to each of its projects but has failed to provide detailed justification of the same relating to the nature of capital asset, its necessity, etc., the claim in this respect needs to be rejected.

Petitioner's reply:-

In the above context, MPPGCL wishes to submit that the Power House wise details of additional capitalization along with supporting documents in this regard, have already been submitted by MPPGCL before the Commission vide letter dated 25.01.2024.

It is requested before the Commission to kindly consider the same.

Observation:

The additional capitalization claimed in the petition has been examined thoroughly by the Commission in accordance to the provisions under the Regulations, 2020, Annual Audited Accounts of the petitioner for FY 2022-23, Asset-cum-Depreciation Register for FY 2022-23 and other supplementary submissions filed by the petitioner and other documents placed on record by the petitioner.

MPPMCL's Response

That, the petitioner has claimed the MPERC Fees, Water charges and Cost of chemicals for STPS Sarni Phase II and III which should be nullified as there is no power generation from these units. Further, these charges should be nullified in upcoming MYT Order FY- 25 onwards also.

Petitioner's reply:-

In the above context, MPPGCL wishes to submit to kindly refer Regulation 40.1, Regulation 41.1 & Regulation 65.2 of the Regulations, 2020.

As evident from regulations of the Regulations, 2020, Rent Rates and Taxes, Cost of Chemicals, EL Encashment, Water Charges, MPERC Fees are allowed to be claimed on actual basis. Accordingly, based on the Audited Annual Statements of Accounts for FY 2022-23, the same is claimed on actual basis by MPPGCL in the instant petition.

The Units of PH-2&3 of STPS Sarni have not been decommissioned till date, therefore, the above charges are being claimed. MPPMCL shall appreciate that MPPGCL has also applied "Non-Tariff Income" amounting to Rs. 7.60 Crores for this power station while claiming True-up of Generation Tariff in the instant petition.

Accordingly, the observation made by MPPMCL in the matter appears to be incorrect & is against the Provision of the Regulations, 2020.

Observation:

Fee Payable to MPERC for tariff determination, Water charges and Cost of Chemical are considered in accordance to the provision under Regulation, 2020.

Annexure-II**Reply to Observations submitted by Shri Rajendra Agrawal against Petition (No.- 71 of 2023) for True Up of Generation Tariff of MPPGCL****म.प्र. पावर जनरेटिंग कम्पनी के खराब परफारमेंस बावत :-**

प्रकाशित आम सूचना व याचिका की कंडिका 2.1.2 तालिका 2.1.2.1 के अवलोकन से ज्ञात होता है कि माननीय आयोग द्वारा म.प्र. पावर जनरेटिंग कम्पनी लिमिटेड के सभी स्थापित ताप व जल विद्युत गृहों हेतु म.प्र.वि.नि.आ. (उत्पादन टेरिफ निर्धारण के नियम एवं शर्तें) अधिनियम, 2020 में निर्धारित उपलब्धता मापदण्ड हासिल करने पर बहुवर्षीय टेरिफ याचिका आदेश दिनांक 19/05/2021 द्वारा वर्ष 2022-23 हेतु कुल राशि रु. 4861.68 करोड़ निर्धारित की थी, किंतु याचिकाकर्ता के अधिकांश वृहद् ताप विद्युत गृह निर्धारित उपलब्धता मापदण्ड को प्राप्त करने में असफल रहे, जिसके फलस्वरूप कुल निर्धारित राशि का मात्र 75 प्रतिशत रु. 3652.39 करोड़ ही प्राप्त हो सका है।

याचिकाकर्ता द्वारा संदर्भित सत्यापन याचिका में निर्धारित उपलब्धता मापदण्ड को प्राप्त न कर पाने के किसी भी कारण का कहीं कोई उल्लेख नहीं किया है। यह स्पष्ट है कि म.प्र. पावर जनरेटिंग कम्पनी द्वारा उत्पादित ताप व जल विद्युत राज्य शासन के स्वयं के संसाधनों से स्थापित विद्युत की श्रेणी में आती है। जिनका लगभग 100 प्रतिशत कोयला लिफ्ट भी विद्युत गृह के समीपस्थ कोयला खदानों से होने के कारण विद्युत उत्पादन की लागत सस्ती पड़ती है, जिसमें यथा संभव भरपूर उत्पादन होने की स्थिति में म.प्र. पावर मैनेजमेंट कम्पनी को बाहरी स्रोतों से महंगी बिजली कम खरीदना पड़ती है, जिसका परोक्ष लाभ प्रदेश के उपभोक्ताओं को मिलता है।

म.प्र. पावर जनरेटिंग कम्पनी के खराब बिजली उत्पादन परफारमेंस का एक बड़ा कारण प्रबंधन की अकार्य कुशलता व लापरवाही है। प्रबंध संचालक जैसे महत्वपूर्ण पद पर सक्षम, तकनीकी ज्ञान से परिपूर्ण, अनुभवी अधिकारी की नितांत आवश्यकता है।

माननीय आयोग से निवेदन है कि मात्र निर्धारित / वास्तविक उपलब्धता के घटिया आंकड़ों की गणना कर याचिका का निराकरण न करें बल्कि याचिकाकर्ता के संयंत्रों के खराब परफारमेंस पर संज्ञान लेकर कारणों का विस्तृत विश्लेषण करने का निर्देश याचिकाकर्ता को देंगे तथा तत्संबंध में प्रदेश शासन को भी अवगत कराने का कष्ट करेंगे जो प्रदेश व उपभोक्ताओं के हित में होगा।

म.प्र.पॉ.जन.कं.लि. का जवाब :-

म.प्र.पॉ.जन.कं.लि. के खराब प्रदर्शन के संबंध में लेख है कि वर्ष 2022-23 में म.प्र.पॉ.जन.कं.लि. के ताप विद्युत गृहों का कुल विद्युत उत्पादन 27328 मिलियन इकाई हुआ है, जो अभी तक का किसी भी वित्तीय वर्ष का सर्वाधिक विद्युत उत्पादन है। पत्र में लेख किया गया है कि वर्ष 2022-23 हेतु मापदण्ड हासिल करने पर कुल राशि रु. 4861.68 करोड़ निर्धारित थी। इस संबंध में उल्लेख करना आवश्यक है कि उक्त राशि में सतपुड़ा ताप विद्युत गृह की बंद इकाईयों की रु. 424.78 करोड़ की राशि भी शामिल है। चूंकि इन इकाईयों को बंद किया जा चुका है, अतः इस राशि की गणना किया जाना और उसे हानि के रूप में शामिल करना उचित प्रतीत नहीं होता है तथा इसी तरह गांधी सागर जल विद्युत गृह की दो इकाईयां जो सितंबर 2019 में अतिवृष्टि के कारण जलमग्न हो चुकी थी, को भी वृहद रखरखाव हेतु बंद रखा गया है। अतः इन बंद इकाईयों के स्थाई प्रभार को कम कर गणना की जाये तो कुल निर्धारित राशि का 75 प्रतिशत नहीं अपितु अधिकतम प्राप्त की जा सकने वाली राशि में से 82 प्रतिशत राशि प्राप्त हुई है।

जिन ताप विद्युत गृहों के निर्धारित उपलब्धता मापदण्ड प्राप्त नहीं हुए हैं, उनके कारणों का उल्लेख सत्यापन याचिका में यथानुसार किया गया है। साथ ही नियामक आयोग को भी समय समय पर जानकारी दी जाती रही है। श्री राजेन्द्र अग्रवाल के पत्र में यह उल्लेख किया गया है कि म.प्र.पॉ.जन.कं.लि.को 100 प्रतिशत कोयला लिंकेज भी समीपस्थ कोयला खदानों से है, यह कथन पूर्णतः असत्य है। म.प्र.पॉ.जन.कं.लि. के अधिकांश ताप विद्युत गृहों में कोयला दूरस्थ खदानों से आता है जिससे परिवहन लागत के अधिक होने से उत्पादन लागत भी प्रभावित होती है।

जहां तक म.प्र.पॉ.जन.कं.लि. के प्रबंधन कि कार्य कुशलता का प्रश्न है तो वर्ष 2022-23 में म.प्र.पॉ.जन.कं.लि का विशेष उपलब्धियों से भरा रहा है | ताप विद्युत इकाईयों ने सतत् संचालन कीर्तिमान स्थापित किये हैं | वर्ष 2022-23 में आठ ताप विद्युत इकाईयों ने 100 या उससे अधिक दिनों तक संचालित रही , इनमे से तीन इकाईयां 200 से अधिक दिनों तक अनवरत संचालित रही।

टिप्पणी :

आपत्तिकर्ता द्वारा दर्ज की गई आपत्ति इस याचिका के दायरे से बाहर हैं। फिर भी यह उल्लेख करना उचित होगा कि याचिकाकर्ता ने 15 जनवरी, 2024 को अपने एक प्रस्तुतीकरण के माध्यम से

उत्पादन इकाईयों के कम परिचालन प्रदर्शन के कारणों के साथ-साथ इन इकाईयों के प्रदर्शन में सुधार के लिए अपनी कार्य योजना, के बारे में आयोग को अवगत कराया है।

आयोग ने टैरिफ विनियम, 2020 के तहत निर्दिष्ट मानक मापदंडों के आधार पर टैरिफ निर्धारित किया है। एमपीईआरसी टैरिफ विनियम, 2020 के विनियमन, 42 के प्रावधानों के तहत ही याचिकाकर्ता को वित्तीय वर्ष 2022-23 की अवधि में वार्षिक निश्चित शुल्क का भुगतान उसके संयंत्रों की वास्तविक वार्षिक उपलब्धता के आधार पर किया है और खराब प्रदर्शन के कारण होने वाले वित्तीय नुकसान का भार स्वयं याचिकाकर्ता को वहन करना पड़ता है।

7 लाख मीट्रिक टन कोयले की ज्यादा खपत :-

याचिकाकर्ता द्वारा कंडिका 2.1.5 तालिका 2.1.5.1 में उल्लेखित निर्धारित वास्तविक स्टेशन हीट रेट (एस.एच.आर.) के आंकड़ों के अवलोकन से ज्ञात होता है कि प्रदेश के अधिकांश बड़े ताप विद्युत गृहों में कोयले की खपत आयोग द्वारा निर्धारित मानक से अत्यंत ज्यादा हुई है, जो कि लगभग 7 लाख मीट्रिक टन है, जिसकी कीमत रु. 300 करोड़ होती है, जिसका विवरण कोयले की मानक विशिष्ट ऊष्मा 3500किलो कैलोरी/किलोग्राम मानते हुये निम्नानुसार है:-

विद्युत गृह का नाम	बिजली उत्पादन मि. यू. तालिका (2.1.1.1)	निर्धारित ऊर्जा किलोकैलरी/ यूनिट तालिका (2.1.5.1)	वास्तविक ऊर्जा किलोकैलरी/ यूनिट तालिका (2.1.5.1)	ज्यादा खपत किलो कैलरी/ यूनिट	ज्यादा कोयले की खपत (मीट्रिक टन)
बिरसिंहपुर1 एवं2	4831	2700	2758	58	80056
बिरसिंहपुर3	3928	2390	2419	29	32546
सिंगाजीखंडवा चरण-1	6756	2384	2553	169	326218
सिंगाजी खंडवा चरण-2	6411	2186	2329	143	261935
कुलयोग	27328	-	-	-	700755

विदित है कि देश अपनी कोयला आवश्यकताओं की पूर्ति हेतु अभी भी कोयला आयात पर निर्भर है, इस स्थिति में प्रदेश के अति उच्च तकनीकी से स्थापित ताप विद्युत गृहों में अत्याधिक कोयला खपत राष्ट्रीय संसाधनों का दुरुपयोग है। जिस पर आयोग का ध्यान अपेक्षित है। उपरोक्त प्रकरण को सत्यापन याचिका के परिप्रेक्ष्य में शासन की जानकारी में लाना अति आवश्यक है।

म.प्र.पाँ.जन.कं.लि. का जवाब :-

7 लाख मीट्रिक टन कोयले की ज्यादा खपत के संबंध में लेख है कि म.प्र.पाँ.जन.कं.लि. के ताप विद्युत गृहों में कोयले की खपत उपलब्ध कोयले की गुणवत्ता पर पूर्णतः निर्भर करती है। निम्न गुणवत्ता का कोयला प्राप्त होने पर कोयले

की खपत बढ़ना स्वाभाविक है। श्री राजेन्द्र अग्रवाल के पत्र के बिंदु क्रमांक - 2 में वर्ष 2022-23 में उल्लेखित कोयले की खपत की गणना करने में दो अवधारणाओं (assumptions) को शामिल किया है क्रमशः कोयले की जीसीवी एवं कोयले के लागत के आकड़े, जो कि काल्पनिक एवं सत्य से परे हैं। उक्त उदाहरण भ्रमित करने के लिए है जो कि वास्तविकता से परे है, अतः माननीय नियामक आयोग से विनम्र निवेदन है कि हितधारी द्वारा किये गए प्रश्न को अस्वीकार किया जाये।

टिप्पणी :

याचिकाकर्ता ने एमपीईआरसी टैरिफ विनियम, 2020 के तहत मानक मूल्यों की तुलना में वित्त वर्ष 2022-23 के दौरान अपनी परियोजनाओं द्वारा प्राप्त वास्तविक स्टेशन ताप दर का माहवार विवरण दाखिल किया है। टैरिफ विनियम, 2020 के प्रावधानों के अनुसार, याचिकाकर्ता को महीने-दर-महीने आधार पर कोयले की वास्तविक कीमत और कोयले की जीसीवी को सत्यापित करना होता है। टैरिफ विनियमन 44 के तहत जनरेटर को कोयले की कीमत का भुगतान निर्धारित मापदण्डों के अनुसार ही किया जाता है।

सिंगाजी ताप विद्युत गृह चरण-2 की इकाईयों का सफलता पूर्वक पी.जी. टेस्ट पूर्ण नहीं होने बावजूत :-

सिंगाजी ताप विद्युत गृह खंडवा चरण-2 जिसकी क्षमता 660 मेगावाट की 2 इकाईयां हैं, अति आधुनिक उच्च तकनीकी से परिपूर्ण हैं, जिनकी स्थापना देश की विख्यात निजी इंजीनियरिंग

कम्पनी एल.एण्ड टी. द्वारा की गई है, से वाणिज्यिक उत्पादन नवम्बर 2018 व मार्च, 2019 से प्रारंभ हो चुका है। क्रयादेश के अनुसार वाणिज्यिक उत्पादन तिथि से 3 माह के अंदर सफलतापूर्वक परफॉरमेंस गारंटी टेस्ट (Successful P.G. Test) होना अनिवार्य था। किंतु खेद का विषय है कि लगभग 5 वर्ष व्यतीत होने के बावजूद सफलतापूर्वक पी.जी. टेस्ट लंबित है, जो कि घटिया उपलब्धता कम विद्युत उत्पादन, अधिक कोयला व तेल खपत का एक बड़ा कारण है। सफलतापूर्वक पी.जी. टेस्ट की परिभाषा है कि संबंधित इकाईयां अपनी निर्धारित क्षमता 660 मेगावाट पर सभी तकनीकी निर्धारित पैरामीटर पर संतोषजनक, निर्धारित कोयला खपत के साथ, एकीकृत रूप से 72 घंटे लगातार विद्युत उत्पादन करना प्रदर्शित करें तथा प्रमाणित करायें। चूंकि उपरोक्त बिंदु सत्यापन याचिका जो कि निर्धारित / वास्तविक कार्य क्षमता का केन्द्र बिंदु होता है, से संबंधित है। अतः माननीय आयोग से निवेदन है कि याचिकाकर्ता को सिंगाजी ताप विद्युत गृह चरण-2 का सफलतापूर्वक पी.जी. टेस्ट कराने का निर्देश देंगे।

म.प्र.पॉ.जन.कं.लि. का जवाब :-

2x660 मेगावाटश्री सिंगाजी ताप विद्युत गृह चरण-2 के परफॉरमेंस गारंटी (पी.जी.) टेस्ट के क्रियान्वयन के संबंध में, 'स्पेशल कंडीशन ऑफ कॉन्ट्रैक्ट (एस.सी.सी.)' की कंडिका क्र. 7.4.2.10 में यह उल्लेखित है कि-

"Upon the completion of trial/reliability operation, as soon as practicable, or at such time as may be otherwise agreed to by the parties concerned, the Contractor shall notify in writing to the Owner that the plant is ready for performance tests, only after liquidating all the major defects"

उपरोक्त कंडिकानुसार, प्रथम चरण में इकाई क्रमांक-4 के परफॉरमेंस गारंटी (पी.जी.) टेस्ट वित्तीय वर्ष 2021-22 में सफलतापूर्वक पूर्ण कर लिये गये हैं एवं इनकी टेस्ट रिपोर्ट्स की स्वीकृति भी प्रदान की जा रही है। जबकि वर्तमान में द्वितीय चरण में इकाई क्रमांक-3 की कुछ पैकेजों के परफॉरमेंस गारंटी (पी.जी.) टेस्ट रिपोर्ट्स की स्वीकृति अभी बाकी है।

2x660मेगावाट – (इकाई क्रं 3 एवं 4) श्री सिंगाजी ताप विद्युत गृह द्वितीय चरण – खंडवा टेस्ट (पी.जी) परफॉरमेंस गारंटी टेस्ट का स्टेटस :-

- **इकाई क्रं -4** के निम्नलिखित महत्वपूर्ण पैकेजों की परफॉरमेंस गारंटी टेस्ट वित्तीय (.जी.पी) वर्ष 2021-22 में सफलतापूर्वक पूर्ण करने के पश्चात इनकी टेस्ट रिपोर्ट्स की स्वीकृति प्रदान कर दी गई है :-

- बॉयलर
- टर्बाइन जनरेटर और ऑक्सिलरीज़
- फ्यूल आयल हैंडलिंग सिस्टम
- कोल हैंडलिंग प्लांट
- क्लोरीनेशन प्लांट
- कंप्रेस्ड एयर सिस्टम
- डी.एम. प्लांट
- प्रीट्रीटमेंट प्लांट-
- ई.ओ.टी. क्रेन
- कंडन्सेट पॉलिशिंग यूनिट

जबकि **इकाई क्रं -3** के निम्नलिखित पैकेजों की परफॉरमेंस गारंटी टेस्टपूर्ण (पी.जी.) हो चुके हैं पर इनकी टेस्ट रिपोर्ट्स की स्वीकृति की जा रही है :-

- कंडन्सेट ऑनलाइन ट्यूब क्लीनिंग सिस्टम
- बॉयलर फीड पंप
- फैन्स एंड ड्राइव्स
- इक्विपमेंट कूलिंग वाटर सिस्टम
- सर्कुलेंटिंग वाटर पंप
- ऑक्सिलरीज़ वाटर सिस्टम पंप
- वैक्यूम पंप
- एयर हीटर

- **इकाई क्रं.- 3** के निम्नलिखित पैकेजों की परफॉरमेंस गारंटी टेस्ट (पी.जी.) सफलतापूर्वक पूर्ण कर लिये गये हैं एवं इनकी टेस्ट रिपोर्ट्स की स्वीकृति प्रदान कर दी गई है :-

- एलेक्ट्रोस्टैटिक प्रेसिपिटेटर

- कंडन्सेट पॉलिशिंग यूनिट
- कंडन्सेट ऑनलाइन ट्यूब क्लीनिंग सिस्टम
- इक्विपमेंट क्लीनिंग वाटर सिस्टम
- सर्कुलेटिंग वाटर पंप
- क्लीनिंग टावर

जबकि इकाई क्रं- 4 के निम्नलिखित पैकेजों की परफॉरमेंस गारंटी टेस्टपूर्ण (पी.जी.) चुके :-
हैं पर इनकी टेस्ट रिपोर्ट्स की स्वीकृति अभी बाकी है हो

- बॉयलर फीड पंप
- फैन्स एंड ड्राइव्स
- कंडेंसर
- वैक्यूमपंप
- एयर हीटर
- मिल रिजेक्ट सिस्टम
- ऐश हैंडलिंग प्लांट
- बॉयलर

उक्त तथ्यों के परिपेक्ष में श्री राजेंद्र अग्रवाल द्वारा उठाए गये मुद्दे का क्रियान्वयन म.प्र.पॉ.जं.कं.लि.द्वारा पूर्ण कर लिया गया है।

टिप्पणी :

आपत्तिकर्ता ने इस बिंदु के माध्यम से याचिकाकर्ता की किसी प्रार्थना(Prayer) पर कोई विशिष्ट आपत्ति प्रस्तुत नहीं की हैं। याचिकाकर्ता से प्राप्त जानकारी अनुसार वित्तीय वर्ष 2021-22 तक इकाई क्रं. 3 और 4 में पूर्ण कर लिए गये पी.जी. टेस्ट का विवरण दिया गया है। जिनमें से कुछ टेस्ट रिपोर्ट की स्वीकृति प्रदान की गई है, एवं कुछ टेस्ट रिपोर्ट की स्वीकृति प्रदान करना लंबित है। याचिकाकर्ता को निर्देश दिये जाते हैं कि वे लंबित कार्यवाही के निष्पादन की व्यवस्था करें।

अतिरिक्त पूंजीकरण राशि की मांग :-

याचिकाकर्ता द्वारा कंडिका 4.3.1 में विभिन्न ताप व जल विद्युत गृहों हेतु कुल रु .153.88 करोड़ की राशि की मांग अतिरिक्त पूंजीकरण हेतु चाही गई है। आश्चर्यजनकरूप से याचिकाकर्ता द्वारा उत्पादन टेरिफ रेगुलेशन , 2020 की धारा 26, 27, 28 का पूर्णतः उल्लेख किया है ; किंतु किसी भी विद्युत गृह हेतु रेगुलेशन की किस धारा या उपधारा के तहत अतिरिक्त पूंजीकरण चाहा गया है, का कहीं कोई उल्लेख नहीं है।

संदर्भित सभी ताप व जल विद्युत गृहों की वाणिज्यिक उत्पादन तिथि व कट ऑफ तिथि समाप्त हो चुकी है तथा उत्पादन टेरिफ रेगुलेशन 27 व 28 की किसी धारा व उपधारा का उल्लेख नहीं है, तथा न ही पूंजीगत किये गये सामानों का कोई विवरण उल्लेखित है। अवलोकन से यह भी ज्ञात होता है कि अधिकांश कार्य संयंत्र की मरम्मत से संबंधित है, जिनका खर्च का प्रावधान संचालन व संधारण मद में प्राप्त हो जाता है। अतः अतिरिक्त पूंजीकरण की चाही गई राशि रु .153.88 करोड़ पूर्णतः अस्वीकृत करने योग्य है।

म.प्र.पाँ.जन.कं.लि. का जवाब :-

उपरोक्त विषय में ये उल्लेख है कि इस संबंध में सहायक दस्तावेजों के साथ अतिरिक्त पूंजीकरणका पावर हाउस-वार विवरण, एम.पी.पी.जी.सी.एल. द्वारा पत्र क्रमांक 07-12/CS-MPPGCL/MPERC/TU FY 23/Pt.71 of 2023/86 दिनांक 25.01.2024 के माध्यम से माननीय आयोग के समक्ष पहले ही प्रस्तुत किया जा चुका है।

अतः माननीय आयोग से विनम्रतापूर्वक अनुरोध है कि म.प्र.पाँ.जन.कं.लि. द्वारा पत्र क्रमांक 86 में उल्लेखित अतिरिक्त पूंजीकरण के विवरण पर स्वीकृति प्रदान करने का कष्ट करें।

टिप्पणी :

विषय याचिका के तहत एमपीपीजीसीएल के पावर स्टेशनों के अतिरिक्त पूंजीकरण की जांच एमपीईआरसी (जेनरेशन टेरिफ के निर्धारण के लिए नियम और शर्तें) विनियम, 2020 के विनियम 27 और 28, वार्षिक लेखा परीक्षित खातों , संपत्ति-सह-मूल्यहास रजिस्टर और याचिकाकर्ता द्वारा रिकॉर्ड पर रखे गये अन्य दस्तावेजों के अनुसार की गई है एवं आदेश में संबंधित विनियमों का उल्लेख किया गया है।

1. सतपुड़ा ताप विद्युत गृह चरण-दो एवं तीन को बिना शासन की अनुमति के बंद रखना :-

याचिकाकर्ता द्वारा अध्याय-1 पैरा 1.1 में म.प्र. पावर जनरेटिंग कम्पनी की कुलताप विद्युत उत्पादन क्षमता 5400 मेगावाट उल्लेखित है वहीं पैरा 1.2 में उल्लेखित है कि यह क्षमता संचालित भी की जा रही है, जो कि पूर्णतः गलत है व आयोग को गुमराह किया जा रहा है। सतपुड़ा ताप विद्युत गृह क्रमांक 2 एवं 3 कुल क्षमता 830 मेगावाट पिछले 2-3 वर्षों से पूर्णतः बंद है जिसके कि बंद करने की अनुमति राज्य शासन ने भी नहीं दी है।

सत्यापन याचिका का अवलोकन करने से ज्ञात होता है कि याचिकाकर्ता ने कहीं भी यह उल्लेख नहीं किया है कि उपरोक्त उच्च क्षमता की इकाईयां पिछले 2-3 वर्षों से पूर्णतः बंद है। यह भी उल्लेखनीय है कि न सिर्फ एन.टी.पी.सी. बल्कि तत्कालीन अविभाजित म.प्र. विद्युत मण्डल के कोरबा पश्चिम में स्थापित समस्त 200-210 मेगावाट की इकाईयां 80 प्रतिशत से अधिक संयंत्र उपयोगिता गुणांक पर सुचारु रूप से क्रियाशील है।

भारत सरकार ऊर्जा विभाग के तकनीकी उपक्रम केन्द्रीय विद्युत प्राधिकरण (सी.ई.ए.) ने भी परिपत्र दिनांक 20 जनवरी 2023 द्वारा सभी विद्युत उत्पादन इकाईयों को वर्ष 2030 तक स्थाई रूप से बंद करने हेतु मनाही की है तथा आवश्यकतानुसार सुधार कर इकाईयां को क्रियाशील व सतत् चालू रखने की सलाह दी है। सत्यापन याचिका के परिप्रेक्ष्य में आयोग से याचिकाकर्ता को उचित निर्देश देने का निवेदन है।

म.प्र.पा.जन.कं.लि. का जवाब :-

सतपुड़ा ताप विद्युत गृह चरण दो एवं तीन को बंद रखने के संबंध में लेख है कि सतपुड़ा ताप विद्युत गृह की इकाईयों को बंद करने का निर्णय म.प्र.पा.जन.कं.लि. के संचालक मण्डल ने लिया था। तदोपरांत कंपनी द्वारा संचालक मंडल के निर्णय को म.प्र.पा.मैने.कं.लि. एवं ऊर्जा विभाग,, म.प्र. शासन के संज्ञान में लाते हुए, उनकी संयुक्त सहमति पर इन इकाईयों को बंद रखने का निर्णय लिया।

इन इकाईयों को सेवानिवृत्त करने का प्रस्ताव म.प्र.पा.जन.कं.लि. के संचालक मंडल की बैठक में अनुमोदन उपरांत राज्य शासन को भेजा गया है। विदित हो कि पूर्व में भी राज्य शासन द्वारा इकाईयों को सेवानिवृत्त करने का अनुमोदन बाद में ही दिया जाता रहा है।

हाल ही में प्रमुख सचिव (ऊर्जा), म.प्र.शासन द्वारा दिनांक 10.11.2023 में म.प्र.पा.मैने.कं.लि.

के अधिकारियों के साथ हुई बैठक उपरान्त यह निष्कर्ष लिया है कि इन इकाईयों को म.प्र.पा.जन.कं.लि. की कुल उपलब्ध उत्पादन क्षमता से विलोपित की जाने की कार्यवाही प्रारंभ की जावे।

टिप्पणी :

आपत्तिकर्ता द्वारा इस बिंदु के माध्यम से याचिकाकर्ता की किसी प्रार्थना (Prayer) पर कोई विशिष्ट आपत्ति प्रस्तुत नहीं की गई है, तथापि याचिकाकर्ता ने इस बारे में उपरोक्तानुसार यथास्थिति की जानकारी प्रस्तुत की है।